Tata Technolog. (TATATECH)

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January 30, 2024

Dear Sir / Madam, Subject: Transcript of the conference call on financial results for quarter ended December 31, 2023 Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for the quarter ended December 31, 2023, conducted after the meeting of Board of Directors held on January 25, 2024. The above information is also availa ble on the website of the Company: www.tatatechnologies.com .

This is for your information and records. For Tata Technologies Limited

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Vikrant Gandhe
Company Secretary and Compliance Officer
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Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai- 400001, India. Scrip Code: 544028 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G, Bandra Kurla Complex, Bandra (E), Mumbai – 400 051, India. Trading symbol: TATATECH

"Tata Technologies Limited
Q3 FY24 Results Conference Call Transcript"
January 25, 2024

MANAGEMENT : MR. WARREN HARRIS – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR -- TATA TECHNOLOGIES LIMITED
MS. SAVITHA BALACHANDRAN – CHIEF FINANCIAL OFFICER -- TATA TECHNOLOGIES LIMITED
MR. VIJAY LOHIA -- HEAD OF INVESTOR RELATIONS -- TATA TECHNOLOGIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Tata Technologies Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vijay Lohia, Head of Investor Relations at Tata Technologies. Thank you and over to you, Mr. Lohia.
Vijay Lohia: Hello everyone and welcome to Tata Technologies Third Quarter Fiscal 24 Results Call. I am Vijay Lohia, Hea ding Investor Relations. With me today are Mr. Warren Harris, CEO and MD, Tata Technologies, and Ms. Savitha Balachandran, CFO, Tata Technologies. This call is for 60 minutes.

Our management team will give a brief overview of the company's performance, fol lowed by a Q&A session. As you are aware, we do not provide specific revenue or earnings guidance, and anything said on this call which reflects our outlook for the future, or which could be construed as a forward - looking statement, must be reviewed in con junction with the risks that the company faces.

We have outlined these risks in the second slide of the quarterly investor deck available on our website. Our press release and earnings deck have been filed with the stock exchanges and are also available on our website, www.tatatechnologies.com. I hope you had a chance to look at them.

Let me now turn over the call to Warren.

Warren Harris: Thank you, Vijay, and thank you everyone for joining us on today's earnings call. I trust and hope that you've all had a good start to the New Year, and it's my distinct pleasure to be hosting you on the first earnings call as a listed company. Let me provide the key highlights for the third quarter of fiscal year 2024, and I'll then hand

over to Savitha to provide more de tails on our financial performance.

From a revenue perspective, in Indian rupees, we recorded aggregate sequential revenue growth of 1.6%, and annual growth of 14.7%. Q3 tends to be a seasonally soft quarter because of reduced billing days that can largely be attributed to the festivals in India and the Christmas and New Year holidays in other parts of the world.

However, our margin performance was much improved, operating EBITDA coming in at 18.3% compared with 16.9% in the previous quarter. Q3 was also a good quarter in terms of signings, with five large deals won during October, November, and December. This includes one deal with a TCV of more than $50 million in our automotive vertical and another $25 million deal in aerospace. The remaining three deals were all in the automotive vertical.

Let me give you some further color on these deals. We have been selected by a global automotive OEM to support the rebalancing of their engineering resource pool in North America. This $50 million TCV deal will involve the movement of several hundred roles from onshore locations in the U.S. to offshore delivery centers in India.

I'm also happy to inform that we've also won a $25 million multi -year engagement with a large European aerospace OEM in support of the digital transformation of their manufacturing operations. One of the major challenges faced by the aerospace sector is manufacturing throughput. Following the pandemic, demand for aircraft has exceeded the industry's ability to supply. This engagement is focused u pon addressing that challenge through the deployment of digital tools, processes, and methods. We've also won a top - hat vehicle deal in China, the responsibility for the rollout of a digital thread solution that combines PLM, ERP, and MES tools for a North American new energy vehicle company, and a major AUTOSAR engagement with a luxury vehicle manufacturer in the UK.

Delivering value to our customers continues to be our primary focus, so let me now provide a brief summary on what's been happening with our top three customers. At Tata Motors, we've recently completed the rollout of a smart manufacturing solution for the new Sanand plant that Tata Motors acquired from the Ford Motor Company in January 2023. We were responsible for architecting and deploying a solution that fully integrates ERP, PLM, MES and IoT systems that has enabled Tata Motors to increase its annual production capacity by 300,000 units. This agile deployment was achieved in an

industry -leading timeline, allowing Tata Motors to commence pro duction earlier this month.
At Jaguar and Land Rover, we cemented our position at the heart of their digital transformation program by accelerating the deployment of S4 Hana for a targeted number of their production facilities.
At VinFast, their focus is pivoting from developing new product to building and selling cars. We've almost completed the development of the two electric vehicles that were outsourced to Tata Technologies on a turnkey basis, and our activities are now transitioning to launch support. This transition began in the second quarter, accelerated in Q3, and will largely be completed in the current quarter. Whilst I'm pleased with the agility that our delivery and resource management teams have shown in redeploying resources, revenues at VinF ast materially dropped in Q3. We expect further reductions in the current quarter.
Despite this, the service's runoff was backfilled with business from other customers, and the impact at an aggregate revenue level was largely mitigated. Outside of our top three customers, traction continues to build,

and we remain committed to harvesting the opportunity from this growing base. Indeed, the health of our customer pyramid continues to improve, with 39 customers recording more than a million dollars of annualiz ed services revenue to Tata Technologies in the quarter. This compares with 34 customers in the same period last year.
The strategic importance of our customer relationships also continues to improve. During the third quarter, we confirmed a multifaceted p artnership with Agratas, the new global battery business of the Tata Group. Today, we have issued a press release that confirms that Agratas has selected Tata Technologies to support its ambitions to design, develop and manufacture high-quality, high -perfo rmance, sustainable battery solutions for the global mobility market.
The partnership will include a series of engagements that will focus upon battery -packed design, the industrialization of the planned giga factories in India and the UK, together with t he implementation of a digital thread that will enable Agratas to track all product and digital assets from concept through design, manufacturing, quality, and service. This partnership will enable Tata Technologies to further expand its upstream electric vehicle capabilities, thus extending our industry -leading electric vehicle proposition.
From an offerings perspective, we continue to expand our portfolio of service lines, especially in areas such as software -defined everything, cybersecurity, and autonom y. In October last year, we participated in ELIV in Germany. ELIV is the world's leading event for automotive electronics and software. At the event, we demonstrated a cloud -native architecture for software -defined vehicles, leveraging industry standards s uch as AUTOSAR and SOAFEE.
We partnered with leading technology players like NXP, Arm, Intel, and Amazon AWS to profile software -defined vehicle platform solutions for high - performance computing, next -generation digital cockpit solutions and cybersecurity. Earlier this month, we also exhibited our software -defined vehicle capabilities at CES and celebrated our emerging partnerships with Intel, Arm, and Foxconn's Motion in Harmony.
As the world of high -tech and mobility converge, the traditional vertically integrated automotive supply chains will likely transform into complex, horizontally structured ecosystems. OEMs and Tier 1 suppliers will have to abandon strategies that are focus ed upon total control of a vehicle and instead pick and choose their partners. That's why Tata Technologies is

committed to building a strategic network of partnerships and alliances to address this structural shift in the industry. To that end, we are del ighted to announce two important partnerships that will further reinforce our software - defined vehicle credentials.
The first is with Intel. Intel is a leader in compute technology across various industries and our collaboration with Intel in the automoti ve space aligns with our vision to leverage cutting -edge technologies in delivering the latest innovations around software -defined vehicles to our customers. We will be utilizing Intel's new range of software -defined vehicle system -on-chip family of produc ts for building software platforms. This partnership marks an important milestone in our software -defined vehicle journey. Together with Intel, we intend to work on a joint go -to-market strategy for our customers in Asia, where we see strong demand for a h igh-performance compute system - on-chip -based vehicle solutions.
The second partnership is with Arm, the SoftBank -owned British semiconductor and software design company based in Cambridge in the UK. We already have

a strong partnership with Arm and have re cently developed solutions for SDVs or software -defined vehicles using the SOAFEE framework that we've demonstrated at ELIV and CES.
Arm microprocessor chip architecture represents the world's largest computational footprint. Arm technology underpinned th e software smartphone revolution and is ubiquitous in IoT, embedded, mobile, and automotive applications. We are absolutely thrilled to continue to collaborate closely with Arm, including working with them on a range of new solutions, bringing cloud -native software architecture for automotive applications into upcoming Arm -based automotive chips. We're looking forward to sharing more detail on these partnerships along with live demonstrations and industry events in the coming months.
Our efforts from a cus tomer and a capability perspective continue to attract the attention and respect of industry watch organizations like Zinnov. With their recently published industry rankings, Tata Technologies was confirmed for the sixth consecutive year as the number one automotive engineering service provider in India. And in their new EV rankings, Tata Technologies was not only confirmed as number one in India, but number two globally.
From the perspective of supply, we remain confident in the growing demand for our ser vices, and so we continue to add delivery capacity. In Q3, we added

172 new team members to our global ER&D and digital delivery teams. We also inaugurated a new innovation center in Coimbatore that will focus on vehicle software.
Our employee engagement initiatives continue to yield success, with the last 12-month voluntary attrition coming down to 15.4% in the quarter, compared with 17.2% in Q2. Our Q3 annualized attrition was at 13.6%. We continue to invest in talent development activities for our teams . In Q3, we trained over 8,000 employees, with more than 1,000 employees trained on Gen AI, AI, and ML, and 3,000 employees trained on various aspects of our embedded electronics and software proposition.
From a Technology Solutions perspective, our produ cts and education business delivered strong sequential growth of 5% in INR, fuelled largely by our software products business. The products business, which is focused primarily upon our value -added reseller partnerships with the PLM software vendors, typic ally does well at the end of each calendar year when our customers in the U.S. renew maintenance contracts and discharge year -end budgets.

In our education vertical, we built a large order book. This has allowed revenue to be smoother and much more predic table than in prior years. We expect this to continue. Overall, despite the short -term headwinds associated with the runoff at VinFast, customer demand remains resilient, and we are well positioned for a very strong start to FY25.
With that, let me hand i t over to Savitha to give an update on the details of our Q3 financial performance.
Savitha Balachandran: Thank you, Warren. Good morning or good evening, everyone, depending on where you're joining us from, and thank you for joining this call today. Conti nuing on the details that Warren shared about how our business is shaping up, let me share with you the financial performance in the third quarter.
Overall, the results were resilient with a solid margin profile in a quarter that tends to be seasonally sl ow due to the festive holidays in various parts of the world. Our revenue from operations grew 1.6% sequentially to $12,895 million for the quarter. On a year -on-year basis, the growth in revenue was 14.7%. On a constant currency basis, total revenues grew 1.9% sequentially from Q2 and 11.6% on a year -on-year basis.

Breaking this down into the two segments that we operate in, revenue from services segment, which formed about 78% of our revenues in this quarter, was up 0.6% quarter -on-quarter to clock a top line of about INR10 billion. This segment was impacted by holidays and the ramp -down in one of our mega full vehicle programs as the project nears the launch phase, and this was partly backfilled by growth in other accounts.
In U.S. dollar constant curre ncy terms, revenues were down 0.5% sequentially.
The technology solutions segment grew by 5.2% over Q2 to clock a revenue of INR2.89 billion, largely supported by the renewal deals that is characteristic of the final quarter of the calendar year in the pro ducts business. The year -on-year growth was a more robust 38.9%, supported by increased delivery in our education business this year, compared with the previous financial year, which was heavily back -ended, with only a third of our annual revenues in this business clocked in the first nine months, given the project stage and the state of infrastructure readiness by our customers.
Our operating margin increased by 140 basis points sequentially to 18.3% in Q3, driven by improved services gross margins that s aw increased offshoring, reduced spend on outsourced costs as we ramped down or replaced contractors in line with our revenue profile, as well as to some extent, better revenue quality in Q3 against some of the pass -through business that we had in Q2 relat ing to test and validation work for our projects. We recognized other income of about 307 million rupees during the quarter.
Consequentially, our EBIT was up 11.3% sequentially and up 15.2% year -on-year to INR2,094 million. In line with the improvement wi tnessed in the operating EBITDA margin, EBIT margin also expanded 140 basis points sequentially to 16.2% during the December quarter. Our effective tax rate was 27.6% and the sequential increase was driven by a higher percentage of profits coming from India and the UK this quarter compared with the previous quarter.
Net income increased by 14.7% year -on-year to INR1,702 million, representing 13.2% of our operating revenues.
Coming to the balance sheet, we've continued to remain focused on strong liquidity with $132.5 million in net cash at the end of third quarter. This compares to $120 million that we had at the end of September.
The total DSO, billed and unbilled, stood at 95 days at the end of December versus 92 days at the end of Q2. The increase in b illed DSO from 73 to 81 days

was more invoicing as we hit certain milestones in delivery -based projects, while the unbilled DSO reduced from 19 to 15 days. Overall, the DSO remains within a target range of 90 to 110 days.
Coming to cash flows, our free ca sh flow stood at INR2,198 million in Q3 and we continue to strive to further improving our cash collections and conversion levels.
Let me now give you some color on the operational metrics. Our headcount increased by 172 employees sequentially. Our total employee count stood at 12,623 at the end of the quarter. And as Warren referenced in his comments, we are in the process of redeploying resources who are coming off the large full vehicle projects and we should see utilization levels improve as these actions take effect. Attrition levels have continued to come down and stood at 15.4% compared with 17.2% in second quarter as we continue to see positive impact from our employee engagement measures as well as an overall reduction in the industry -wide attritio n levels.
Our employee cost increased by 2.9% sequentially driven by about 3% increase in our average headcount during the qu

arter. And this was more than
offset by an 18% sequential reduction in our outsourcing and consulting charges as we continue to op timize our cost base. Our customer pyramid, which shows the number of customers with a million dollar plus in revenue has continued to show steady improvement.
I'd like to specifically call out customers in the one -to-five-million -dollar category, which h as increased to 29 in third quarter compared to 24 in the same quarter last year. As far as the onsite and offshore mix is concerned, mix has moved in favor of offshore this quarter. Of our total services revenue, offshore revenue improved to 56% from 54.5 % in Q2. As a percentage of the offshorable revenues, which references revenues that we source from outside our delivery centers in India and Romania, 39.5% of revenue was delivered offshore compared to 37% in the previous quarter. And we continue to work on measures to gradually improve this metric.
And before we open up the call for Q&A, I can conclude my remarks by saying we'll continue to make the necessary investments in building capabilities and capacity in the areas of industry focus, such as SDV, e mbedded, alternative propulsion systems, and autonomous to create the runway for sustained growth.

At the same time, we maintain our focus on operational efficiencies and keeping our cost base competitive. Our long -term levers of margin expansion continue to focus on increasing offshoring, moving towards an optimal people pyramid and operating leverage as our business scales.
Thank you. We can now open the floor for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Abhishek Kumar from JM Financial. Please go ahead.
Abhishek Kumar: Yes, hi. Thanks for taking my question, Warren, and congratulations on a very good operating performance. My first questi on is on the outlook, especially around VinFast...
Moderator: Sorry to interrupt you, sir. May I request you to use your handset, sir? Your audio is slightly muffled, sir.
Abhishek Kumar: Sure.
Moderator: Thank you.
Abhishek Kumar: Hi. Is this better?
Mode rator: Yes, sir. Please go ahead.
Abhishek Kumar: Yes, hi. Thanks for taking my questions and congratulations on a good

operating performance. Warren, I wanted to pick your brain around outlook on VinFast specifically first. You said you expect some drop i n Q4 as well. I wanted to understand if Q4 will probably be the last of the decline in this account, and then we can see some stability, or how should we think about VinFast, given that most of the programs you're working on are coming to an end?

Warren Ha rris: Yes. Thanks, Abhishek, and it's great to hear from you. In terms of VinFast, as I positioned in the opening comments, we began the transition from engineering and developing the two EVs that we've been responsible for. We began the transition to laun ch support in Q2. That accelerated in Q3, and we'll be largely through that transition at the end of Q4.

So as we go into FY'25, the base will largely be unaffected by any volatility or change at VinFast. We expect a slight tapering of growth in Q4, but a s we go

into the next fiscal year, we're very bullish about our prospects for Q1, Q2, Q3, and Q4.

Abhishek Kumar: Just one quick follow -up on VinFast. We've heard VinFast plan to enter India and set up factory here. Does that give us scope of improving tha t relationship and maybe expanding it, and therefore should we expect some growth once they enter India?

Warren Harris: Yes, I think

as with many new energy vehicle companies, when they develop product, they develop their first products that underpin their portfolio. They quickly shift to building product and to selling product, and that's the phase that VinFast are in. I think that their prospects for further expansion and for expanding the manufacturing capacity is going to be somewhat dependent and linke d to the success of their current portfolio.

We're very proud of the relationship with VinFast. We're very excited about the impact that they can have on the overall market. But the timing for when they come here to India and the timing associated with whe n they will launch new product investments is still, from our perspective, still somewhat up in the air.

Abhishek Kumar: Okay. One last question from my side on the large deal that you mentioned, $50 million deal. The rebalancing of engineering resources f rom US to India, it sounds a little counterfactual to the insourcing trend that we hear in the market. I just wanted to understand, is it because the OEMs are increasingly under budget constraints and therefore that is driving higher offshoring? Is that ki nd of driven by that? And if so, do you see this kind of trend accelerating going forward? Thank you.

Warren Harris: I think if you look at the North American market and you look at Detroit specifically, I think despite the investments that have been made in offshoring, a substantial part of the Detroit resource pool that is leveraged by the big three and the Tier 1s is somewhat still dependent upon staffing companies. I think that given the need to invest in capacity and new skills, I think all of the comp anies that define the North American market, I think they are increasingly looking to India and to offshore locations like Eastern Europe to satisfy that new demand. And that's really what this deal is focused upon.

As the clock speed of technology change continues to accelerate, the access to local talent is important.

Abhishek Kumar: Great, that is very helpful. Thank you and all the best, Warren.

Moderator: Thank you. Our next question is from the line of Jay Vleeschhouwer from

Griffin Securities. Please go ahead.
Jay Vleeschhouwer: Thank you. Hello, Warren. You made some very interesting remarks concerning the evolution of the automotive ecosystem as you see it, and as well your own evolution in terms of your offerings and now your partnership announceme nts.
With that in mind, two things if I may. Number one, what are you seeing in terms of your engagement or pipeline with regard to functions that complement PLM? I have in mind specifically, for example, simulation, ALM and other associated applications. Are you beginning to see more demand for those functions to complement your PLM implementation work?
Then with regard to the partnerships, the comments about Intel and ARM are quite interesting. Would it stand to reason that you could take that a step further and also partner with any role of the EDA companies, such as Siemens, with whom you already have a relationship, or the others to further deepen your exposure to the electronics world?
Warren Harris: It is great to hear from you, Jay. Again, thanks fo r joining the conference call and thanks for the questions. I think there are a number of questions in there, and I think if I answered them comprehensively, we would probably be on the call all night.
Just in terms of summary, I think if we look at the wo rk that we are doing with the companies that we are working with on the digital side, I think increasingly, we are looking at comprehensive digital twin and digital thread initiatives that extend beyond PLM, certainly at ALM and into manufacturing executio n systems and ERP systems.
One of the things t

hat I think has really defined the difference that matters that we represent is the ability to be able to integrate those platforms in a way that is aligned and required by the industry and the companies that we are working with. We certainly see that analysis and simulation is a key component of that in some of our most recent implementations of profiles.
The value that can be crystallized if you can get the integration right and you can align that to an optim ized product development process. As far as the relationships with the chip manufacturers, they are relationships that we are very excited about.

I referenced that the industry is going through a transition from a supply chain that was somewhat vertical and controlled by the OEM to a horizontal ecosystem that is somewhat dependent upon the contribution from multiple players.
I think partnerships and alliances are going to define the industry going forward. We are very excited about being able to really form a meaningful relationship with the type of companies that we believe will be a major player.
Obviously, Intel and ARM are major players today, but I think the strategies and the commitment that they are making to the mobility sector certainly gives us confidence that they are going to grow their influence. By association, we expect to make a big contribution towards their plans.
Moderator: Thank you. Our next question is from the line of Kshitij Saraf from Tusk Investments. Please go ahead.
Kshi tij Saraf: Hi. Good evening. Congratulations on the consistency in the performance. My first question is on the partnership. We have ARM as a partner and we have Intel as a partner. With Intel, we primarily intend to focus on the APAC and with ARM in the E uropean region. Is that understanding correct?
Warren Harris: No. The solutions that we're looking to deploy, we will take to the markets globally, but specifically in Asia Pacific. We have agreed to work with Intel on a joint go -to-market proposition that will be focused upon Southeast Asia and specifically China. That's an extension of the technical partnership that we're celebrating today.
Kshitij Saraf: Okay. The Tata Group overall announced a collaboration with NVIDIA for the drive plat form with relation to 2026 -27 launches. Would Tata Technologies

play a role in that whole piece?
Warren Harris: We're not at liberty because of confidentiality agreements to share specifics of what we're doing for different customers. Rest assured, with re gard to JLR and TML, we're involved in all aspects of their product development process. When announcements of that type are made, you can have confidence that Tata Technologies is involved.
Kshitij Saraf: Got it. That's very helpful. Lastly, on the client pyramid and the mining effort, how is the pipeline for the large deals shaping up? How does it work for you guys? Does it so happen that the 1 -250-odd-million bracket engagements, they become into a more holistic sort of end -to-end solution? Or does it st art

from a large contract when from a new customer? Any light there would be really helpful.
Warren Harris: I think the architecture and the specifics of large deals vary from customer - to-customer engagement to engagement. What I will say is that we are targeting large deals both in terms of our hunting activities and in terms of the relationships that we have with our existing customers. One of the things that we've been focusing on is proactive architecting of large propositions that address the unmet nee ds of our customers.
That investment and that capability that we are build

ing is in part what's informed progress that we're making on the large deal front.
Moderator: Thank you. Our next question is from the line of Karan Uppal from Phillip Capital India. Please go ahead.
Karan Uppal: Yes, thanks for the opportunity. So, Warren, the first question is on EVs. We have seen some bit of a customer adoption which has slowed down in EVs in the US and Europe due to multiple reasons. We have a very strong success in the EV segment. Will it have any impact on our business due to this?
Warren Harris: That's a great question and a question that we've been asked multiple times since the statements from companies like GM and Ford and to a lesser extent, the likes of Toy ota. Our view is that the pendulum swing has been affected within the automotive industry in terms of the move to alternative propulsion systems.
All of the projects that we are currently involved with from a product development perspective, almost all of the projects have some form of electrification. And if you look at where the industry is investing, we are quite confident that the thrust towards the skill sets and capabilities that we have will not only continue, but it will sustain through the extended period over the next 5 to 10 years.
I think that there are some specific things that are influencing the North American market. I think that there is concerns about the change in the White House at the end of the year and the impact that that will have on the Inflation Reduction Act. And there may be things like that that will play out in different parts of the world. And I think that could have an impact on demand and the number of units that are sold.

But I do not believe that it's going to impact the in vestment in new product. We are typically, when we are engaged to develop product for our customers, we're investing in what will define the competitive position of our customers in 3- and 4 -years' time. And we do not see at the moment any compromise or slowdown in the demand that we've been building our thesis around for the last 3 to 4 years.

Karan Uppal: Okay. Thanks a lot for the detailed answer. The second question is regarding the services segment. So, in services, we have seen a growth rate of close to double digits in this quarter and in H1 it was around 15. So, considering the drag from VinFast, how should we think about the growth in services segment for FY '25?
Warren Harris: As I said before, I think that the transition from engineering to launch support, it impacted Q3. We expect further runoff in Q4. And so, growth will taper. But we'll be largely through it come the end of February, March time frame. And so, as we go into FY '25, the base will be solid and we expect to continue the growth traje ctory that we've been on for the last 3 years. So, we're extremely bullish about next year. And we anticipated what's happened at VinFast. We've planned and we've prepared for it. So, this is not a surprise.
Karan Uppal: Okay. And last question is on margi ns. So, the margins have seen a very smart expansion over the last 3 years. And in this quarter also, we have seen a margin expansion. So, from a medium -term perspective, how are you thinking about margins? Are they optimized or do you think there's still room for expansion going right?
Warren Harris: I'll let Savitha take that one.
Savitha Balachandran: Yes, thanks for the question. You're right. I think there's been a lot of concerted effort to look at improving our cost base and our operational efficienc ies. And the result of that is what you've seen as part of our margin expansion story, aided of course by growth that we've enjoyed as well. And if you look at within the industry, one would say that our peers of similar size tend to opera

te at the same le vel that we are at right now, somewhere between 18% to 18.5%.
And that's the band that at this point, we want to consistently be able to deliver. And as we continue to grow and scale our business, the North Star in the medium to long term would be to try a nd build another 200 to 250 basis point on top of this level.

And that's the kind of goalpost we'll try and move the business towards.
Karan Uppal: Any timeline you're looking at for these 200 to 250 bps expansions?
Savitha Balachandran: Sorry, could you repeat your question?
Karan Uppal: I'm saying any timeline you're looking at for these 200 to 250 bps expansions, maybe over the next one year, two years?
Savitha Balachandran: At this point in time, I'm afraid we won't be able to put a specific timeline on it. But as the business scales, one should be able to see benefits of that flowing through to margins, through both operating leverage and efficiency.
Karan Uppal: Okay, thanks a lot. And all the best.
Savitha Balachandran: Thank you.
Moderator : Thank you. The next question is from the line of Ashish T from JM Mutual Funds. Please go ahead.
Ashish T: Thanks for the opportunity. So we do understand that we also have an engagement with Airbus. So as far as the recent development is concerned, Airbus and Tata will be manufacturing H125 single engine helicopters, again, based out of Gujarat facility. So if you could help us understand our engagement, the entire scheme of things, you said that we are involved with Tata Motors and JLR in almost every a spect.
So would it be fair to assume that as far as Airbus and Tata group contracts are concerned, to be there spread out across pretty nicely?
Warren Harris: Again, I'm not at liberty to confirm the specifics of the engagement that we have with TASL or Ai rbus. But what I will say is that we were accredited by Airbus some 18 months ago. We're now part of their EMES cube supply program. That program is a program that supports over EUR2 billion of annualized outsourced spend.
And increasingly, that spend is c oming to India. We are the only accredited Tata Group engineering service provider. The relationship between Airbus and

the Tata group continues to grow, not just with the C295 engagement with
TASL, but also through the investment that Air India have made in terms of a
new aircraft that will be coming into the fleet in the next couple of years.

And we believe that the tailwinds associated with that partnership will provide
significant opportunity for Tata Technology. So we're excited about the
relationship with Airbus. We've invested in opening up facilities in Toulouse
and Hamburg. We've had a longstanding relationship with TASL. We have a
relationship with Air India.
And we expect to continue to support all of those organizations as we build
out our aeros pace proposition in the future.
Ashish T: And would we have a similar engagement with Boeing as well?
Warren Harris: We've worked with Boeing for many, many years. I worked in the 90s with --
through the partnership that we have with Dassault Systems on th e first
digital aircraft, the 777. We were also a major supplier to their PLM initiatives
in and around the 787. We have a number of technical engagements with
Boeing at the moment and are in discussions with regard to scaling that and
making that relation ship into something that's meaningful to both
organizations. So we do have ambitions to build out our partnership with
Boeing.
Ashish T: This is helpful. And lastly, our proportion of services business and the
technology business to our ov

erall revenues. S o 80% of the revenues coming
from services part, so that should remain stable or you envisage a higher
percentage contribution as we go ahead into the years?
Warren Harris: I think our ambitions are to scale the services business at a faster rate than
the technology solutions business. The technology solutions business is
important to us because it helps us maintain the relationship with the
technology vendors that provide the technology stack on which
manufacturing companies do business.
And so it's import ant in terms of revenue, but it's more important in terms of
the strategic contribution that it makes to our business. So our ambitions in
terms of growth for technology solutions is somewhat lesser than the
ambitions that we have for our services business .
Ashish T: Yes, this is very helpful. Thanks and all the best.
Moderator: Thank you. Our next question is from the line of Kshitij Saraf from Tusk
Investments. Please go ahead.

Kshitij Saraf: Yes, thank you again. If I could just chip in with one more que stion. We have
80 odd% of revenues within services segment from the auto industry. So
going forward, how do we see this mix shifting because we have aerospace
and the tailwinds there of. And there's a mention of helping the world farm as
well. So in contex t of that is industrial heavy machinery and any sort of work
that you're doing, you could share what's building in the pipeline and what sort
of capabilities are really helpful.
Warren Harris: Yes, it's a great, great question. And I think just in terms of how we are looking
at the industry diversification in the business, we continue at our heart to
focus upon the mobility sector. We are recognized by Zinnov as the number
one automotive engineering service provider in India. And I think our
proposition, ou r full vehicle, our full turnkey capabilities that we have in
automotive that extend beyond mechanical into embedded electronics and
software defined vehicles.

I think that proposition continues to differentiate ourselves and by association represents sign ificant opportunity. And we want to harvest that opportunity. So we're going to stay focused upon automotive. But aerospace is a business that it represents a much smaller base. And so in percentage terms, given the relationship that we've established with Airbus specifically, and given the investments that the group is making, we expect the growth rate of aerospace to extend and exceed the growth in automotive.

And with transport, construction, and heavy machinery, typically that industry lags automotive by three to four years. And so the move to electrification, connected, autonomous and shared, we're starting to see that in the farm equipment and the construction equipment space. And many of the skills and experiences that we've capitalized in automotive are directly fungible to the opportunity that that vertical represents.

So we certainly see that the aerospace transport, construction, and heavy machinery in three to five years' time will likely make up a bigger percentage of our services mix than they do today. But that continues to -- But I would continue to reinforce that we are not going to be diverted from the material and the sizable opportunity that we continue to see in automotive.

Kshitij Saraf: Thank you. All the best. Congratulations.

Moderat or: Thank you. The next question is from the line of Girish Pai from Nirmal Bang Equities Private Limited. Please go ahead.

Girish Pai: Yes, thanks for the opportunity. Warren, you mentioned that FY25 is going to see robust growth on the on

e hand, whereas you're saying that VinFast, which is probably the largest kind of customer, which constituted almost like 20% - 25% of revenues in FY23, i f I'm not mistaken. I don't know the number for FY24, will wind down by 4Q. So what is going to replace that in FY25 and still deliver robust growth?

Warren Harris: Again, great question. And so in terms of our business plan and expectations for next year we are working with our automotive customers on the move to electrification and the move to connected and software -defined vehicles. And increasingly, we are seeing a shift of investment from mechanical systems into the new tech areas.

And that's why we' ve invested very heavily in terms of capacity in those areas, and also in terms of capability. And that's why the partnerships with Agratas, the partnerships with Intel, and the partnerships with Arm are so important. And so our expectations for growth nex t year are informed by order book and informed by pipeline in and around those vectors.

We have also seen with aerospace that we will significantly improve the contribution from Airbus as a customer. We were empanelled 18 months ago. We have gone through the accreditation process at Airbus. Airbus is a very regulated company. And so we've had to demonstrate compliance in multiple areas. We've opened offices in Toulouse and Hamburg. And during that time, we've built up a sizable order book, and we expect to discharge that next year. So the order book and trust book that we've built in automotive together with the pipeline and the expectations that we have in and around accounts like Airbus are really inspiring the confidence that we have about the next fisca l year.

Girish Pai: Okay. My second question, Warren, in one of your media interviews, I think prior to the IPO, you mentioned that the exposure to the Tata group, not just Tata Motors and JLR, was to the extent of almost 43%, if I'm not mistaken. And you made a point that, that is up. So is it going to come from Tata Motors, JLR or some other entities within the Tata group?

Warren Harris: Yes, I would distinguish the Tata Motors group from other Tata group companies. Agratas is a subsidiary of Tata Suns, n ot the Tata Motors group. In terms of percentages last year, Tata Motors and JLR, at an aggregate revenue level, represented less than 33%. Because of the confidence that both of

those organizations have given their recent success, they've increased capex over the last 12 months. And that capex investment, and these are public domain numbers, that capex investment is expected to rise somewhat exponentially. And so we clearly want to harvest that opportunity.
And so we are bullish about the growth at Tata M otors and JLR. And as a result, in the short term, we expect the percentage contribution from the Tata Motors group to spike up a little bit. But I think medium to long term, the trend that we've been on for the last 10 years is likely to continue. And I c ertainly would expect in three to five years' time, the contribution from Tata Motors group to diminish in percentage term because of the growth that we see outside of the group.
Now, typically within the group, in the past, we've worked with organizations like Tata Steel, we've worked with TASL, and we've worked with Air India. And we'll continue to cultivate independent relationships with those organizations. But the partnership that I guess I'm most excited about at the moment is the partnership with Agr atas. The group is making a major investment in gigafactories. There will be a need for pack engineering and pack design capabilities.
We will have the opportunity to partner with them in terms of industrializing the plants in Gujarat and in the UK, and i n deploying the di

gital tools that will
enable the development of a product and the optimization of how they run the operations and specifically drive the smart manufacturing solutions into the gigafactory. So very, very excited about the partnership that we've announced today and the potential that augurs in the future.
As I said in my opening comments, it really extends upstream the Tata Technologies capabilities. Traditionally, we've taken responsibility for systems integration of batteries and battery m anagement systems. And this partnership will afford us the opportunity to build and cultivate capabilities in and around the engineering and the design and the development of batteries, not just for the automotive industry, but also for the two -wheeler and the three -wheeler space, and also non -mobility products that require batteries in the future.
Girish Pai: My last question is with regard to what you're seeing in the pipeline, the size of orders. The largest order would be of what size? Would it be somew here around 100 million, 250 million or 500 million? What is the approximate size of the largest order that you see in your pipeline?

Warren Harris: All that I will say as far as order book and pipeline is concerned is that we are confident that the order book and the pipeline will support the ambitions that we have for growth next year. We don't disclose specific customer order book information and we don't disclose the aggregate order book information. I would just say again that we are confident that we have a sufficient platform and sufficient opportunity to realize the type of growth that's expected of this sector.
Girish Pai: Okay, thank you.
Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question of our question -and-answer session. I would now like to hand the conference over to Mr. Vijay Lohia for closing comments.
Vijay Lohia: Thank you everyone for joining us on the call today. We hope that we've been able to answer most of your questions. If there are any further questions, please do get in touch with our investor relations team and we will be happy

to answer all your questions. Goodbye from all of us here at the management team.

Moderator: Thank you. On behalf of Tata Technologies, that concludes this conf erence. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

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May 7, 2024

Dear Sir / Madam,

Subject: Transcript of the conference call on financial results for the quarter and financial year ended March 31, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for the quarter and financial year ended March 31, 2024, conducted after the meeting of the Board of Directors held on May 3, 2024.

The above information will be made available on the website of the Company: www.tatatechnologies.com .

This is for your information and records.

For Tata Technologies Limited

____
Vikrant Gandhe
Company Secretary and Compliance Officer

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Scrip Code: 544028 National Stock Exchange of India Limited
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Trading symbol: TATATECH

"Tata Technologies Limited
Q4 FY'24 Result s Conference Call Transcript "
May 03, 2024

MANAGEMENT : MR. WARREN HARRIS - CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – TATA TECHNOLOGIES LIMITED
MS. SUKANYA SADASIVAN – CHIEF OPERATING OFFICER – TATA TECHNOLOGIES LIMITED
MS. SAVITHA BALACHANDRAN – CHIEF FINANCIAL OFFICER – TATA TECHNOLOGIES LIMITED
MR. VIJAY LOHIA – HEAD OF INVESTOR RELATIONS – TATA TECHNOLOGIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Technologies Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need ass istance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vijay Lohia, Head of Investor Relations at Tata Technologies. Thank you, and over to you.
Vijay Lohia: Hello, everyone, and welcome to Tata Technologies Fourth Quarter Fiscal '24 Results Call. I am Vijay Lohia, heading Investor Relations. With me today are Mr. Warren Harris, CEO and MD, Tata Technologies; Ms. Sukanya Sadasivan, COO, Tata Technologies; and M s. Savitha Balachandran, CFO, Tata Technologies. This call is for 60 minutes.
Our management team will give a brief overview of the company's performance, followed by a Q&A session. As you are aware, we do not provide specific revenue or earnings guidance, and anything said on this call, which reflects our outlook for the future, or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces.
We've outlined these risks in the second slide of the quarterly investor deck available on our website. Our press release and earnings deck have been filed with the stock exchanges and are also available on our website, www.tatatechnologies.com. I hope you 've had a chance to look at them.
Let me now turn the call over to Warren.
Warren Harris: Thank you, Vijay and thank you, everyone, for joining us on today's earnings call. Let me share some key highlights for the quarter and the year gone by. I will then pass the flo

or to Savitha for a more detailed overview of our financial performance. I'm d elighted with the way our business performed in fiscal year '24 with full year revenue growth of 15.9% in Indian rupees and a 15% growth in operating EBITDA.
In the last 3 years, our revenue from operations has grown at 29% compound annual growth rate with operating EBITDA gr owing at 35% CAGR. We closed a total of 12 large deals in fiscal '24, which included one $50 million plus deal

and 5 deals in the $15 million to $25 million range. We signed a strategic agreement with BMW to establish a JV in India that will be focused upon developing next -generation automotive software and digital technologies that will further enable BMW to optim ize the way in which they manage their global enterprise.
Our customer pyramid has continued to improve with 2 customers added in the $10 million to $50 million category, two in the $5 million to $10 million category and three in the $1 million to $5 million category. For Q4, we recorded aggregate sequential rev enue growth of 1.2% in U.S. dollars. Our services business, which formed 77% of our total revenue was flat sequentially, driven by the anticipated ramp down at VinFast. Excluding VinFast, however, the rest of our services businesses continued to show very healthy momentum with industry -leading sequential growth of 10.4% and full year growth of 30%.
So let me just reinforce, outside of the runoff we've seen at VinFast, our services business grew 10.4% sequentially and again 30% year -on-year. Our

margin performance has remained resilient with operating EBITDA coming in at 18.4%, an improvement of 10 b asis points compared with the previous quarter.
In the automotive sector, we are witnessing robust demand for software - defined vehicles driven by our customers' growing interest in developing AI - powered autonomous driving and connected services for their next - generation vehicles. Additionally, we conti nue to see growth in areas like smart manufacturing, PLM, ERP, and manufacturing execution solutions as our customers strive to further optimize their product realization capabilities.
Outside of automotive, our aerospace vertical continues to scale with opportunities opening up in North America, Europe and here in India. Whilst demand for high -end embedded and cybersecurity solutions has largely informed the growth that we see in the i ndustrial heavy machinery sector. We

had two milestone wins in the quarter, which included the strategic partnership with BMW and a $30 million deal in the Education segment with the government of Telangana to modernize 65 state -owned ITIs.
Our large deal pipeline remains healthy and continues to grow. We are currently engaged in several large deal discussions with existing and new customers and anticipate an uptick in deal conversions in the current quarter.
Let me now talk about the joint venture with BMW. A landmark deal for Tata Technologies and the engineering services sector in India. The JV is subject to regulatory approval. And so, at this stage, we are not able to share too many details. However, what I can say in addition to my prev ious comments is that this partnership represents a strategic commitment from BMW to Tata Technologies.
We expect regulatory approvals to be secured in the next couple of months and anticipate that the JV will commence operations sometime in the second half of this fiscal year. The JV is intended to accelerate the progress of BMW in the field of automotive software and enterprise IT solutions. In automotive software, the focus will be on automated

driving, infotainment and digital
services. In Business IT, the emphasis will be on digitization and automation of the product development, production and customer experience value chains.
BMW's decision to select Tata Technologies as a JV partner, following an exhaustive 12 -month evaluation of candidate Indian engineering services firms, many of which had incumbent relationships with BMW. The fact that BMW selected Tata Technologies is a t estament to the breadth and depth of our capabilities and the trust that underpins the Tata brand.
With 2.5 million vehicle deliveries in 2023, BMW continues to be the leading car -- luxury car brand in the world. We are honoured to partner with them as they actively invest to shape the future of mobility. Let me now provide you with a brief synopsis o f the progress we continue to make with our largest

customers. In the previous quarter, I profiled the growing collaboration between Tata Motors, JLR and Tata Technologies by highlighting the joint work that we've undertaken to implement a smart manufacturing solution at Sanand 2, the production facility th at Tata Motors acquired from Ford Motor Company in January 2023.
Synergy projects in Q4 have extended to include support that we currently - - we are currently providing to enable Tata Motors to develop an all -new battery electric vehicle for the Indian market using JLR's EMA platform.

The developments at VinFast has been broadly in line with the guidance that we provided in the previous quarter. In Q4, we have largely completed the transition from engineering to launch support for the 2 vehicles that we've successfully developed for VinFast. Consequently, sequential revenues dropped in a material way between Q3 and Q4. We expect to see fu rther runoff in the first quarter of this fiscal year and will enter Q2 with revenues from VinFast largely being restricted to a small number of T&M positions.
I'm very proud of the fact that despite the steep runoff of VinFast in H2 of fiscal year 2024, the aggregate impact was mitigated by new business from other customers; a real testament to the forward visibility and the operational rigor that we have built into our business.
Apart from our top 3 clients, momentum continues to build as evidenced by the 30% year -on-year services growth that we've seen outside of VinFast in FY24. Furthermore, our customer pyramid continues to improve with 41 customers generating over $1 million in annualized services revenue in Q4 as opposed to 34 customers during the corresponding period last year. From an offering perspective, we are excited about the potential that GenAI has to revolutionize the manufacturing sector.

We are making good progress in deploying GenAI solutions for our customers in engineering, manufacturing, and various aspects of the customer experience value chain. Despite GenAI adoption in manufacturing still being relatively nascent, we currently -- we are currently implementing solutions that are delivering tangible value to our customers.
Let me profile a couple of examples. For a luxury German automotive OEM, we are using AI and GenAI to develop a recommendation engine for their in - vehicle infotainment system. The solution limits driver distractions by configuring infotainment options bas ed upon location, time of day and prior usage.
For global automotive Tier 1, we are developing a GenAI Bot for field engineers that provides quick access to service documents that are stored in various data silos, formats and languages. For an Indian automotive OEM, we are developing a factory copilot using G

enAI, which will improve manufacturing quality by enabling assembly workers to log build issues with text -to-voice in local language. This data repository will be used to standardize and accelerate future quality interventions.
Given the significant impact that GenAI will have on the manufacturing sector, we are making material investments in training and capability building. Specifically, we have curated specialized learning paths and training programs that will ensure that mor e than 10,000 of our engineers are trained in basic GenAI skills with a further 2,000 engineers receiving intermediate -to- advanced GenAI training over the course of the next 12 months. In Q4 alone, we trained almost 1,000 engineers.
As previously guided, we remain committed to building an ecosystem of partnerships that will further enhance the value that we deliver to our customers. To that end, we are pleased to unveil 2 significant partnerships

that will further strengthen our expertise around software -defined products and services.
The first is with Siemens electronic design automation in support of their PAVE360 platform that has been developed to enable multi -supplier

collaboration across their software -defined vehicle value chain. Our partnership will focus upon building this plat form with Tata Technologies digital services to enable vehicle OEMs, chip makers, Tier 1 automotive suppliers, software houses and other vendors to collaborate on the development and customization of extraordinarily complex software -defined vehicle solutio ns.
The second partnership is with Databricks that is focused upon data analytics and AI and specifically the Databricks Lakehouse for manufacturing. Data Lakehouse is an architecture that enables AI applications to leverage directly the vast amounts of data stored in data lakes. Our focus will be on smart manufacturing and targeted solutions will include predictive maintenance, part-level forecasting and the development and implementation of computer vision applications.
From a Technology Solutions standpoint, our products and education business saw robust sequential growth of 6% in Indian rupees, driven largely by our education business, where we have multiple ongoing projects for the governments of Bihar, Assam and UP, amongst others. Our order book is healthy, and we expect to close a number of sizable deals in this area in the current quarter. The products business was steady after the sharp jump that we realized in the seasonally strong third quarter. Overall, I'm ple ased with our Q4 and FY '24 performance. Market conditions remain favourable, and we are well positioned for continued growth and success in the current fiscal year.
Let me now hand it over to Savitha to take you through our financial performance.

Savitha Balachandran: Thank you, Warren. Good morning or good evening, everyone, depending on where you're joining us from, and thank you for joining us on this call today. Let me now walk you through the financial performance in the fourth quarter and for the full year fiscal '24. Our revenue from operations grew 0.9% sequentially to INR 13,010 million for the quarter. On a constant currency basis, the total revenues were up 0.3% sequentially. For the full fiscal year 2024, our revenues from operations inc reased 15.9% year -on-year to INR 51,172 million. On a constant currency basis, the full year revenues were up 12.6% year -on-year.
Let me now highlight the performance for the 2 segments that we operate in. In the Services segment, which formed about 77% of our revenues in the quarter, revenues margina

lly slipped by 0.6% over the previous quarter to INR 9,951 million. In U.S. dollar constant currency terms, revenues were sequentially down by 1%. For the full fiscal year 2024, Services segment revenues were up 12.8% over fiscal year '23. And on a constant currency basis, full year revenues were up 9.2% year -on-year.
As we shared in the earnings call last quarter, the contribution to the services revenue from the mega full vehicle programs with VinFast significantly declined in Q3 and further in Q4, as we ramped down our deployed capacity having completed the developm ent of the 2 electric vehicles that we were in charge of and our activities are now transitioning to long support. I'm pleased to note that the rest of the services business has continued to grow at a very healthy rate and helped to significantly offset th is impact to a large extent. In fact, our services revenues growth, excluding VinFast was 10.4% in this quarter compared with Q3 and 31.7% compared with quarter 4 of last fiscal year, and it grew by 30% year -on-year for the full year 2024.
This was driven by robust growth across both anchor as well as non -anchor customers. In our other segment of Technology Solutions, Top line grew by 6.1% over Q3 to register a revenue of INR 3,060 million. On a year -on-year

basis, the Q4 revenues were down 28.6%, driven by a very high base effect from the fourth quarter of last year, where nearly half of the full year segment revenue was recognized in that particular quarter as we began execution of the multiple programs, we had secured in our education business earlier during the year. Continuation of these deliveries to various state governments, including the government of Bihar, Assam and Uttar Pradesh, among others, enabled the full fiscal year 2024 revenues in Tech S olutions to grow by 28.5% year -on-year to INR 11,346 million.
Our operating margin in Q4 increased by 10 basis points sequentially from 18.3% in Q3 to 18.4% in this quarter, driven by better utilization and continued reduction in the outsourcing and subcontracting cost, partly offset by higher employee expenses as we strategically align our resource base with revenue profile. For the full year fiscal '24, our operating EBITDA increased by 14.7% to INR 9,413 million, and we closed the full year with an EBITDA margin of 18.4% in line with the range that we have aspired for.
We recognized other income of about INR 241 million during the quarter compared with INR 307 million in Q3, and this was primarily driven by the lower R&D credit income in the quarter, in line with the qualifying revenues. Consequently, profit before tax declined 1.8% sequentially to INR 2,308 million and for the full year, our PBT increased 17.1% to INR 9,321 million. During Q4, we assist the underlying assumptions of our business scenario and decided to adopt the new tax regime in India from fiscal 2024. This resulted in an increase in deferred tax expense of INR122 million for the year ended 31st of March 2024, which is a onetime impact on account of remeasurement of deferred tax assets resulting in our effective tax rate increasing to 31.9% in Q4. Excluding this one -off impact, the effective tax rate for the quarter was 26.6%, and the effective tax rate for t he full year fiscal '24 will be under 26%.

Net income came in at INR1,572 million compared with INR1,702 million in Q3 and for the full year of fiscal '24 net income increased 8.9% year -on-year to INR6,794 million, representing 13.3% of our operating revenues.
The Board today recommended a final dividend of INR8.4 per share for fis

cal
year '24, which translates to a dividend payout of 50% for fiscal '24. In addition to this, the Board has also proposed a special dividend of INR1.65 per share. The dividend paymen t is subject to approval by shareholders of the company at the AGM.
Regarding the balance sheet, our focus remains steadfast on maintaining robust liquidity with a net cash balance of $146.3 million at the end of the fourth quarter, as opposed to the $126.5 million we held at the end of December 2023. The total DSO billed and unbilled stood at 83 days at the end of March, much improved compared to the 95 days at the end of Q3. Improvement in DSO was the result of improved collection efficiency during the quarter, and therefore, the billed DSO came in at 69 days compared to 81 days at the end of Q3, while unbilled DSO stood at 14 days, flat compared to the 15 days at the end of Q3.
Coming to cash flows. Our free cash flow stood at INR2,124 million in Q4, and we persisted in our efforts to maintain efficiency in our cash collections and conversion rates. Let me now give you some colour on the operational metrics. Our head count stood at 12,688 employees at the end of the quarter, representing a point -to-point increase of 0.5% or 65 employees compared to the previous quarter as we showed up capacity in some of our focused growth areas. This is broadly in line with our overall revenue g rowth for the quarter.
I'm very pleased with our teams who have done a great job of redirecting most

of our talent that came off from the VinFast programs to other programs, while we still have a small tail that is being actioned in the current quarter. Our

utilization levels improved 180 basis points sequentially to 86% as a result of this as well as due to higher working days in Q4 compared to the previous quarter.

In fiscal '24, we added about 1,072 new net members to our employee base, which was up 9.2% over fiscal '23, including the campus hires that continue to contribute in optimizing our people pyramid, while building great talent pipeline. Attrition level has continued to improve, driven by a reduction in the overall attrition level in the industry as well as enabled by our employee engagement initiatives. At the end of Q4, our 12 -month voluntary attrition stood at 14.5% compared with 15.4% in Q3 and the annua lized attrition rate in Q4 now stands at 13%.

The progression of our customer pyramids, indicating the number of customers generating revenue surpassing $1 million has remained consistently positive. I want to highlight the notable growth within the $1 million to $5 million category, which rose to 30% in the fourth quarter compared to 27% during the same period last year. We have also seen impro vement in the $10 million to $50 million category, which now has 5 customers compared with 3 at the end of the previous quarter. On the revenue mix, while revenue source from outside our delivery centres in India and Romania and executed offshore saw a mar ginal drop this quarter, in the full year, fiscal '24, our on -site offshore mix has moved in Favor of offshore with 38% of revenues being executed here compared with 36% in the previous fiscal year. We continue to actively focus on strategies to steadily enhance this metric.

Overall, I'm pleased with our execution in this fiscal '24, ending the year with a robust EBITDA margin of 18.4% and strong liquidity. And also with having delivered over 18% margins consistently in the last 3 consecutive years, in line with our stated as piration. We will continue to follow a balanced approach of exercising operational discipline, we are strategically investing in capacity and

capabilities to seize the opportunity for growth as the industry pivots towards alternative professional systems, smart manufacturing, embedded and autonomous technologies. We are excited about our prospects in fiscal '25 and remain committed towards creat ing long -term value.

With that, I thank you for your time, and we can now open the floor for questions.

Moderator: We'll take a first question from the line of Abhishek Kumar from JM Financial.

Abhishek Kumar: Congratulations on...

Moderator: I'm sorry, Mr. Kumar, may I request you to use your handset mode, please?

Abhishek Kumar: Yes. Just one minute. I hope I'm audible now?

Moderator: Yes, please go ahead.

Abhishek Kumar: Warren, Savitha, congratulations on good execution. My first question is on VinFast. Ex of VinFast, we have grown 10%. I just wanted to understand whether this is -- and still, overall growth has been kind of flattish, completely offsetting the decline in VinFast. So is it just a coincidence or in a way, it's by design as the resources that are being released from the VinFast projects are being deployed in some of the other programs. And the reason why I'm asking this is the implication once the VinFast runoff is over, does it mean that the growth -- headline growth will start looking that much better? Or it would be much more subdued than what we can foresee now?

Warren Harris: Well, thanks for the question, Abhishek. And I think the question is a fair one, given the circumstances that we've grappled with over the course of the last 6 months. The relationship with VinFast has been a really important part of the development that w e've realized in terms of the full breadth and depth of our full -vehicle capabilities.

Not only have we developed the 2 SUVs that we were directly responsible for, but we also have developed an electrical architecture and a connected architecture that is informed for vehicles. So we're very proud of what we've done there. We're very proud of the contribution that we've made to the development of VinFast.

But like most new energy vehicle companies, when they develop a portfolio of products, they shift their focus to building them and generating demand for them. And that's exactly what's happening at VinFast. The focus that they have right now is ramping up their production capabilities in Haiphong, in preparing additional capacity in North Carolina and also here in India and shipping product to consumers.

And so we anticipated this some 12 months ago. We worked on aligning pipeline with the capability that we knew was coming off. And we've been able to navigate the material transition in terms of head count from VinFast to other customers. I think your ins ight is spot on.

I think once we get through this current quarter, we will be largely through the complete decoupling of the work that we've done on the 2 projects that we've been responsible for. And we certainly expect growth then to pick up. We have entered the year wit h a very strong pipeline. We are expecting an uptick, as I mentioned, in terms of large deal conversions this quarter. And we certainly expect that will inform a very strong set of growth numbers as we transition through the year.

Abhishek Kumar: Okay. Maybe my next question is on demand in general outside of VinFast. We've heard EV slowdown globally, et cetera. How much of that is impacting our programs on the EV -- more on the core engineering side, less on the SUV side. Is there any impact at al l that we see in demand?

Warren Harris: Yes. Fran

kly, we're not seeing any drop -off in demand. The transition away from conventional IC propulsion systems to electric vehicles is very much the direction that the industry is taking and the fortunes of individual companies is being influenced by t he tapering of the sales cycles.

But my observation, my point of view is that much of that is being driven by the fact that certainly, Western OEMs do not have low -cost EVs to be able to sell. And so, what we're seeing is that they're doubling down on building out the portfolio and resisting the threat and the technology gap that they see between themselves and the Chinese OEMs. So for us on the engineering and new product development side of things, t hose market dynamics are driving tailwinds that we are intersecting with.

Moderator: We'll take the next question from the line of Nitin Sharma from MC Pro Research.

Nitin Sharma: Firstly, can you please quantify the total deal win in the quarter? How much was the change on Q -on-Q or Y -O-Y basis?

Warren Harris: We don't share those details and by association, we don't share guidance going forward. But what I can say is that deal conversions was robust and in line with our expectations. And the commentary that we've effected in terms of confidence in fiscal 2025 i s informed by that. So we don't see any drop -off in demand.

And not only are we targeting deal wins with our existing customers, we're also taking full advantage of the halo effect associated with the BMW deal and leveraging that to generate interest from new logos. So, we remain confident about this fiscal year and the productivity of our sales teams continues to be at a very high level.

Nitin Sharma: Okay. And secondly, is it possible for you to provide some colour on how was the performance of the product and education subsegments? And also, can you please repeat the utilization in FY '24?

Warren Harris: In terms of the Technology Solutions division of our business, we saw growth in education. Products was relatively flat. But the product business is a seasonal business. We typically see growth in Q3 and then there is typically a strong start to the calend ar year. So that's played out in fiscal '24 in the same way that it has in previous years.

And one of the things that we saw last year was very predictable growth in education sequentially throughout the year. Savitha referenced in her comments, in Q4 of FY '23, almost 2/3 of the education business for FY '23 was discharged in the fourth quarte r. And so what we've done is we've worked hard to smooth that out throughout the fiscal year and that's played out. And we saw incremental growth in education, Q3 to Q4, but that was very much along the lines of what we had budgeted and what we planned for .

Nitin Sharma: And on the utilization levels, I missed that on your initial commentary.

Savitha Balachandran: Currently, we have utilization in excess of about 85%, 86%. And around that is where we believe the normalized levels would be for us at a global level.

Moderator: We'll take a next question from the line of Jatin Kalra from Bank of America.

Jatin Kalra: My first question, just an extension on the earlier question asked on the EBIT. The hybrid versus electric debate keeps coming up I wanted to check if it is fair to assume that, if at all, there is a significant shift happening from electric to hybrid, wou ld it be largely net neutral event for you? Is the research intensity same in both kinds?

Warren Harris: Yes, great question and good to hear your voice again. As far as we are concerned, if you look at the portfolio of vehicles that we've delivered for our

customers, it encompasses the various propulsion options that are available to what we have. If you take the work that we did for Polestar when Volvo launched that particular brand. We did the Polestar 1. That was a plug -in hybrid, a very sophisticated hal o product for Volvo that was used to launch the brand. Not only was it a sophisticated plug -in hybrid proposition, but it also had a very complex carbon fiber upper structure that we engineered and developed in Europe, the U.K. and India, and we helped Vol vo launch in China. So that's a technology that we understand very well. We are seeing with the North Americans and some of the Europeans that want to hedge their bets as far as full EVs are concerned, we are starting to see renewed interest in a much more balanced approach to the transition that we're seeing overall in the industry. But for us, we're as excited about working on plug -in hybrids as we are on fully electric vehicles.

Jatin Kalra: Great. That was really helpful. My second question, on the services business, because there is a big delta in your Y -O-Y profile at VinFast and ex -VinFast, could you provide a bit more colour on the Y -o-Y growth cadence for the next few quarters; does it pick up uniformly? Have you bottomed in Q4? Or do you expect to see another slower quarter on Y -O-Y basis and then see big jumps in Q2, Q3 as you move forward?

Warren Harris: What I can say is that the material transition of VinFast has played out in Q3 and Q4. There is a slight overhang that we'll work through in the current quarter. And then for all intents and purposes, we will be through the transition. And the growth rates that I referenced and Savitha referenced will inform, I think, the trajectory beyond that. But we don't provide specific guidance. So, I'm not going to give you any specific numbers. But I'm confident about the momentum that we've establish ed. We don't see any drop in demand. And so we expect fiscal year '25 to be a good year.

Jatin Kalra: Understood. Got it. Can I slip in one more, if that's allowed?

Warren Harris: Go ahead.

Jatin Kalra: Yes. So I understood that you're not saying anything on the BMW deal. But in these kinds of JVs, is there a practice to involve a buyout clause by the enterprise on the JV after some time? Is that something that one should keep account of?

Warren Harris: Yes. We're not at liberty to make any comments about the specifics of the JV at this stage. We certainly -- once we've gotten through regulatory approval, we'll provide more colour on what we can expect and what the market can expect from that deal. But on e of the things that I'll just reinforce is that, that deal is not only an important deal for Tata Technologies. It's a really important deal for the Indian engineering services sector.

BMW is a very discerning customer, and they are coming into India at scale. They're coming into India for automotive software and also digital technologies that will help them optimize the way in which they run their enterprise. And I think it will send a signal to other OEMs that are not yet fully vested in this region. And we are very, very excited about what it means, not just for us, but again, the legitimizing of the engineering services market here in this country.

Moderator: We'll take our next question from the line of Moez Chandani from AMBIT Capital.

Moez Chandani: I wanted to understand what percentage of your revenue contribution ex - VinFast has been driven by your anchor clients versus your non -anchor clients? And also on a related note, is there any particular client or a project that you would like to call out th at has helped you scale up your and replace of VinFast revenues so strong

ly in Q4 as well as Q3?

Savitha Balachandran: I think the short answer to your first question is the growth has been fairly diversified outside of the VinFast runoff. And therefore, both anchor as

well as some of our key and focus accounts outside of the anchor accounts have broadly grown anywhere between 25% to 30% during the fiscal year on a year -on-year basis. So, it's been a fairly broad -based growth would be my response. Do you want to take the second one, Warren?

Warren Harris: Can you help me with the second question?

Moez Chandani: Sure. Is there any particular client that you'd like to call out where you've been able to scale up so fast, so as to replace these revenues from VinFast?

Warren Harris: Just to reinforce what Savitha said, there's no 1 project or 1 customer that has

really provided the lion's share of support for the growth that we've seen. It's really been very broad -based. And for me, that's been one of the most encouraging things. And not only are we seeing it in automotive, we're also seeing it outside of automotive and specifically in aerospace. I signalled in January that we were pleased that we were now starting to discharge the sizable order book that we've built at Airbus. We've seen that play out in the fourth quarter and that's a relationship that we are very excited about, not just in FY '25, but beyond that.
We are very much ensconced now in the EMES3 supplier program. We've been through the accreditations. We've established the Nexus in the Toulouse and Hamburg, and we are really well positioned to take advantage of the support and sponsorship that we are ge tting from Airbus.
We're also, again, beneficiaries of the big bets that the group is making. We've certainly provided support at JLR and TML for the ongoing investments that they are making in their portfolio. But one of the things that we announced in January was the rela tionship, the partnership with Agratas, and that's allowed us to move upstream in terms of the coverage of the EV value chain, particularly as it pertains to pack design, and we've seen a material contribution from that partnership in the fourth quarter.

Moez Chandani: Okay. My second question was on the education sector. So you had a lot of projects with Telangana, UP and a few other states. So how long are these projects? And when do you expect to start to see those projects wind down for Tata Tech?
Warren Harris: Well, those projects are typically multiyear projects. They typically are our projects that are managed in phases. So, for instance, the award that we received in Telangana, providing that we execute well, we would expect to build upon that. The order book for our education business continues to grow. And so we have visibility and confidence that we will see year -on-year improvement in that business, not just in FY '25, but beyond.
Moez Chandani: Sure. But is there a timeline in terms of the number of years that these projects are?
Warren Harris: Typically, the relationships extend through 10 years. The lion's share of the work is in the first couple of years. But then there's a services relationship that we will maintain somewhat indefinitely. And that's the nature of the value proposition that we represent. There are centers that we are deploying, but we are also deploying our e -learning platform and providing training services to support the investment in talent that the ITIs themselves are making.
Moderator: The next question is from the line of Bhavik Mehta from JPMorgan.
Bhavik Mehta: A couple of questions. Firstly, if I look at the head count o

ver the past couple of quarters, it has not gone up much. Now I understand this could be because you're redeploying the people from VinFast project to other projects. But given that VinFast is bo ttom out next quarter, and the demand still remains strong in terms of these wins and pipeline, how should we think about head count growth over the next 2 quarters?
Warren Harris: Yes. I think good question, Bhavik. I think if you look at what we've done as far as head count is concerned in Q3 and in Q4, we've calibrated to

accommodate the runoff that we've seen at VinFast. So your observation, I think, is aligned with what went on.
Also, at the beginning of the calendar year, typically, that's a relatively slow

period as far as large deals are concerned. And so again, we plan our recruitment activities and our onboarding activities to reflect that. We are ramping up as far as recruitment is concerned right now, and we certainly expect the capacity requirements that our growth will position on us to be satisfied as we take full advantage of the teams that we are bringing in.

We are also, in addition to adding headcount, and I've referenced this in the past, we've made significant investments in our internal university, what we brand and refer to as TechVarsity. And we made reference to the reskilling activities in and around GenAI in our opening comments. That university trained and reskilled over 8,500 people last year. And so, it's a capability, which we believe truly differentiates us in the engineering services sector.

So we are investing in talent in terms of increasing headcount, but we're also investing in talent in terms of aligning the skills and capabilities with the demand that the market is imposing upon us.

Bhavik Mehta: Okay. Got it. The second question is on margins. How should we think about margins for FY '25? Are we trying to maintain margins in that ballpark of 18.5% EBITDA? Or is there a scope for some expansion?

Warren Harris: One of the things that I'll do is I'm going to use that question to introduce Sukanya. I'm delighted -- I was delighted last quarter. to confirm the appointment of Sukanya as our COO. Sukanya joins us after over 3 decades at TCS and was part of the leaders hip team that saw TCS scale to the size and to the capabilities that it has. And we are certainly looking to leverage the experience and the understanding and the insights that Sukanya has. We are relatively modest in terms of our margin exp ectation improvements for the

year. But Sukanya, perhaps you could just profile for us some of the areas that we're doubling down on in terms of improvements that we expect to realize in fiscal 2025.

Sukanya Sadasivan: Yes. Thank you, Warren, and hello, everyone. While we don't give any guidance on the margin itself, but I think overall, we are at the range that we want to operate at. But given the focus on sustaining and improving on margins, I think we are looking at m ultiple levers. One is the efficiency that we want to drive around the overall leverage that we want to have in being able to deliver from India for our global customers. We also are looking at how we can improve our pricing based on the newer engagements that we do in embedded, SDV, cybersecurity, GenAI.

So I think pricing is going to be an important lever as well. And Savitha also alluded to the fact that some of the efficiency drivers that we are looking at in terms of utilization as we ramp -up on a large transformation program, how do we very quickly re skill some of these using our TechVarsity and then are able to efficiently redeploy o

ur people globally. So, I think some of these are going to be important levers that will pan out for us in the coming quarters and we definitely have that higher on our ra dar.

Moderator: We'll take our next question from the line of Rajiv Berlia from Citigroup.

Rajiv Berlia: I just want to understand the performance of aerospace vertical in 4Q and the outlook for the same for FY '25? And the second question is the deal which you had announced in the last quarter, the Agratas deal, what is the status of the deal? And by when do we expect the deal to start ramping up for Tata Technologies?

Warren Harris: Okay. As far as aerospace is concerned, Rajiv, we have invested very heavily in the infrastructure to support Airbus. And I discussed in January, the fact that in the second half of last year, we began discharging the order book that

we have built at Airbus. What I can say is that we doubled our revenues at Airbus in Q4 from a relatively small base in Q3. And that momentum is something that we expect to sustain in the current fiscal year. So, we are very bullish about the Airbus relationship. But we're also bullish about the overall aerospace market. If you look at the expectations that is being imposed upon the industry, there's currently about 23,000 productive aircraft in use today that's e xpected to double in the next 15 to 20 years .
And so we're working with Airbus on things like manufacturing throughput. We have relatively mature discussions with other OEMs and the influence that the Tata Group is starting to have on aerospace, particularly in the context of the aircraft; it's buyin g, the partnerships that it's establishing on both the commercial and on the defence side of the aerospace market is providing significant opportunity for us. So very excited about aerospace. And then we've shared in the past that in the next 3 to 5 years, we expect the sort of 90% bias that we have to automotive at the moment to reset in and around about a 20% contribution from aerospace and industrial heavy machinery.
As far as Agratas is concerned, we really have been involved in that organization since its inception. We are providing support for pack design as Agratas looks to confirm its anchor relationships with a couple of targeted OEMs. So we're involved with tha t in the U.K. and here in India, we are working on the deployment of enterprise IT solutions as they look to build the digital backbone that will inform how they run their organization. And we're also in the planning stages at the moment on the industriali zation of the 2 giga factories, one in Gujarat and the other in the southwest of the UK. So that relationship has already established scale, and we expect to continue to build upon that in the coming quarters and the coming years.
Rajiv Berlia: Last question from my side. You have talked about GenAI. Can you talk about some of the proof of concepts that you are seeing in GenAI and what are the sizes of these proof of concepts as of now?

Warren Harris: I'll talk a little bit about projects that I didn't reference in my opening comments. And then Sukanya, if there's any additional comments that you want to reinforce then please share. One of the things that I didn't share in my opening comments, I referen ced what we were doing with a German OEM. I referenced what we were doing here in India as far as a factory Copilot solution and the interventions that we're affecting in terms of quality. But one of the things that we're also doing for anot her OEM is that we are building and deploying a sales assist capability.
And what that sale

s assist capability does is support salespeople in the dealerships to compare and contrast the products that they are looking to position for sale with competitive products and with intelligence that relates to some of the technical speci fications that underpin a particular vehicle. And that is something that is complementing the training interventions that are being planned for the dealership. So, we are not just looking at the traditional engineering or product development and manufactu ring value chain, we're looking to extend the services that we deploy and the applications that we build into the customer experience arena.
Sukanya Sadasivan: Yes. The only other thing that I would like to add is that I think even though it is in very early stages, like Warren mentioned in his opening remarks in terms of manufacturing industry adopting it. But I think we have moved from initial POCs to realize i ndustry use cases where we are seeing a lot of uptick from our customers, and that is reinforcing our investments that we are making in the GenAI space.
Moderator: We'll take our next question from the line of Karan Uppal from PhillipCapital India.
Karan Uppal: Two questions from my side. So firstly, Warren, on the outlook on JLR. So you

were very bullish on JLR account regarding their EV transition at the time of
the IPO. What's the outlook on this account at this point of time? And a related

question to that is Tata Tech the only company who was going to benefit
because of JLR EV transition? And what kind of work is being outsourced to
Tata Tech versus being done in JLR's in -house R&D facility?
Warren Harris: Well, I'll qualify my response by saying we are bound by confidentiality
agreements with most of our customers. And certainly, at JLR, I can speak
about some things, but I can't speak about the specifics of the detailed
engagements that we are involved wit h. But I think if you have followed the
fortunes of JLR over the last couple of years, you'll see that they've been
through the transformation that was initiated in 2019. They've embraced this
modern luxury strategy. They've resized the orga nization to support a
breakeven point at about 300,000 units. And they've invested in a portfolio
of products for the Jaguar brand that we'll see that brand being relaunched
as a pure battery electric vehicle brand in the future.
The investments that they've made in the transition and the work that they've
undertaken to come out of the semiconductor challenge, for instance, has
really propelled JLR through the last couple of years to a level of performance
that for them is record -breaking. And I think that, that's informing confidence.
And that has driven an increase in the CapEx that has certainly benefited the
partnership between Tata Technologies and JLR.
Now JLR has an ecosystem of partners. There are other Tata Group
companies that provide services and support at JLR, there are also
organizations outside of the group that provides support for JLR. And I think
right now, most of the incumbent partners hav e seen an increase in business
as a result of the improved market position of JLR and the confidence that
they have in their current portfolio and the investments that they are making
in next -generation vehicles.
Rajiv Berlia: Okay. Second question is on ICE to EV opportunity. So you have worked with
Tata Motors in a couple of its models transitioning from ICE to EV. So are you

seeing similar kind of deals from other OEMs? Do you think that's a very big
opportunity? Anything in the pipeline you can share?
Warren Harris: I think we a

re seeing the transition away from internal combustion engines.
We're seeing that transition manifest itself in multiple ways. We referenced
before plug -in hybrids. Some companies are jumping straight into a full BEV
platform. And others are st aging that transition in the same way that Tata
Motors have by changing the ICE platform and through the changes,
accommodating an electric propulsion system.
We're seeing demand across all of those segments, and we're working not just
inside of the group with Tata Motors and JLR in those areas, we're working
outside of the group as well. And I think that's a testament to the breadth and
depth of capabilities th at we represent. When we engage with our customers,
we're not positioning a proposition in a single area. We are aligned with the
various options that they have to improve their competitive position.
Moderator: We'll take one last question from the line of Bharat Sheth from Quest
Investment.
Bharat Sheth: Sir, from a medium perspective, if we understand, how do we really have a
strategy to leverage our engineering R&D capability in other areas like Auto is
the one, then second is aerospace that we have, other mobility as well as

industrial, health care side and services in the education. So, first is, how big is the opportunity that you are seeing? And what is really challenge, I mean, to grab those opportunities?

Warren Harris: I think what I would say as far as new technologies are concerned, if I understand the question correctly, the clock speed of technology change is accelerating. And every engineer that is coming into the marketplace now is having to embrace this lifelong l earning challenge. And that's why we have invested in TechVarsity. That's why we've invested in our i GET IT learning

platform. That platform is used by more than 50,000 engineers globally outside of our company. So, it has content that's relevant for the industry, and we're certainly leveraging that to develop the type of skill sets that are required of the industries and the customers that we support.

That investment and that understanding of what it takes to rescale is informing the education proposition that we are driving into the public and the private sectors. The manufacturing industry is going through a massive change. The automotive industry is going through a change now that we've not seen in the last 120 years.

And so the traditional skills whilst still relevant, are needing to be complemented with next -generation skills. And that's what we are building our proposition around. The relationship here in India with the public sector is providing us with business va lue that we are leveraging to further invest in content for our e -learning platform, and we are taking that to individual engineers and also to manufacturing enterprises to further extend our education proposition and build our business in a way that's ali gned with the growth expectations that we've got for the company.

Bharat Sheth: Further to that question...

Warren Harris: Yes. Go ahead.

Moderator: Mr. Sheth. Please go ahead.

Bharat Sheth: Further to that question, which is the next industry that you are seeing a mindset changing for outsourcing, like in Auto and Aerospace, it took several years to outsource from the in -house. So where do we see a kind of a mindset for other industry is play ing out?

Warren Harris: Well, this is my point of view. So, it's not -- it's our perspective. Our perspective is that as the need for new technology, continues to grow and

dominate this market, we think that many of our customers wi

ll likely shrink their focus and will protect and invest in the things that differentiate them and inform their unique position in the market. And increasingly, they will complement their fixed co st investment in engineering with relationships with organizations like ourselves.

And so we think that the tailwinds that we've leveraged to drive growth in the recent past will continue to inform the momentum that we expect to leverage in the future. So that mindset that you referred to, I think is really starting to drive a lot of the decision -making throughout the market. And I think that's why you see consistently not just with our company, but across the sector, type of growth rates that we are seeing, and we are expecting to continue.

Moderator: Thank you. I would now like to hand the conference over to Mr. Vijay Lohia for closing comments. Over to you.

Vijay Lohia: Thank you, everyone, for joining us on today's call. We hope that we've been able to answer most of your questions. If there are any further questions, please do get in touch with our Investor Relations team, and we'll be happy to answer all your questions . Goodbye from all of us here at the management team. Thank you. Have a good weekend.

Moderator: On behalf of Tata Technologies, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2024

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J u l y 2 3 , 2 0 2 4

Dear Sir / Madam, Subject: Transcript of the confere nce call on financial results for the quarter ended June 30, 2024 Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call on financial results for the quarter ended June 30, 2024, conducted after the meeting of the Board of Directors held on July 18, 2024. The above information will be made avai lable on the website of the Company: www.tatatechnologies.com .

This is for your information and records. For Tata Technologies Limited

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Company Secretary and Compliance Officer
Encl: As above BSE Limited
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Exchange Plaza, C-1, Block G, Bandra Kurla Complex, Bandra (E), Mumbai – 400 051, India Trading symbol: TATATECH

"Tata Technologies Limited
Q1 FY'2 5 Results Conference Call Transcript"
July 18 , 2024

MANAGEMENT : MR. WARREN HARRIS – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – TATA TECHNOLOGIES LIMITED
MS. SUKANYA SADASIVAN – CHIEF OPERATING OFFICER – TATA TECHNOLOGIES LIMITED
MS. SAVITHA BALACHANDRAN – CHIEF FINANCIAL OFFICER – TATA TECHNOLOGIES LIMITED
MR. VIJAY LOHIA – HEAD OF INVESTOR RELATIONS – TATA TECHNOLOGIES LIMITED

Moderator: Ladies and gentlemen good day, and welcome to the Tata Technologies Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you ne ed assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vijay Lohia, Head of Investor Relations at Tata Technologies. Thank you and over to you.

Vijay Lohia: Hello everyone, and welcome to Tata Technologies Q1 of Fiscal '25 Results Call. I am Vijay Lohia, heading Investor Relations. With me today are Mr. Warren Harris, CEO and MD, Tata Technologies; Ms. Sukanya Sadasivan, COO, Tata Technologies; and Ms. Savith a Balachandran, CFO, Tata Technologies. This call is for 60 minutes. Our management team will give a brief overview of the company's performance, followed by a Q&A session. As you are aware, we do not provide specific revenue or earnings guidan ce, and anything said on this call, which reflects our outlook for the future, or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces.
We have outlined these risks in the second slide of the quarterly factsheet available on our website. Our press release and earnings deck have been filed with the stock exchanges and are also available on our website, www.tatatechnologies.com. I hope you h ad a chance to look at them. Let me now turn over the call to Warren.
Warren Harris: Thank you, Vijay, and thank you, everyone, for joining us on today's earnings call. Let me share some key highlights for the first quarter of fiscal 2025. I'll then pass the floor to Savitha for a more detailed overview of our

financial
performance.
At an aggregate level, revenue declined by 2.5% sequentially. This was informed in part by the expected seasonality of our value -added product reseller business that is reported as part of Technology Solutions.
Specifically, Technology Solutions de grew by 7.4% from the prior quarter.
As I previously shared, our products business typically does well at the end of each calendar year when our customers in the U.S. renew maintenance contracts and discharge year -end budgets. Consequently, revenue growth in

the first half of the fiscal year is always lower than the second half of the year.
Typically, the revenue split between H1 and H2 is roughly 40:60.
In contrast to our products business, our education vertical grew by 4% sequentially. Moreover, order book and pipeline for our education business is healthy and we anticipate sustained growth throughout this fiscal year.
Despite the aggregate sequential drop in top line, the performance of our Technology Solutions business was largely in line with expectations.
In Services, we also recorded a sequential revenue decline of 1% on account of the short -term phasing of a number of large programs and the completion of our ramp down at VinFast.
These customer -specific headwinds are isolated and unrelated to the overall market conditions, which we believe remain favorable as the manufacturing sector continues to future proof itself through ongoing investments in alternative propulsion systems, sof tware -defined products and services and smart manufacturing.
I am pleased to note that the VinFast transition is now largely behind us, and we fully expect sequential revenue growth of our services business to pick up from the current quarter. Confidence in our full year prospects is fuelled by our order book, conti nued positive momentum within our anchor accounts together with tailwinds that we expect to continue to intersect with across automotive, aerospace and industrial heavy machinery.
Despite the decline in revenue in Q1, our margin performance remained resilient with operating EBITDA coming in at 18.2% in Q1 compared with 18.4% in the previous quarter. Moreover, net profit increased by 3.1% sequentially.
Q1 was also a solid quarter in terms of deal signings, with 3 large deals won during April, May and June. Let me give you some color on these deals.

• We've been awarded a multimillion -dollar, multiyear award for battery and pack design services by a global EV battery manufacturer. This engagement highlights the expansion of our upstream EV capabilities into battery pack engineering, thus extending our i ndustry -leading EV proposition.
• We've also secured an engagement with the North American commercial vehicle manufacturer for the turnkey development of an all-new cab, highlighting once again the applicability of our turnkey full vehicle capabilities beyond the automotive sector.
• In Aerospace, I'm pleased to inform you that we've won a large deal from a European Aerospace Tier 1 to develop first and business class seats for the commercial airline sector. This new logo further extends our growing aerospace customer base.
As far as our offerings are concerned, within our product engineering segment , we continue to see healthy trends across our software -defined products and services offerings. Within our digital engineering lines of service , demand remains strong in the areas of digital threat, smart manufacturing and customer experience solutions.
Specifically in the software -defined products and services domain (SDx) , we've secured a number of high -p

rofile awards. They include :
• We've been selected by a commercial vehicle OEM as their SDV technology partner for the development of middleware stack on a high-performance computing platform. The strategic engagement will focus on building the foundational elements of their software -defined vehicle framework. Notably, we are now starting to witness the accelerated adoption of software -defined capabilities within the commercial and off -highway vehicle space. This growing demand should help us extend our ambitions beyond our traditional f ocus upon passenger vehicles.

• A European luxury OEM, automotive OEM has selected Tata Technologies to deploy a cloud -based virtual platform for the development of software for again, SDVs. With SDV technology increasingly defining the competitive landscape within the automotive sector, OEMs are investing in their own SDV platforms. With proprietary SDV platforms, OEMs can embrace as a service business models that position future opportunities to monetize data and digital services. As a consequence, OEMs are under pressure to shorten the time to market for their SDV propositions. This deal, we see Tata Technologies employee virtualization and cloud -based development capabilities to enable the concurrent development of SDV technology from anywhere in the world, thus leveraging a global tal ent pool without any need to access physical hardware.
We're also extending our industry -leading SDV capabilities by our network of partners and alliances. Building upon the collaboration that we announced earlier in the year, we signed a memorandum of understanding (MoU) in Q1 with Arm that is focused upon leveraging the Arm AE technology platform to accelerate the development of AI -enabled vehicles. In addition, we entered into a strategic partnership with a U.S. -based edge computing start -up to develop an edge engine so lution tailored specifically for SDV us e cases.
As I previously referenced, within our digital engineering offerings , demand for our smart manufacturing capabilities continues to scale across all focused industry sectors. Specifically, in Q1,
• We leveraged our global footprint and manufacturing process knowledge to successfully implement SAP S/4 HANA for Mitsubishi

Electric in just 11 months, cutting the original program time line by 25%. Our cross -functional teams streamline business processes a nd apply digital accelerators to integrate multiple business units, enhancing operational efficiency by a significant 15%. This deployment has

improved data visibility and decision -making throughout the Mitsubishi Electric enterprise.

• We've also implemented an MES solution for a global Tier 1 automotive OEM that's enabled them to monitor, track documents and control the entire product life cycle of their -- of the products that they deliver to their customers, thus helping the customer improve quality control and increase uptime while reducing inventory and costs. Additionally, we have created a global smart manufacturing template for this customer that will be deployed to an additional 20 manufacturing plants globally.

Let me now provide you with an update on the progress we are making with AI and Gen AI. We believe Gen AI has the potential to revolutionize and transform the manufacturing sector. While the technology is still in the very early stages of adoption, we cont inue to see growing customer investments in Gen AI to transform new product introduction, manufacturing and aftermarket processes.

Let me profile a couple of AI and Gen AI solutions that we are currently implementing f

or our customers.

• We have partnered with a leading commercial vehicle manufacturer to deploy a Gen AI -powered virtual sales assistant. This cutting -edge solution leverages large language models and internal databases to streamline sales processes, reduce training dependenci es and enhance productivity. By providing real -time product information and negotiation support, we've transformed the effectiveness of our customer sales teams.

• In North America, for a North American automotive Tier 1, we are also leveraging AI and Gen AI to harmonize raw materials -- raw material purchasing across their entire supply chain. And for a luxury German

automotive OEM, we're also using AI to accelerate their autonomous driving ambitions by enhancing the speed of object detection.

Given the impact that Gen AI will have on the manufacturing sector, we are making significant investments in training and capability development. In Q1, we have successfully launched the training program and a capability building program that will be focus ed upon building capacity in anticipation of growing market demand.

Furthermore, in support of our plans to leverage Gen AI to foster innovation, we've launched InnoVent Hackathon in collaboration with our partners, Microsoft and Tata Motors. This initiative aims to provide engineering students with a dynamic platform to up skill, showcase their creativity and develop pioneering solutions using Gen AI. The overwhelming response from the top 200 engineering colleges in India reinforces our confidence in the use of this country. The registration phase concludes on July 31st, an d we look forward to culminating this journey with a demo da y in January of next year. We anticipate that the best and brightest engineering students in India will present their Gen AI innovations on that day.

Before I hand over to Savitha, let me give you a brief update on the current industry concerns surrounding the slowing sales momentum for electric vehicles.
This calendar year, there has been a steady flow of stories in the mainstream and business press about a reversal in fortunes of the electric car industry. We believe that most technology transitions, including EVs, do not follow a smooth adoption curve. Despite growth rates tapering in 2024, the International Energy Agency continues to assert that global EV sales are likely to increase to somewhere close to 17 million units this year, meaning more than 1 in 5 cars sold around the world will be electric.

We remain convinced that surging demand for clean, cheap EVs across the rest of this decade will completely change the global automotive industry. By 2035, the International Energy Association projects 50% of all cars sold globally will be EVs, cutting oil demand between 6 million to 10 million barrels per day, equivalent to the current amount used for road transportation in the United States.
In the coming decade, the automotive sector is clearly poised for a transformative shift. In addition to the move to electrification, this will be propelled by interrelated trends that include autonomous, connected and shared vehicles. This aces transforma tion will usher in changes in consumer habits and mobility preferences, reconfiguring the landscape of value distribution, fostering innovative business strategies and welcoming new players into the mobility sector.
These trends are underpinned by technological progress in electronics and software that will drive an exponential demand for engineering services. This shift is unlikely to be reversed, which is good news for the automotive sector, e

ngineering service prov iders like Tata Technologies and most importantly, the planet.
Let me now hand over to Savitha to take you through our financial performance.
Savitha Balachandran: Thank you, Warren. Good morning or good evening, everyone, depending on your time zone. Thank you for joining us on this call today. Following the business overview shared by Warren, let me now walk you through our financial performance in the first quarte r of fiscal '25.
Our revenue from operations came in at INR 1,269 crores with services contributing to INR 986 crores and Technology solutions to the balance INR 284 crores during the quarter. The Services segment constituting about 78%

of our revenue was down 1% sequentially, driven by a short -term phasing of a couple of deals as well as the completion of the ramp down of the last batch of our people coming off the large full vehicle programs as we had indicated previously.
In our Technology solutions segment , the education business continued to maintain its growth trajectory on the back of a good order book with revenues growing sequentially and in line with our expectations supported by ongoing projects, one with multiple state governments in the past quarte rs.
This growth was more than offset by the anticipated seasonality in our products business, which typically has a relatively stronger volume in the second half of the year when our customers, mainly in the U.S., renew contracts and accelerate their budget sp end. This meant the total

Technology solutions revenue registered a 7.4% sequential decline.
The combined effect of the performance of the two segments resulted in the overall revenue decline of 2.5% sequentially on a reported basis.
We continue to exercise strong operating discipline during the quarter with the operating expenses reducing by 2.2%, thereby enabling us to maintain a relatively stable EBITDA margin that came in at 18.2% compared with 18.4% of the previous quarter. While our employee benefits expenses remained relatively flat, our other expenses witnessed a quarter -on-quarter increase of over 11.5% led by increased professional fees and advisory expenses for some matters, increased CSR spend as well as an increase in the t ravel expenses.
This was, however, more than offset by the 12.4% decline in our outsourcing and consultancy charges as we continued to optimize our subcontracting and outsourced services, especially in high -cost locations.
Our focus remains steadfast on margin preservation this year, and we continue to aim for a 20% plus EBITDA margin in the long term as our business

scales. To reinforce what we've previously communicated, leveraging operational efficiencies through focus on offshoring, people pyramid optimization, and productivity remains our key levers for margin expansion in the future, while we build capabilities for susta inable growth.
Our effective tax rate in the quarter came in at 26.2% compared with 31.9% of the previous quarter. Consequently, our profit after tax increased by 3.1% sequentially to INR 162 crores, registering a PAT margin of 12.8%, up 70 basis points quarter -on-quarter.
Maintaining a strong balance sheet with robust liquidity is a key area of focus for us. At the end of first quarter, we continue to remain debt free and the net cash on our balance sheet stood at a healthy $131.4 million compared with $146.3 million at the end of the previous quarter. This balance is after a dividend payout of $49 million tha t we did during the month of June.
We've maintained robust collection efficiency with a total DSO of 84 days c

ompared with 83 days of the previous quarter and 96 days in the same quarter of last year, and billed DSO came in at 58 days, while unbilled DSO stood at 26 days at the end of Q1.
Our cash conversion and working capital position has also shown improvement during the quarter. Our free cash flow stood at about INR 220 crores, and we saw a net release of close to INR 70 crores in working capital in Q1.
In the last three years, the working capital requirements of our business has increased, driven by the growth we have seen in our education business as well as the large, fixed price deals in our Services segment. This led to a build - up of contract assets on our balance sheet for the revenues recognized as per the accounting standards, while the payment milestones have not yet been reached. However, this has had no impact on our collection efficiency,

which in fact has seen improvement in the last three years with the DSO coming in at about 83 days at the end of last fiscal in 2024 versus the position of 91 days where it stood at the end of fiscal '21. Additionally, we also limit the collection risk through appropriate commercial structures with our customers. Excluding these working capital changes, our net cash to free cash flow conversion has been in the range of 90% to 110%, which is in line with industry trends.

Moving on to the operational metrics, the highlights are as follows :
The total headcount stood at about 12,505 at the end of the quarter, a reduction of about 1.4%, reflecting about 183 employees compared with the previous quarter and this reflects an optimization of our capacity between full-time employees and the outsourc ed resources. This quarter also saw the completion of redeployment of the last batch of associates coming off the full vehicle program as indicated in the previous quarter and this led to a 50 basis point improvement in our utilization, which stood at 86.5 % during the quarter. We continue to focus on improving our people pyramid, and we look to hire strategically in some of our focused growth areas as well as strengthening the base of the pyramid with more campus hires.
Trends on attrition levels continue to remain favorable as we saw our last 12 -month attrition coming down again this quarter to 13.7% compared with 14.5%, which it stood in Q4. The annualized attrition rate stood at about 12.8%, and we expect attrition to further reduce in the coming quarter.
Regarding our mix of on -site and offshore revenues, revenues generated from outside our delivery centers in India and Romania and executed offshore improved by 130 basis points sequentially, reaching 39%. And we continue to implement measures to gradually enhance this metric.

In closing, I would like to summarize that our margins have remained resilient during the quarter reflecting a strong operating discipline. We expect sequential growth to pick up from Q2 onwards, supported by our healthy deal pipeline. We remain committed to strategically investing in key growth areas while also optimizing costs and improving efficiency across the organization to ensure that w e are poised for long -term success.
Thank you. We can now open the floor for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Abhishek Kumar from JM Financial. Please go ahead.
Abhishek Kumar: Hi, good evening, Warren and Savitha. Thanks for taking my question. First question Warren is on demand. You mentioned in your opening remarks that there are isolated cases of weakness in few clients.

I just wanted to understand what do you mean by isolate d cases and what gives you the confidence that these are not because of the EV slowdown or more broader trends and then I have a follow -up?
Warren Harris: Yes. I think just responding to that. At an aggregate level, we're not really seeing any drop in demand. What we have seen over the last couple of years is that there are specific customer related issues that are impacting the quantum of investment and the speed of investment. And so, we're having to monitor that. But again, at an aggregate level there is little change in the demand environment.
And specifically, and I think if you look at the OEMs, they're largely segregating into two groups those that have strong balance sheets that can invest through the transition in and around not just electrification but connected and shared and autonomous. And those organizations that do not have the ability to invest in the same way and they're obviously having to balance their

investment commitments with the short -term requirements of the business. So, we're watching and following those trends and obviously look into as best we can pick the winners.

Abhishek Kumar: Sure. Second question is on FY '25 outlook you indicated sequentially there should be acceleration from Q2, but just the arithmetic given a soft start to the -- in terms of probably achieving growth similar to FY '24 could be difficult. So, any -- I mean, do you think the assessment is correct if any color you would like to give us for the full year growth expectations for FY'25?
Warren Harris: Well, I think what we can say is that we are confident in being able to drive sequential growth from the Q1 position. Q1 was not only informed by the runoff at VinFast , we also had some phasing issues with a couple of large projects that also contributed towards the solid, but somewhat flat performance of the services business. We don't anticipate that, that will continue and specifically the programs that I've referenced have now kicked off and started.
And so, we are confident in the quarter -on-quarter growth that should see the business at the end of the year being much improved in terms of volumes from where we are today. And I think as we always do, we'll continue to work to monitor things as the year plays out and we'll calibrate accordingly. But right now, I can say that we are confident in consistent growth across the quarters as the fiscal year plays out.
Abhishek Kumar: Great. Thank you so much and wish you all the best.
Warren Harris: I appreciate it. Thanks for the question.
Moderator: Thank you. Next question is from the line of Ruchi Mukhija from ICICI Securities. Please go ahead. Ms. Ruchi Mukhija can you check if your line is muted.

Ruchi Mukhija: Thank you for the opportunity. Warren, I had question on demand only. You report there has been some issue in a couple of large projects. Could you elaborate more on what kind of issues are these, are these going to persist, or do we see reversal of these issues and we can count on growth from these projects?
Warren Harris: When large programs kick off particularly mid -cycle full vehicle programs , there's always the dynamic of setting the projects up in the appropriate way. There is a dependency upon the styling studio. There's a dependency upon on boarding suppliers at the right time and the complexity of balancing all of those things out very often crops a staggered start or a delayed start. And that's what we've seen with the programs that I've referenced, but I will repeat that those programs are now online,

and we've got clarity in terms of what they mean not just now, but what our expectation is for the full year.
Ruchi Mukhija: Secondly, one of your large peers HCL Tech called out specific weakness in automotive or in European geography. Is your experience suggest something similar? Do you expect -- or do you see any challenges specifically for your European clients?
Warren Harris: No, somewhat to the contrary we are engaged obviously with our anchor customers, Tata Motors and JLR. They have had a very good set of results themselves in the recent past and that's informing their confidence in terms of capex and investment in new produ cts.
We announced the joint venture with BMW in -- at the beginning of the fiscal year. We are building out our presence in Germany and despite the fact that investment commitments is somewhat specific to the individual customers in that region , I think again at an overall level demand continues to grow. There is some volatility in the North American market that I think is being driven by concerns about the potential legislation change towards the end of the calendar year, but it's not having a m aterial impact.

So, from our perspective we remain cautiously optimistic about the demand
environment and certainly that's informed our confidence in our commitment
to drive sequential growth from the first quarter.
Ruchi Mukhija: I got you. Thank you and all the best.
Moderator: Thank you. We have a next question from the line of Moez Chandani from
Ambit. Please go ahead.
Moez Chandani: Good evening and thank you for taking my question. My first question was on
your near -term outlook. Sir, do you expect growth to be gradual in Q2 and
then accelerate forward in Q3 and Q4 or do you think that we'll be returning
to significant sequential gr owth in Q2 itself. So how do you see growth coming
in throughout the next few quarters?
Warren Harris: We don't provide guidance but what I will say is that we expect growth to pick
up and we expect growth rates to be relatively range bound. I do not
necessarily anticipate that Q3 and Q4 will be very different than Q2. But we're
obviously pushing hard across all of the sectors that we are operating in and
we're engaging in a very strategic way with all of our key and focused
customers. So, we'll be looking for opportunities to accelerate growth, but as
of right now in terms of visibility we th ink that growth will be relatively
consistent and again range bound.
Moez Chandani: Got it. And also, on the BMW JV when do you start -- when do you expect it
to start contributing to revenues?
Warren Harris: Well, we expect the joint venture to be launched in the second half of this
fiscal year. I announced in April that we have to go through regulatory
approval. We have to confirm the seed team and confirm the leadership team
that will run that organization. Our plans are going well. We're working through
the work that will need to be undertaken to ensure that, that organization is
launched in a successful way , and the impact that will have on the business.

And I think we'll have much greater visibility as we enter the second half of the
year. So, I'm not going to comment on the impact that it will have on our
business, but the business plan as confirmed at the beginning of April is being
executed as we expec ted. And certainly, as far as timelines are concerned,
we're confident that we're going to meet what we've committed to each other.
Moderator: Thank you. Next question is from the line of Rajiv from Citi. Please go ahead.
Rajiv: Can you talk about the performance of servic

e business ex VinFast? And also,
can you share what is the contribution of VinFast in 1Q? And the second
question is you have talked about the phasing issues which you have faced in
1Q. Are all these behind or so me part of it will also play out in 2Q?
Warren Harris: Thanks for the question, Rajiv. I think -- if you look year -on-year as the
business ex VinFast, we've grown the services business by close to 26%. And
so, I think that demonstrates the momentum that we certainly enjoyed over
the last 12 months. And I think if we look sequentially , the business ex VinFast
is up about 1%. In large part that's the case of the challenges that we have in
terms of the phasing of the large projects. But we certainly expect to be able
to pick up from that in Q2, Q3 a nd Q4.
Rajiv: Yes, that's all from my side.
Moderator: Thank you. We have a next question from the line of Nitin Sharma from M.C
Pro Research. Please go ahead.
Nitin Sharma: Warren, how large these commercial vehicle dealings are? A broader range
would be fine. And also, do you see a rise in the contribution from the
commercial retail segment significantly in FY '25?
Warren Harris: If I understand the question, you're asking about the commercial vehicle
business.

Nitin Sharma: Just how large these deals are -- the buckets? Is it 50 million plus -- 10 to 50...
Warren Harris: Well, we're not providing specific information about the size of the deals. We are covered by client confidentiality agreement. But what I can say is that they are material and I think what I'm excited about as far as the 2 deals that I referenced in my op ening comments. One, the cap design opportunity is a demonstration that our full vehicle credentials that we've established in passenger vehicles are applicable to the off -highway and the truck sector. And I'm also very excit ed that the commercial truck industry is really now starting to invest in software -defined vehicles in a way, again that we've seen from the passenger vehicle, et cetera. And our involvement at a middleware level is exciting because it really positions us ce ntrally to help the customer that we're working with architect and deploy the platform from which Connected services will be delivered to not just the product that we are working on but to future products as well.
And so, we're expecting that relationship to extend beyond one program. So, the sort of direction of our commercial truck business the business that we refer to as industrial heavy machinery is not only improving in terms of the Quantum revenue that it rep resents , it's also improving strategically. And that gives us confidence not just for this fiscal year but beyond.
Nitin Sharma: Understood. And one book -keeping question. Is it possible for you to share how much was the education sub -segment revenue in rupee terms.
Moderator: Sorry, sir, we cannot hear you.
Nitin Sharma: Yes. One book -keeping question. Is it possible for you to share how much was the education sub -segment revenue in rupee terms?

Savitha Balachandran: Yes. Maybe that is something that we can share with you through our IR team after the call. Is that okay?
Nitin Sharma: Perfect. Thanks, and all the best.
Moderator: Thank you. Next question is from the line of Ashish from JM Mutual Fund. Please go ahead.
Ashish: In one of your recent interactions, you did mention that FY '25 momentum. So, whatever you achieved in FY '25 that momentum will continue in FY '25. So, given that in FY '24, we did around 15% kind of a revenue growth would it be fair to assume that you ha ve a reasonable amoun

t of confidence to achieve that similar revenue growth run rate even in FY '25?
Warren Harris: Again, we don't provide guidance -- specific guidance but what I can say is that we will assert what I've said previously. We expect to grow from the first quarter. We expect a relatively strong year this year. The visibility that we've got across the sect ors that we are operating in gives us confidence at this stage that momentum will continue along calendar year 2024 and into calendar year 2025. So right now, we're not seeing any drop in the demand environment. And so, we'll continue to inv est in order to be able to take full advantage of that.
Ashish: Fair enough. Sir, incrementally, anything on the semiconductor business if you could share because Tata Electronics is setting up a unit along with PSMC. Is there a certain role that we also have to play? Is there an opportunity that you see?
Warren Harris: When we look at the semiconductor sector. There're 2 areas of interest for us in terms of value that we expect to deliver. One is in smart manufacturing. There is a significant opportunity here in India not just with the group but with the potential that i s building in and around semiconductors. And we think that the skill sets that we've established in sectors like automotive are fungible to

the semiconductor industry. We are also excited about the fact that as OEMs look to bring down their cost and control the type of capability that will inform future products, they're looking to vertically integrate software and electronics, which includes silicon. And we are in some fairly exciting discussions with some of our customers that will look to leverage the product from organizations like Tata Electronics in a packaged way in support of future product development.

Ashish: Fair enough. And lastly, on Airbus anything you would like to show in terms of timeline as to when we can see the commercial ramp -up benefiting us?

Warren Harris: What we've seen at Airbus, we've seen growth in the first quarter from the second half of last fiscal year. We expect that to continue in Q2 and also in H2. And not only are we looking to discharge the current order book at Airbus , as you can imagine , we're also looking for additional opportunities and we're in discussions with Airbus in different parts of the world about those opportunities.

We're excited about the Airbus relationship, but we're also excited about the aerospace sector. I referenced in my comments the deal that we've secured with an aircraft seat manufacturer the business class and first -class seating manufacturer. And that org anization is looking to leverage our support to build an ODC here in India. And I think the opportunity that represents is not just an opportunity for us to increase our aerospace volumes it represents obviously diversification from the relationship that w e've got with Airbus and that's something that we expect to build upon.

Ashish: So, in all segments, the Airbus deal can be as larger to all VinF ast was to us then you go that's a fair assumption?

Warren Harris: No, I certainly think that the potential with Airbus is there for us to grow significantly. But one of the things that I would caution you on is that the

aerospace industry is a highly regulated industry. And so, one has to demonstrate process and capability compliance before one is entrusted to be able to take on at different and bigger engagements. And so, we're working very closely with Airbus to demonst rate what we are capable of. And as confidence builds, then obviously, we will look to extend our

current ambition.

Ashish: And sir, last question, if I may. This for Savitha, ma'am. You said on margins -- like to maintain margins for FY'25. So, are you benchmarking FY'24 exit margins or first quarter FY'25 margin?

Savitha Balachandran: Well, the margins between first quarter and the full year '24 are not too far apart. So obviously, let's take the higher one as a target for the year, and that's really what we want to try and aim towards. And as we see progress of business growth and pipeline during the year, we will see other opportunities that evolve as well before we move into fiscal’25.

Ashish: This helps thanks and all the best.

Moderator: Thank you. Next question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.

Chandramouli Muthiah: My first question is just on the utilization rates. It's pretty healthy, 86.5%. And you mentioned that you're redeploying employees more efficiently in the firm. Just trying to understand how you're thinking about hiring outlook for FY'25. And in the past few years, what has been sort of the maximum utilization rate that you've been able to achieve. So just trying to understand, so the interplay between hiring and utilization in our sort of efficiency and margin journey going forward?

Warren Harris: Just in terms of utilization, I'll make some comments, and then I'll invite Sukanya, our Chief Operating Officer to come in and talk about the work that we're doing, not just in the area of utilization, but also in other areas of operational efficiency. I think the utilization rates that we achieved in Q1 are

close to the optimum levels of utilization that we're going to look to drive inside of our business.
When we look at utilization, we obviously look at it at an aggregate level, but we also look to analyze utilization, both onshore and offshore , there's more work that I think that we can do onshore rather in terms of improvements in utilization. But I think for the most part, we're close to an optimum level in our offshore center.
Sukanya Sadasivan: Yes. Thank you, Warren. And I think I'd just like to add there that while we are focusing on utilization, I think the important part is also to look at how the whole demand is shaping up and as the focus area has changed, there is going to be capability building investments that we need to continuously do so that we can repurpose a lot of our workforce to the new area.
So, there will be some more hiring that we will do, and also look at optimizing our pyramids. So, it will be a combination of GETs that we will hire as well as look at augmenting the capability by looking at recruiting for certain areas and at the same time, having a focus on the utilization.
Chandramouli Muthiah: That's helpful. My second question is just as you look at how you're building your business for the next few years. If you were to split your key areas of activity into aerospace, education, industrial, automotive. Just trying to understand where you see t he maximum opportunity and potential for the company to capitalize on growth, like if you were to sort of divide the business into these 4 buckets, just trying to understand what your rank order of opportunity set would be amongst the se key buckets?
Warren Harris: Yes, it's a good question. I think if we look at demand across the different sectors, I think if we look at percentage growth, aerospace is perhaps the sector that represents the larger opportunity because we're coming up such

a pretty small base. I also think that the investments that we've made in aerospace in the last 2 years

to 3 years, we've really not yet fully harvested.
And so, I think if we look 12 months, 18 months, 2 years from now, I would certainly expect the aerospace business to make a bigger percentage contribution than it does today. But the core of our business is automotive, and it will continue to be. And if y ou look at automotive, despite the volatility from a sales perspective, the R&D investment in the transformation that is going on in automotive that continues to excite us, not just in the short term, but medium and long term.
The industry is going through a once in a generation transformation and the investments that are being made in autonomous driving in the move to alternative propulsion systems. And in the move to connected and software - defined vehicles will drive a signifi cant demand for engineers and for the services that organizations like ourselves provide. So we'll be focused on taking advantage of that work at the same time and looking to take advantage of our footprint in aerospace and the opportunity that is there.
Chandramouli Muthiah: That's helpful. And my last question is just trying to understand sort of the VinFast, little bit it looks like we are now coming towards the end of whatever the customer -specific changes are in their outlook. So just trying to

understand, are we now at so rt of close to 0 level contribution from VinFast.
Is there a very minimal sort of maintenance revenue that will continue there?
Just trying to understand how to sort of now piece that out and start analyzing
the rest of the business?
Warren Harris: Yes. At VinFast, as I commented, we've completed the 2 vehicles that we were
responsible for. We're very proud of those 2 vehicles. VinFast will launch the
vehicles this year, and we think that those vehicles will have a significant
impact on the markets i n which they are launched. The product development
work is largely concluded.

They are moving to a focus upon building the products that we've engineered
for them. We'll continue at a relatively modest level to support that. And as
their fortunes are confirmed in and around the success of the products that
they are selling in differ ent parts of the world, we expect them to at some
point in the future, invest in extending their portfolio.
At that point, we will have the opportunity, I think, to compete for similar types
of projects that we've delivered in the last couple of years. But as of right now,
the only visibility that we've got is to maintain a relatively small footprint with
VinFas t, and we expect that to continue in the coming quarters.
Chandramouli Muthiah: That's helpful. Thank you very much, and all the best.
Moderator: Thank you. As there are no further questions, I would now like to hand the
conference over to Mr. Vijay Lohia for closing comments. Over to you.
Vijay Lohia: Thank you, everyone, for joining us on the call today. We hope we've been able
to answer most of your questions. If there are any further questions, please
do get in touch with the Investor Relations team, and we'll be happy to answer
your questions. Goodb ye from all of us here at the management team. Thank
you.
Moderator: Thank you, members of the management. On behalf of Tata Technologies, that
concludes this conference. Thank you for joining us, and you may now
disconnect your lines.

Call: Oct 2024

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October 31, 2024

Dear Sir / Madam,

Subject: Transcript of the conference call on financial results for the quarter ended September 30, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call on financial results for the quarter ended September 30, 2024, conducted after the meeting of the Board of Directors held on October 28, 2024.

The above information will be made available on the website of the Company: www.tatatechnologies.com .

This is for your information and records.

For Tata Technologies Limited

____
Vikrant Gandhe
Company Secretary and Compliance Officer

Encl: As above BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
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Scrip Code: 544028 National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
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Trading symbol: TATATECH

"Tata Technologies Limited
Q2 FY'25 Earnings Conference Call"
October 28, 2024

MANAGEMENT : MR. WARREN HARRIS – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – TATA TECHNOLOGIES LIMITED
MS. SUKANYA SADASIVAN – CHIEF OPERATING OFFICER – TATA TECHNOLOGIES LIMITED
MS. SAVITHA BALACHANDRAN – CHIEF FINANCIAL OFFICER – TATA TECHNOLOGIES LIMITED
MR. VIJAY LOHIA – HEAD OF INVESTOR RELATIONS – TATA TECHNOLOGIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Tata Technologies Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will remain in listen -only mode and there will be an opportunity for you

to ask questions after the presentation concludes. Should you need assistance during the con ference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.
I will now hand the conference over to your host Mr. Vijay Lohia, Head of Investor Relations at Tata Technologies. Thank you, and over to you, sir.

Vijay Lohia: Thank you, Ryan. Hello, everyone, and welcome to Tata Technologies Second Quarter of Fiscal '25 Results Call. I'm Vijay Lohia, heading Investor Relations. Joining me today are Mr. Warren Harris, CEO and MD of Tata Technologies; Ms. Sukanya Sadasivan, COO; and Ms. Savitha Balachandran, CFO.
Our management team will start with an overview of the company's performance, followed by a Q&A session. As a reminder, we do not provide specific revenue or earnings guidance, and any statements made today regarding our future outlook should be reviewed in light of the risks that the company faces. These risks are outlined in the second slide of the quarterly fact sheet available on our website. Our press release and earnings presentation have been submitted to the stock exchanges and are also accessible on our website, www.tatatechnologies.com. We hope you've had a chance to review them. Let me now turn over the call to Warren.
Warren Harris: Thank you, Vijay, and thank you, everyone, for joining us today on this earnings call. Let me share some key highlights for the second quarter of fiscal 2025. I'll then pass the floor to Savitha for a more detailed overview of our financial performance.
From a revenue standpoint in Indian rupees, we achieved sequential rev

enue growth of 2.2%. Our services business has returned to sequential growth this quarter, posting a 2% increase in revenue as we had guided in the previous quarter's earnings call. While our overall demand trends remain relatively healthy, we are observing a slight delay in customer decision -making in the near term. This is driven by a strategic reconsideration of electric vehicles versus hybrid

compounded by ongoing geopolitical tensions and uncertainty surrounding elections in various parts of the world, including the United States. As a result, recent deal wins have been smaller in size as customers adopt a more cautious approach to committing to larger long-term projects during this period of uncertainty. We anticipate greater clarity to emerge in the early part of the next calendar year . Our order book and pipeline remained healthy , and combined with the continued positive momentum within our anchor accounts, we are confident that the second half of the fiscal year will show stronger performance compared to the first half.
Our Tech Solutions business achieved a 2.8% sequential growth this quarter, primarily driven by an impressive 19% growth in our Education segment , fuelled by the ongoing ramp -up and successful deliveries a t our projects in Bihar and Telangana. We also secured two significant wins during the quarter, one with the Maharashtra Industrial Development Corporation to establish a center for invention,

innovation, incubation and training, and another with the Tamil Nadu Industrial Development Corporation to setting up a common engineering facility center. With t he strong order book and a healthy pipeline, our education business is well positioned for sustained growth throughout the remainder of the fiscal year. Products came in as expected. Product software sales are typically muted in the summer months with most of our customers' product software budgets being discharged in Q3 and Q4.

Our margin performance remains resilient with operating EBITDA coming in at 18.2%, flat quarter -on-quarter and in line with our focus on margin preservation this year.

In terms of our offerings , within the Product Engineering segment , we've seen increased traction in the mid -cycle refresh turnkey vehicle programs as well as in the embedded and software offering space. In our digital engineering lines of service, we continue to see stronger dem and, particularly in areas such as smart manufacturing, digital thread solutions, customer experience enhancements as well as in AI and Gen AI. The growing interest in digital thread reflects our clients' need for seamless integration across the entire pro duct life cycle, enabling greater visibility and operational efficiency. In smart manufacturing, companies are increasingly adopting our solutions to optimize production processes and enhance agility. Additionally, customer experience solutions remain a p riority as our business looks to leverage digital tools to deliver personalized, frictionless interactions. These areas of demand underscore the critical role of digital engineering plays in driving innovation and competitive advantage for our clients.

Let me profile a couple of key deals that we have won in the product engineering space in Q2. They include :

We have been selected by an Asian Automotive OEM for a mid -cycle refresh turnkey project for two of their vehicles. These projects entail a comprehensive suite of automotive engineering services, including the design and development of exterior and interior trims, electrical engineering, diagnostic management, closures, aggregate level computer -aided engineering (CAE

), prototype build support and vehicle integration. The project is set to spend the next 22 months, positioning us for long -term collaboration and growth with this customer. This engagement underscores our strategic capabilities and commit ment

to innovation, marking a pivotal moment in our journey as we continue to drive transformative solutions to deliver long -term value for our customers and stakeholders.

A North Americ a-based global industrial heavy machinery company has chosen Tata Technologies for a project focused on extensive value engineering and cost optimization, culminating in the establishment of an offshore development center (ODC) to replicate this work on their future product lines. Our engagement with this customer began in December of last year when we initiated bench market studies on some of their competitor products. Over the course of this year, we successfully deepened our relationship with the customer 's leadership significantly enhancing our mind share and resulting in substantial increases in our wallet share. The creation of the ODC, coupled with the expansion into digital domains, not only demonstrates our ability to deliver tangible value , but also highlights our potential to cross -sell and upsell additional services, further consolidating our presence and growing influence within this account.

A global Tier 1 automotive leader , renowned for its cutting -edge technology and a nearly 70 -year legacy in delivering innovative solutions for emission reduction and energy efficiency , has chosen Tata Technologies to establish an offshore development center. This ODC will focus on developing embedded software for electric powertrain products, including e -turbos, e -compressors and hydrogen fuel cells. This collaboration highlights the company's commitment to advancing sustainable technologies, and we are proud to support their mission. Based on current demand and future projections, we anticipate the potential to nearly double the size of the ODC within the next 6 months,

further expanding our contributions to their electric powertrain advancements and reinforcing our position as a key technology partner.

We continue to build our network of partnerships and alliances which we believe will help us to continue to penetrate the fast -growing SDV space. In Q2, we announced a strategic alliance with Telechips , a South Korean -based semiconductor company to co -develop innovative single -chip solutions for software -defined vehicles. The collaboration is focused on delivering cost -effective ADAS and cockpit solutions specifically tailored to meet the demand of the A sian market. Telechips ’ hardware solutions provide a significant advantage by reducing overhead costs in the software bill of materials, making it possible to develop SDV solutions that are both high quality and affordable for cost -sensitive OEMs. This partnership not only stren gthens our ability to offer scalable, efficient technologies but also positions us to meet the growing demand for smart connected vehicle systems in one of the world's most dynamic automotive markets.

In addition to the relationship with Telechips, we also announced a collaboration in the aerospace vertical with Air India earlier today. Air India has selected Tata Technologies as its strategic partner to transform the interiors of the aircraft. Through this partnership, Tata Technologies will deliver comprehensive solutions that cover design, validation, weight optimization and ergonomic considerations. Leveraging our expertise in lightweight materials and advanced design and validation methods, we aim to enhance

Air India's fleet

performance, safety and operational efficiency, creating an elevated travel experience for all passengers.

This partnership also solidifies Tata Technologies ’ role in optimizing Air India's operations by deploying advanced digital threat solutions and smart maintenance, repair and overhaul services. These innovations are designed to improve operational efficiency, minimize downtime and maintain Air India's flee t in prime condition, reinforcing both passenger safety and service reliability.

I'm also delighted to note that we've announced the official launch of our partnership with BMW in India named BMW TechWorks India, a Tata Technologies joint venture. BMW undertook an exhaustive search for candid ate partners in India before choosing Tata Technologies. During this process, they evaluated numerous firms, many of which held incumbent relationships with BMW. The decision to partner with Tata Technologies is a profound testament to our market -leading auto motive capabilities and the trust of BMW places in the core values that underpin the Tata Group.

What make this partnership particularly exciting is its impact, we believe, on the Indian landscape. India has long been recognized for its skilled talent pool, innovation and cost -effective solutions. This collaboration underscores the growing importance of I ndia as an engineering services hub for the global manufacturing sector. By investing in this country, BMW and Tata Technologies will develop some of the best and brightest automotive software and IT professionals in the world. This partnership sets a precedent for future collaborations that we believe will fuel India's growth story, enhance its technological capabilities and contribute significantly to high -end job creation.

BMW TechWorks India will develop advanced software for SDVs, AI - based solutions, including large language models and standard software, automotive driving and next -generation infotainment. The venture will also concentrate on enhancing customer brand exper ience and delivering cutting -edge digital products and innovations in sales and customer interactions.

With the final signing of the contracts and the approval of the authorities, the JV will commence operations with 100 employees across key technology hubs in Pune, Bangalore and Chennai. The venture is set to scale rapidly targeting a 4 -digit workforce by the end of 2025 with a strong emphasis on attracting India's top engineering talent. The joint venture is set to grow into a high double -digit million - dollar revenue stream with projections to surpass $100 million run rate within a few years. We expect th is engagement to make a material contribution to our financial results in the coming years.

As noted earlier, our digital engineering segment continues to see growing interest in the areas of smart manufacturing, digital threat integrations and Gen AI. Some of the notable deals won in this space in Q2 include:

We've successfully completed the deployment of a CRM platform for a leading Asian 2 -wheeler automotive OEM. Additionally, we implemented the lead management system from our Power of 8 platform, leveraging our templated approach to achieve record - breaking go -live time. This solution has transformed the lead capture process from a previously manual system into a real -time automated workflow, significantly improving operational transparency and efficiency.

Following the successful implementation of the CRM system in the pil

ot

country, we've been further awarded the dealer management system project. With our solution, sDealer from the Power of 8 platform, the goal is to provide a unified one country, one DMS solution across the customer's global footprint, covering 16 countries. This would digitize the entire customer life cycle journey from presales to sales to after sales, including inventory and claim management systems . The solution will enable the OEM to streamline operations, deliver a superior customer experience and enhanced transparency.

We've also been selected by a leading global Tier 1 automotive OEM to facilitate the separation of one of their business entities through the migration of their PLM platform to Siemens Team Center. This strategic initiative aims to unify business unit data into a single platform, streamlining data management and enhancing operational efficiency. It will also simplify disentanglement of shared data between business units while customizing the solution to meet the specific needs of the aftermarket division . And also, it will achieve cost efficiency comparable to replicating the current SAP PLM system. By transitioning to Siemens team Center, the OEM will benefit f rom improved data transparency, better scalability and a more agile platform that supports the long -term digital transformation goals, ensuring the separation process is seamless and future ready.

For European luxury automotive OEM, we have also initiated the AI governance framework centered around key pillars, such as responsible AI, the use of large language models, AI standardization, AI controls and AI enablement. This framework is supported by the necessary tools and processes to manage AI systems while ensuring

full compliance with regulatory requirements across the organization. By implementing a robust AI governance structure, we are helping the customer accelerate the deployment of AI solutions, ensuring that they are not only faster and more efficient, but al so align to the business objectives and importantly, ethical standards. This initiative enhances the OEM's ability to harness the power of AI responsibly, mitigating risks and unlocking greater value from AI -driven innovation.

Our commitment to customer centricity remains a core focus. I'm pleased to share that in FY '24 we were recognized amongst the top 10 percentile of technology service providers, achieving an impressive Net Promoter Score of 66 as reported by our partner, L itmus World. The rating reflects our ongoing dedication to delivering exceptional value and service quality to our clients, ensuring we remain a trusted partner in helping them achieve their strategic goals .

Before turning it over to Savitha, let me briefly reiterate my comments from our Q1 earnings report on concerns regarding the deceleration in electric vehicle sales momentum and why we believe that the medium - to long -term fundamentals remain intact.

Despite recent concerns regarding customer sentiment, global sales of fully electric vehicles are still forecast to grow in 2024, but at a slower rate than in the previous year, 31% in 2024, down from 28% in 2023. However, we still expect the share of EVs on the road to continue to climb rapidly. By 2030, the International Energy Authority expects almost 1 in 3 cars on the road in China to the electric and almost 1 in 5 in the U.S. and the European Union. Consequently, we continue to

believe that our market -leading electrification proposition will provide significant growth opportunities for our company.

Let me now hand over to Savitha to take you through our financial performance.
Savitha Balachan

dran: Thank you, Warren. Hello, everyone, and thank you for joining us on this call today. Let me now walk you through our financial performance for the second quarter of fiscal '25.
Our revenue from operations grew 2.2% sequentially to INR 1,296 crores for the quarter. The Services segment, which comprised around 78% of total revenues, was up 2% sequentially to INR 1,005 crores. The Technology Solutions segment, which comprised the remaining 22% of revenues witnessed a 2.8% sequential increase, which was driven by a robust growth of close to 19.5% of our education business, driven by reasons that Warren has explained in his remarks. The products business saw a decline of 21%, driven by seasonality, which will reverse in the seasonally strong second half of the fiscal year.
Let me provide some additional insight into the health of the underlying business. On a year -on-year basis, our Services segment revenues grew 1%. Note that this is after covering for VinFast , which contributed almost $18 million to the top line in the comparable quarter of last year, excluding which, our revenues saw a 15% year -over -year increase, underscoring the continued strength and resilience of the core business. As we've outlined in our earlier interactions, our focus continues to be on maintaining a balanced approach of upholding operational discipline while strategically investing in capabilities to capitalize on the emerging opportunities in the industries of our key

customer segments. Our operating expenses in the quarter was up 2.2% on a sequential basis, which was consistent with our overall revenue growth. As a result, our EBITDA margin came in flat at 18.2%. I'm especially pleased with the disciplined cost management our teams have maintained to ensure we remain on track for our margin preservation targets this fiscal year. We've also made steady progress on our key long -term margin levers with positive gains in our offshoring initiatives this quarter. Additionally , our utilization rates have also improved further supporting our margin objectives. Looking ahead, we remain committed to our medium - to long -term margin aspirations of 20% plus level.
This quarter, the outsourcing and consulting charges saw an increase of about INR 11 crores, driven by a ramp -up in a couple of projects. This was partly offset by a reduction in the employee benefit expense by about INR 5 crores or less than 1%. Our combined consulting and employee expenses increased 0.8% in the quarter, while other expenses increased by about 10% sequentially, driven by higher professional fees associated with specific strategic engagements during the quarter and a slight rise in allowance for expected credit losses following one of our long -tail European customers having entered into self administration. We have adopted a prudent approach by completely providing for our exposure in this quarter. We recognized other income of INR 16.5 crores during the quarter compared with INR 23 crores in the previous quarter. This was largely driven by lower interest income on account of a dividend of INR 408 crores that we paid in June as well as a non -cash net loss of INR 2.5 crores due to a translation effect of change in the fair value of derivative

instruments. Consequently, the profit before tax came in at INR 218 crores, a 1% sequential decline.
Our effective tax rate in the quarter came in at 27.6%, an increase of 140 basis points compared to the previous quarter, driven by profit mix change across geographies. As a result, the profit after tax declined by 2.9% to INR 157 crores.
We remain focused on maintaining a

strong and liquid balance sheet. At
the end of the second quarter, our net cash on the balance sheet was $145.3 million compared with $131.4 million at the end of the previous quarter, and we continue to remain debt -free.
Our collection efficiency continues to remain robust with a total DSO of 85 days at the end of September compared with 84 days at the end of Q1 and 92 days in the same quarter of last year. Billed DSO stood at 60 days, while the unbilled DSO came in at 25 days at the end of Q2.
Turning to cash flows. We've observed an improvement in the working capital position and cash conversion level during the first half of the year. Our free cash flow amounted to approximately INR 453 crores with a net release of about INR 23 crores in working capital in the first half of this fiscal, and we remain focused on sustaining this efficiency in cash collections as well as conversion rates.
Let me now give you some color on the operational metrics.
At the end of the quarter, our head count reached 12,680 employees, representing an increase of 1.4% or 175 employees compared to the previous quarter as we added capacity in some of our focused growth areas, which includes ramping up for our joint venture as well as some

new wins in the embedded area . We remain focused on strengthening the base of our people pyramid with more campus hires and we will also look to make selective lateral hires depending on the business need. Our employee utilization saw an improvement of 120 basis points from the previous quarter, reaching a level of a little under 88%. We believe there is room to further improve this metric in the near term.
Attrition levels have continued to improve, supported by a general decline in industry -wide attrition as well as our ongoing employee engagement initiatives. One such initiative includes our internal chatbot that has enabled us to identify and address potential flight risks proactively. By the end of Q2, our 12 -month voluntary attrition rate stood at 13.1%, down from 13.7% of the previous quarter, with further positive momentum observed so far in this current quarter.
We remain committed to investing in the development of our teams focusing on talent building activities that strengthen our capabilities in strategic areas. There has been a substantial increase in training hours, particularly covering key topics such as s oftware -defined vehicles, Generative AI and cybersecurity. In quarter two alone, over 6,000 employees completed nearly 19,000 hours of training equipping them with skills and insights needed to support our evolving business objectives and to meet the challenges of the dynamic industry landscape.
In terms of our on -site and offshore revenue mix, the proportion of revenue generated outside our delivery centers in India and Romania and executed offshore increased by 470 basis points sequentially,

reaching a level of 43.7% and we are actively focused on driving initiatives to further improve this metric over time.
As we drive to do more work in the embedded and digital space as well as large f ull vehicle programs , our focus will be to leverage offshore far more. This will help us bring in better employee pyramid with focus on reskilling and upskilling as mentioned above and will drive better utilization.
We are also investing in automation and AI tools to improve delivery efficiencies and significantly improve our productivity as well as time to market.
Turning to customer pyramid. You can see that a number of customers generating revenue surpassing $1 million has improved steadily. Within the $1 million to $5 million category, which

rose to 30 in the second quarter compared to 28 during the same period last year. We've also seen improvement in the $10 million to $50 million category, which now has 6 customers compared with 3 during the same period last year. In the $ 50 million -plus category, we now have 2 customers compared with 3 in the same quarter last year.
In summary, while the long -term fundamentals of our business remain sound, we're noticing a slight delay in customer decision -making in the near term. However, we anticipate strong performance in the second half of the year, driven by opportunities reflec ted in our order book and pipeline. Our margins have remained resilient through out the first half, and we are committed to maintaining strong operational discipline while continuing to invest in key strategic growth areas.

With that, I thank you for your time. We can now open the floor for questions.
Moderator: Thank you. Our first question comes from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.
Chandramouli Muthiah: Hi, good evening and thank you for taking my question. My first question is just on the broader environment for your core automotive segment. Just trying to understand, I think you made a few comments around sizes of deals being slightly smaller and they're waiting for a couple of quarters for more clarity on how the growth might start to rebound in the EV investing end market.
So can you just provide a little more color around those comments and then maybe what you're seeing in your core customers, I think one of your peers had mentioned that JLR is not mainly the primary growth driver for the balance of this fiscal year, it's s ome of the other OEMs, which might be driving most of the growth. So just that angle between anchor customers and non -anchors as well.
Warren Harris: Yes, it's a great question. And I'll reiterate my comments that in a medium to long term, we fully expect that the pendulum has swung and there will be increasing EV adoption rates as we get through the short -term challenges. And even in the short term, we expect the EV penetration to continue to grow. But there's really 2 things that are covering the short -term decision making of our customers.
In North America, the election is essentially presenting at 2 very polarized policy positions as far as clean energy is concerned. And I think that our customers are waiting for clarity in terms of who wins

next week. And I think that will then provide the basis on which decisions will then be made. I think in Europe, I think that there is concern about the chip -- the threat from China and the ability of the Europeans to react from a technology step perspect ive and also from a pricing perspective.
And I think that they are waiting for regulatory help in Mainland Europe specifically. And our view through the discussions that we're having with the OEMs and their supply chains is that, that clarity will be provided in the early part of the next calend ar year. So, we anticipate short -term headwinds, some tactical headwinds over the next 6 to 9 months, but then we expect the type of accelerated growth that we've seen in the last couple of years to reinstate itself.
Chandramouli Muthiah: Got it. That's helpful. Second question is just around some of the useful comments you had shared with us on BMW. So thanks for that.
So just trying to understand, I think at this point, we seem to be guiding for over time, that could be $100 million reven ue opportunity. Just want to understand a couple of things around that.
Do we expect to account this in the revenue line? Or is there clarity around

whether it comes below the EBITDA line of share of profit from JVs? And also, just related to that trying to understand given that it's a JV, would you expect this to be as an entity, more profitable than your current core business? And what will be the sort of start -up costs associated with setting it up? When do you think it migh t achieve steady -state profit?
Warren Harris: Yes. I think the fact that the JV does not begin to operate until the 1st of November means one that we are constrained by confidentiality

agreements with regard to our commitment to the BMW. So, we're not at liberty to share specific details on revenue ramp -up and margins. As far as the accounting treatment is concerned as far as consolidation is concerned, we are still working with our auditors to determine the best approach for us to be able to present the contribution that the JV will make to our business. And so, as that becomes more clear, and we expect that to happen in the next couple of months we will bring that to the investors and s hare the details.
Chandramouli Muthiah: Got it. Thank you very much and all the best.
Moderator: Thank you. The next question comes from the line of Abhishek Kumar from JM Financial. Please go ahead.
Abhishek Kumar: Hi, good evening and thanks for taking my question. First is on second quarter revenue growth. When I look at the constant currency growth sequentially for services, it was muted at 0.3%. So, was it in line with what you were expecting? Or were there some negative surprises through the quarter? And related question is, we saw a sharp jump in offshore revenue and one of your peers indicated that clients are correctively asking for work to move offshore. So, did that happen in our case? And if yes, did that had a deflationary impact on the revenues for the quarter?
Warren Harris: Yes. I think in terms of the performance vis -a-vis our forecast. I think the performance was relatively in line with regard to our expectations.
Say for the comments that we've made about some of the decision - making being right shifted and some of the deal s that we expected to close coming in at smaller quantum’s than originally anticipated. So, we signalled at the end of Q1 that we expected to return to growth. We've

achieved that. We had at the beginning of the quarter, expected to do a little bit better than we actually delivered.

But we've factored that into our expectations for the second half of the year. And as I've positioned in my opening comments, we expect the second half of the year to be better than the first half of the year. So, we are reacting to the market dynamics and the challenges in the U.S. and in Europe in the automotive market. But we're still relatively optimistic in terms of the momentum that underpins the business performance.

Abhishek Kumar: Sure. Next, I had a question on margins. We've done well in terms of utilization and also offshore mix. Now going forward in the second half, with probably wage hike, I'm not sure if you decided on the wage hike. But with that still ahead of us, how should we think about margins going forward?

Warren Harris: We'll be rolling out our merit increases this month. And we expect that the merit increases together with the impact of festivals and holidays. We'll likely see a small decline in margins in Q3. But we are optimistic, and we've modelled that we should pres erve margins in the second half of the year. So we expect to recover in Q4 and at the full year end we do not see any deterioration in margins from our current position.

Abhishek Kumar: Great. Very helpful. Thank you. And all the best.

Moderator:

Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Hi, thank you for the opportunity. What I just wanted you to share some color with regards to the growth within anchor customers, given some

of the details that have been provided in our annual report. That's question number one. The second question was with regards to the BMW joint venture. Given that BMW does work with a number of Tier 1 IT services companies as well as some ER&D companies. D o you think over a period of time, there is an opportunity for us to consolidate that the ones that BMW may be doing with other vendors?

Warren Harris: Yes. Let me start with answering that question first. I think one of the things that has characterized the partnership that we've established with BMW is that it has been driven by the executive leadership team of BMW. The decision to partner with Tata Tec hnologies was primarily made by the Head of Automotive Software and the CIO.

They are on the Board of the joint venture, and they will work with Tata Technologies to ensure that the joint venture delivers against the expectations that BMW have had. And what that's allowed us to do is profile at the top of BMW, the breadth and depth of our capabilities. And it's also helped us influence decision -making at BMW in favor of plans not just for the joint venture, but for the direct business that we expect in the future to deliver.

So, we are very bullish about the opportunity with BMW. Now as far as whether they consolidate the work that they're doing with other third parties into the JV or into a direct relationship with Tata Technologies, that will be obviously a decision for BMW. Bu t we will work very, very hard to continue to do everything that we can to ensure that our share of wallet continues to grow.

As far as the anchor relationships are concerned, I think we've signalled now for some time that given the success of both JLR and Tata Motors,

their capex has increased significantly, and we have been the beneficiary of that. Our share of wallet continues to not only be protected but in areas that are of strategic interest to Tata Technologies, we've seen growth. And we remain bullish for the ong oing support that we can provide for those 2 group companies and the impact that, that will have on both our top and bottom line.

Manik Taneja: Sure. Thank you and all the best for the future.

Moderator: Thank you. The next question is from the line of Aayush Rastogi from B&K Securities. Please go ahead.

Aayush Rastogi: Yes. Thank you. So, I just wanted to understand on the automotive side of the business. So, we have heard that the global players are focusing towards profitability. And today also there were some -- from the one that they are getting kind of job and closing of plants. So, what is the confidence that is giving us that the 2H should be better than 1H? And what are the capabilities that are leading us to have an edge in comparison to the peers that we are seeing kind of a traction in the autom otive segment.

Warren Harris: Yes. Great question. The confidence in the second half of this fiscal year is really driven by our order book and pipeline. We have continued to win business and continue to add to the order book. And so, the guidance that we've provided for H2 is informed by that. In terms of why we continue to be bullish about our position in automotive, is that when you look at the automotive value chain and you look at the investments that are being made by our custome rs.

They are investing not just in electric vehicles and in the transition to software -defined vehicles, but they're also having to optimize legacy products in order to ensure they are profitable to be able to invest in the future. Tata Technologies has capab ilities across the entire portfolio. So, the traditional internal combustion engine propulsion solutions and the associated vehicles as well as electric vehicles, the move to connected and again, the move to software -defined vehicles. And so, we are in a position to be able to partner with our customers in automotive as they navigate the vectors of change that will define the industry in the next 10 years. So, we are seeing a shift in emphasis in the short term, but we are not seeing any decline in the traction that we represent as far as the relationship that we've got with our primary customers.

Aayush Rastogi: Okay. Thank you, sir .

Moderator: Thank you. The next question is from the line of Bhavik Mehta from JPMorgan. Please go ahead.

Bhavik Mehta: Thank you sir. A couple of questions for question. Firstly, when you say 2H is going to be better than 1H. But also, we think about the quarterly growth momentum in 3Q and 4Q versus what we are seeing into Q -on-Q growth accelerating over the next couple of quarters?

Warren Harris: We certainly see the top line accelerating in both Q3 and Q4. Having said that, Q3 will be impacted by the festivals and the holidays that typically impact the third quarter of our fiscal year. And so, the underlying momentum will improve. But the reported top line and bottom line will be impacted by the seasonality that defines our industry on every year basis.

Bhavik Mehta: Okay. Got it. The second question was on the Air India deal, which was announced today. Can you share any color in terms of when do we expect to start the ramp -up of the deal and how big this deal could be over, let's say, for the next couple of years?

Warren Harris: We've been working with Air India since it became part of the Tata Group. We've spent a significant amount of time, and we've invested a significant amount of resources in reengineering parts for legacy vehicles. And we've also worked with the OEMs and the ir supply chain to accelerate the delivery of product for Air India. So, both direct business with Air India and the associated business that we derived from Air India has continued to grow.

The partnership that we are announcing today will further accelerate the growth of that business. And I referenced the investment that Air India are making in maintenance, repair and overall, the MRO facility that they will be starting up in Bangalore and we will be one of the key partners in the deployment of that facility. So, it's a relationship that's growing but it's a relationship that will accelerate and drive further growth, particularly as that facility comes on stream.

Moderator: Thank you. The next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities. Please go ahead.

Chirag Kachhadiya: I just want to understand the demand environment. So, some of our peers reported that the slowdown in the Europe, mainly they're facing execution related challenges, whereas we think that in H2

situation will improve and we like to report a better performance compared to H1. So how we feel that H2 will be better? And any conversation with our existing client that they're going to accelerate the spend and all?

Warren Harris: Yes. As I had previously commented, our confidence in H2 is informed by the order book that we're carrying i

nto H2 and the deals that we've previously won. We do see a tapering of demand in the short term, and that is driven by the elections, specifically what's happening in the U.S. and the challenges that the Europeans are facing, particularly as far as the competition with the Chinese OEMs in the EV space.

But as I commented in my opening remarks, we expect to get clarity next month in terms of the policy position of the U.S., and we expect the regulator in Europe to provide some level of protection and some level of clarity to the European OEMs early part of the new calendar year. And we think that, that clarity will provide the basis on which our customers and the market will accelerate decision -making.

So, we do see a softening of demand in the short term for new business, but our H2 is not informed -- we're not dependent upon that because it's really dependent upon the business that we've already closed. I think the outlook as we move into the next fiscal year, I think we we're relatively confident about that because, again, we see the short term -
- we see the slowdown in the short term being informed by issues that should be resolved way before the start of the new fiscal.

Chirag Kachhadiya: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Abhishek Shindadkar from InCred Capital. Please go ahead.

Abhishek Shindadkar: Hi, thanks for the opportunity. Just 2 questions. First, you mentioned about a right shifting of some of the work from customers. So, what I wanted to understand is that when did the customers kind of highlighted the same to you? Was it early part of the quarter, mid - quarter or it was a very short notice kind of a scenario. The second, you mentioned about the chip threat from China, esp ecially for European auto. Now is this a more structural problem? Or are you feeling -- I mean, what's your sense? Is this a structural or the resolution could be early next year?

Warren Harris: I think if we look at the market dynamics, it's different in different regions. If you look at the beginning of the last quarter, I think when Mr. Biden was competing with Mr. Trump, there was relative confidence in the Republican camp that they were going to be successful. And I think that the industry was gearing up for a change in administration in November.

I think the change of candidate at the top of the ticket, has presented a situation where right now, it's too close to tell. And so, I think as the race in the U.S. started to tighten, I think the concerns within our market and within our customer have heightened because the policy positions of both our size are somewhat tolerized and represent fundamentally different market conditions .

I think in Europe, I think the threat and the concern about Chinese OEMs has continued to build over the last 12 months. But I think that the OEMs had anticipated that the regulator would move more quickly than they

actually have. And I think it's only in the last month or so, that confidence has started to be established about policy positions that will be an active early part of next year. So, I think it's a detailed explanation of the fact that the situation has kind of evolved during the course of the quarter. And what we started out with at the beginning is somewhat different in terms of market conditions for the situation that played out in the last month of the quarter.

Abhishek Shindadkar: Very helpful. Just a follow -up to your answer. Does that mean that the tariffs on Chinese OEMs can keep on increasing? What is your assessment basis your interactions with the industry participants?

Warren Harris: Ye

s, I think it's likely, regardless of who wins on November 5, the tariffs against Chinese OEMs in the United States will continue to increase. And that's primarily because the American OEMs don't sell a lot of products in China. I think it's much more difficult for the Europeans because particularly in the premium segment, the German OEMs and to a lesser extent, some parts or some divisions of the French OEMs do sell product in China. And so, I think that they will have to balance regulation with the ability to continue to service that market, which today is by far and away the largest market in the world. So, I think it will play out in different ways in different regions.

Moderator: Thank you. The next question is from the line of Rajiv Berlia from Citigroup. Please go ahead.

Rajiv Berlia: Yes. On your comments on 2H better than 1H. I just wanted to understand how much confidence is coming from anchor clients and non-anchor clients?

Warren Harris: Well, I think it's relatively balanced. Our services revenue from anchor clients makes up a significant portion of our services revenue. And given the extent of the relationship that we have and the closeness of the working relationship, it means that we h ave very clear visibility on the business there. But we worked hard over the last 10 years to diversify ourselves, and we've built significant and sizable relationships outside of the group.
And the business that we're in is a relatively sticky business. It doesn't change based upon the sales dynamics that our customers have to grapple with. When you invest in new product, you're investing in the competitive position of that company 3, 4 year s from now. And so typically, there is a short -term price shifting. There's sometimes some tactical reduction in discretionary spend. But for the most part, order books are protected and commitments that customers have made to us, they remain relatively in tact. And it's that, that's really inspired and informed our confidence in the second half of the year.
Rajiv Berlia: Thank you.
Moderator: Thank you. The next question is from the line of Kshitij Saraf: from Tusk Investment. Please go ahead.
Kshitij Saraf: Hi, good evening. Thank you for taking my questions. Warren, would you see this as an opportune time amidst a little bit of auto decision - making slowdown to ramp up the aerospace and the industrial heavy machinery bit. There's an announcement from Tata Advanced Systems as well. So how do you see Tata Technologies pos itioned to capture the broader opportunity over there?

Warren Harris: Again, a great question. And we're incredibly bullish about our aerospace business. The accreditation that we've achieved with Airbus, I think not only provides us with a platform to grow within that customer. I think it really provides us with an endorsem ent in the aerospace market. And if you look at the macro trends within aerospace, there's about 22,000 to 23,000 commercial aircraft in productive use today, that's set to double in the next 20 years.
And right now, the big OEMs, Boeing and Airbus, they can't build enough aircraft quickly enough to satisfy the demand. So, we think that there's a tremendous opportunity in the areas product engineering. We also think that there's a tremendous opportunity in smart manufacturing and accelerating manufacturing throughput.
We also are confident and I'm glad you've referenced it in the tailwinds that the group are providing in terms of the investments that they are making. Obviously, Air India is an important part of that. But what Castle are doing in terms of the work that they are undertaking to

develop in
a final line assembly capabilities here in India, we believe will provide tremendous opportunities for our company, particularly now that we've received the accreditation of a company like Airbus.
Kshitij Saraf: That's very helpful. And just to recap, we have the BMW JV coming up. We had the collaboration with Agratas, which I believe would only start to materialize once production starts. So where are we with Agratas?

And are there any other major joint ventures or similar initiatives such as that of BMW in the middle of all of this?
Warren Harris: Well, just let me clarify on Agratas. We're doing business that we are booking now for Agratas. There’re really 3 aspects of the partnership

with Agratas at the moment. One is pack design. So, we are able to advance our coverage of the EV value chain to include now pack design. Previously, we were really focused upon systems integration and software development for batteries. Now we're actually standing up teams that are contributing to the dev elopment of packs for different use cases, not just within the 4 -wheeler or passenger vehicle space, but also in the 3 -wheeler and 2 -wheeler space.
We're also working with Agratas to help them digitize their enterprise. So, we are rolling out ERP and PLM systems for that organization. And we're also working with them to help them industrialize the 2 giga factories that they are selling out in Gujarat and the Southwest of the U.K. So, we expect that partnership to continue to scale and to continue to grow. But we are today booking revenue from that partnership, and it continues to grow as we expand our coverage.
Moderator: Thank you. Ladies and gentlemen, we take the last question from the line of Santosh Keshri from SKK HUF. Please go ahead.
Santosh Keshri: Thank you so much for taking my questions. I just have 2 questions. One is, first, is the amount that invested for the BMW JV. Have we invested in any amount so far? And what is the plan of investment for the next 2 years? That's my first question.
Warren Harris: Well, we are, again, constrained by confidentiality in terms of confirming specifically what we've done to help the JV get established. But what I can say is that we have invested in the transfer of resources, and we have invested in the setting up of infr astructure in Pune, in Bangalore and in Chennai. And that investment is part of the commitment that we are making to the partnership and to the joint venture.

And we are fully confident given the business plan that we've established with BMW that those investments will be recovered in the relatively short term. Not only that, we also see that the direct business that we are delivering to BMW will continue to gro w and scale. So, we think that, that investment is an investment that has been very well made and an investment that should help our organization, not just in terms of the financial results, but also in terms of the strategic endorsement and the brand end orsement that it represents for our organization.
Santosh Keshri: Yes. But the thing is that what I can see in the balance sheet that's there for the 30th of September '24, the property, plant and equipment line as well as the intangible assets line doesn't have much of growth. It's actually a reduction as of September '24 compared to the March '24 numbers. So, it appears that as you say that there has been some transfer of resources and some infrastructure is created. So of course, not telling you to reveal the numbers, but may I ask that is that appearin g somewhere in the profit and loss account? That's why the profitability has gone down this quarte

r?
Savitha Balachandran: No, the actual investment as far as the joint venture is

concerned, at this point of time, financially speaking is really just the share capital investment from Tata Technologies, and that's not a very material amount. Therefore, what you see as change in fixed assets is simply the natural erosion because of depreciation and amortization of assets. There are no special or one -off effects because of JV or otherwise on that particular line item.

Santosh Keshri: Okay. Great. And Savitha, one more question about other income. That is that though our cash balances have been increasing, we can -- I can see that the number for the other income has reduced based in the scenario and the yields have hardened -- sorry, th e return on the assets have risen up generally in the economy. So, what is the reason that our other income has gone down from INR23 crores last quarter to the INR16 crores this quarter?
Savitha Balachandran: So, I did address this as part of my opening remarks. To reiterate the point, there are 2 elements that have seen movement between the last quarter and this quarter. One is, like you rightly pointed out, there has been a reduction in the interest income that we earned. And you would recollect, we made a dividend payment of over INR400 crores -- nearly INR410 crores that happened towards the end of Q1.
So, the second quarter didn't really benefit from the full effect of the cash build -up that we've done during the course of the quarter. Therefore, the overall yield has been lower. This is also impacted because the cash for us is distributed across the vario us material geographies in which we operate. And there, as you know, we have started to see some reduction as far as rates are concerned. So therefore, there's been about INR2 crores of reduction in interest income sequentially.
The second impact is the notional impact because of the -- some of the forex hedges that we currently have. These were contracted several months ago. And the rate, especially as far as dollars and pound is concerned, has moved adversely. So, this is more a translation effect

that you've seen. The swing of that between quarter 1 and quarter 2 is roughly about INR5 crores to INR5.5 crores.
Santosh Keshri: Okay. Got it. Thank you so much.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now hand the conference over to Mr. Vijay Lohia for his closing comments.
Warren Harris: Maybe before we close, let me just extend a very warm and happy Diwali to everybody on the call from everybody here in this room and everybody at Tata Technologies.
Vijay Lohia: Thank you. Thanks, Warren, and thank you, everyone, for joining us on today's call. We hope that we've been able to answer most of your questions. If there are any further questions, please do not hesitate to get in touch with the Investor Relations team, and we'll be happy to answer your questions. Goodbye from all of us here. Thank you.
Moderator: Thank you, members of the management. On behalf of Tata Technologies, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

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January 24, 2025

Dear Sir / Madam,

Subject : Transcript of the conference call on financial results for the quarter and nine months ended December 31 , 202 4

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call on financial results for quarter and nine months ended December 31, 2024 , conducted after the meeting of the Board of Directors held on January 21, 2025 .

The above information will be made available on the website of the Company : www.tatatechnologies.com .

This is for your information and records.

For Tata Technologies Limited

____
Vikrant Gandhe
Company Secretary and Compliance Officer

Encl: As above
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Trading symbol: TATATECH

"Tata Technologies Limited
Q3 FY'25 Earnings Conference Call"
January 21, 202 5

MANAGEMENT : MR. WARREN HARRIS – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – TATA TECHNOLOGIES
MS. SUKANYA SADASIVAN – CHIEF OPERATING OFFICER – TATA TECHNOLOGIES
MS. SAVITHA BALACHANDRAN – CHIEF FINANCIAL OFFICER – TATA TECHNOLOGIES
MR. VIJAY LOHIA – HEAD INVESTOR RELATIONS – TATA TECHNOLOGIES

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Technologies 3Q FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after

the presentation concludes. Should you need assistance
during the call, please signal the operator by pressing star, then
zero on your touchtone phone.
I now hand the conference over to Mr. Vijay Lohia, Head of
Investor Relations at Technologies. Thank you, and over to you.
Vijay Lohia: Thank you, Ryan. Good day, everyone, and welcome to Tata
Technologies Third Quarter of Fiscal 2025 Results Call. I'm Vijay
Lohia , Head of Investor Relations . Joining me on the call today
are Mr. Warren Harris, CEO and Managing Director; Ms. Sukanya

Sadasivan, COO; and Ms. Savitha Balachandran, CFO. We'll
begin with an overview of the company's performance,
followed by a Q&A session. Please note that we do not provide
specific revenue or earnings guidance.
Any forward -looking statement made during this call should
be considered in the context of the risks that the company
faces as outlined on the second slide of the quarterly fact
sheet available on our website. The press release and earnings
presentation h ave been submitted to the stock exchanges and
are also available on our website, www.tatatechnologies.com.
We hope you've had a chance to review them.
With that, I'll now hand over the call to Warren.
Warren Harris: Thanks, Vijay, and welcome to the call, everybody. Let me start
by wishing you and your families a healthy and prosperous new
year. I will begin by sharing highlights of our third quarter
before inviting Savitha to provide a detailed analysis of our
financ ial results.
I'm pleased to report that we achieved sequential revenue
growth of 1.7% in constant currency despite operating in an
environment marked by economic uncertainty and Q3 being a
seasonally soft quarter. The third quarter typically features
fewer billing days due to festivals and holidays in different
parts of the world.
Our services business

grew sequentially by 1.1% in constant
currency terms, aligning with the outlook we shared during last
quarter's call. Meanwhile, our Technology Solutions segment
delivered robust sequential growth of 3.7% in constant

currency, driven by an impressive 55% growth in our products
business , partially offset by a 20% decline in the Education
segment.
The products business typically delivers strong performance
in Q3, driven by the discharge of year -end customer PLM
software budgets. In contrast, our education business faced
challenges due to delays in infrastructure readiness. Our
“phygital” edtech model relies on fully operational labs within
the academic institutes that we partner with. Construction
delays impacted bookings in Q3. However, we anticipate that
these facilities will become available in the early part of
calendar year 2025 . Coupled with a robust pipeline we expect
to convert , we are confident that the growth momentum of our
education business will continue.
Our operating EBITDA for Q3 stood at 17.8%, reflecting a
sequential decline of 40 basis points. This performance,
however, underscores the strength of our operational

discipline as we effectively absorbed a 150 -basis -point impact from salary hikes implemented during the quarter.
From the perspective of demand, let me comment on the demand trends within the three industry verticals in which we operate. In the Automotive segment, demand patterns remained consistent with what we've seen in the prior quarter, with decision -making delays persisting due to regulatory uncertainties in the US and the challenges in the European market, driven by weakening consum er demand and competition from China.

While these headwinds have tempered EV growth, we see this as being temporary with the passenger vehicle market still projected to grow in calendar year 2025 by 1.7% as confirmed by S&P Global.
We anticipate greater policy clarity in the coming months that is likely to prompt a diversification of OEM investments across various propulsion technologies. This shift plays to our strengths as we offer deep expertise across battery electric vehicles, p lug-in hybrids, and internal combustion engine propulsion systems.
In contrast, the Aerospace and Industrial Heavy Machinery segments showed continued resilience with strong demand for our services. Notably, our aerospace business achieved 39% sequential growth in Q3, supported by a growing order book. We expect this mome ntum to continue into Q4 and into the next fiscal year.
From a deal signings perspective, we closed 4 significant deals in Q3, reflecting strong traction in digital engineering, smart manufacturing, GenAI and embedded software solutions. The key wins include :

• A multiyear contract with a European luxury automotive OEM for testing and validation of a new battery electric vehicle.
• We've also secured the responsibility to stand up an offshore development center for a global Tier 1 automotive company.

• In addition, we won a software and embedded engagement with a global technology provider to the automotive industry that will provide emission reduction and energy efficiency solutions for turbo, hybrid and electrified components and subsystems.

And in the education sector, we're partnering with the government of T ripura to deploy our edtech proposition across 19 ITIs.
From an investment perspective, we continue to develop solutions that deliver value for our clients in areas that are relevant to their strategic imperatives.

• In the area of sustainability, we are developing a prognostics platform for a European automotive OEM that will help them predict the future condition of the remaining useful life of their vehicle components using data -driven or model -based approaches. We're also developing a battery platform for the

same customer,
which will offer life cycle analysis tools for
environmental impact assessment, material traceability
and carbon footprint reduction strategies.

• Across each of these areas, we continue to double down
on our investments in AI and GenAI. A notable
achievement for our company in Q3 was the formal
launch of our proprietary AI and GenAI framework. The
plan is to leverage the platform for both internal and
external use cases. This framework leverages modular
architectures, pretrained models and real -time IoT data

to streamline application development. By enabling
faster prototyping and seamless integration, it
empowers businesses with predictive analytics, defect
detection and workflow optimization whilst integrating
seamlessly into open source and closed source LL Ms
and existing enterprise IT applications.
The platform is currently being used by a North American Tier
1 customer as part of a manufacturing transformation
engagement to drive improvements in productivity,
predictability, and efficiency across multiple plants. Moreover,
our AI and GenAI -based capabilities are increasingly being
recognized by the technology and the manufacturing sectors.
For instance, one of our GenAI - powered sales assistant
applications that we've deployed for an Asian automotive OEM
dealership network has recently received seve ral innovation
awards.
I'm also delighted that in Q3, the partnership with BMW has
begun operations. We now have facilities in Pune, Bangalore,
and Chennai. The business began with a headcount of over 100
people. We're scaling rapidly, and we expect to stand up a
team of more than 1,000 people by the end of this calendar
year. We're incredibly proud of the endorsement that BMW
have given to Tata Technologies. Their commitment to partner
with us to establish a globa l hub for automotive software and
digital services is a tremendous testament to our industry -
leading capabilities.

Despite the economic uncertainties, we remain confident in
our ability to deliver value to our clients. Our robust pipeline,
coupled with strategic investments in technology and
innovation, positions us well for sustained growth as market
conditions stabilize and improve.
And with that, I'll hand it over to Savitha for a detailed
commentary of our financial performance.
Savitha Balachandran: Thank you, Warren. Good morning or good evening,
everyone, depending on your location, and thank you for
joining this call today. In continuation to the details that
Warren shared about the progress in different areas of our
business, let me share with you the financial performance in
the third quarter of fiscal '25.
Overall, while our operating environment continued to present
some challenges, our results for the quarter were resilient with
revenues from operations growing 1.6% sequentially to INR 1,318

crores. On a constant currency basis, our total revenues were up 1.7% in the quarter.

As far as segmental performance is concerned, revenue from our services business , which contributed approximately 77% to our total revenues, increased 1.1% sequentially in constant currency terms and 0.8% on a reported basis, reaching approximately INR 10 billion. It is particularly noteworthy that this growth has been delivered in the backdrop of a challenging business environment and a seasonally weak quarter with a higher number of holidays. Overall, we believe our strong service portfolio positions us well to effectively adapt to the

challenges of the current market, demonstrating both resilience and agility.

An additional data point that demonstrates the health of the underlying business is the 17% year -over -year increase in the 9-month services dollar revenue when you exclude the effect of the very large project completion, we did for VinFast last year, which in fiscal '

24 contributed to over 14% of our services revenue. Overall, we believe a strong service portfolio positions us well.

Moving on to Technology Solutions , which forms the remaining 23% of revenues. The segment grew by 4.6% over Q2 to clock a revenue of INR 305 crores, largely supported by the renewal deals, which is characteristic of the final quarter of the calendar year in the products business. On a constant currency basis, the segment witnessed a 3.7% sequential growth.

On the margin front, performance is noteworthy with the EBITDA margin for the quarter coming in at 17.8%, arresting the sequential decline to 40 basis points despite the 150-basis point increase in our salary costs from the organization -wide annual salary increase across all levels during the quarter. I am pleased with the swift cost optimization measures taken that enabled us to partially offset this cost headwind.

- There is a 40-basis point reduction in the outsourcing and consultancy charges achieved through effective bench management and replacing external resources with internal talent.

- We've also seen a 50-basis point benefit from the reversal of provisions for credit loss as we collected some old dues
- And, a 60-basis point reduction in certain discretionary expenses that helped us to ensure that our margin decline is arrested.

We continue to make progress on our stated margin expansion levers such as pyramid optimization as well as improved productivity. And these actions will reflect our commitment to maintaining operational efficiency while supporting sustainable growth.

As Warren mentioned in his remarks, I'm very pleased to share that our partnership with BMW began operations in Q3. As far as the accounting treatment is concerned, we are applying the equity method of accounting. And in Q3, our share of profit amounted to INR 56 lakhs. Furthermore, the other income also includes a deferred income of INR 8.3 crores, representing the fair value gain on the call and put option relating to the investment in this company.

I would like to highlight that beyond the technical form of a vehicle that's used to deliver services to BMW, this partnership is a multiyear large deal from our perspective and hence, an extension of Tata Technologies' operations. Due to client confidentiality, we are unable to disclose specific details on the commercials, but the deferred income represents a recurring item alongside the share of profit. Consequently, we report this income as part of our operating profit or EBIT, wh ich grew by 3.1% sequen tially to INR 212 crores.

During the quarter, we reported the other income of INR 27.6 crores, marking a sequential increase of 68% compared to INR 16.4 crores in the previous quarter.

In addition to the deferred income already discussed, this growth was primarily driven by :

• An increase of INR 2.8 crores in interest income resulting from higher cash balances

• A net gain of INR 2.2 crores from fair value measurement of certain investments.

As a result, profit before tax increased to INR 226 crores, representing a 4% sequential growth. Our effective tax rate in the quarter came in at 25.4%, a decrease of 220 basis points compared to the previous quarter. As a result, the profit after tax saw a robust increase of 7.1% quarter -on-quarter to INR 169 crores.

We observed a modest increase in DSO during the quarter, reflecting increased billing velocity of the seasonally strong products business. However, our collection efficiency continues to remain robust, reflecting the strength of our credit management process.

Turning to cash flows. Our free cash flow for the first 9 months of the fiscal stood at INR 681 crores. We remain focused on enhancing the cash collections and optimizing the conversion levels to maintain liquidity and support sustainable growth. At the close o

f the third quarter, our net cash position stood at $154 million, up from the $145 m illion of the previous quarter.

Moving on to highlights of operational metrics. We continue to optimize capacity by balancing full -time employees and outsourced resources. And as a result, utilizations improved by about 40 basis points sequentially to 88.1% with a modest scope for furthe r improvement in the near term. We continue to strengthen our talent pyramid by increasing campus hires while making selective lateral recruitment aligned with business needs.

Attrition trends also continue to move in a favorable direction, supported by a broader decline in the industry -wide attrition rates. Our last 12 -month attrition improved further this quarter, decreasing to 12.9% from 13.1% of the previous quarter.

We remain focused on talent development, increasing training in key areas such as software -defined vehicles, generative AI

and cybersecurity, among others.
As far as our on -site and offshore mix is concerned, we saw a sequential reduction of 200 basis points with our offshore revenue mix reaching 41.7%, driven by a temporary shift of efforts to onshore work in line with certain project milestones. We remain f ocused on implementing measures to gradually increase the offshore ratio in the coming quarters.
In conclusion, I'm encouraged with our performance this quarter, highlighted by a 1.7% top line growth, 3.1% EBIT growth and a 4% sequential increase in pretax earnings. Looking ahead, we remain committed to strategic investments in our identified areas of growth. Simultaneously, we will also

continue to prioritize operational efficiencies and maintain a competitive cost structure to d rive long - term value creation.
With that, I thank you for your time. We can now open the floor for questions, Vijay.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Chandramouli Muthiah from Goldman Sachs.
Chandramouli Muthiah: My first question is just around the environment for spending on electric vehicle R&D and autonomous vehicle R&D. You did mention in your prepared remarks that you expect more policy clarity around climate change and electrification -related incentives from different governments around the world ?
So just want to understand, post the inauguration of the US presidency last night, there are press articles talking about his focus on trying to come a little lower on the electric vehicle mandate, focus a little more on local fossil fuel production. Just want to understand what your initial thoughts are on some of the emerging news flow soon after the Presidency inauguration last night?
Warren Harris: Yes. Thank you for the question. And I think it's particularly relevant given the timing of yesterday's inauguration. We fully expect various components of the Inflation Reduction Act to be revisited. We think some of the incentives that have been provided in the United States for EVs will either be removed or will be resized. And so, we think that that will prompt some tapering of demand for full battery electric vehicles.

And we think that the industry response is going to be that the OEMs will invest in a much more balanced portfolio of propulsion propositions. So, they will not only invest in EVs, but we think that there will be much greater investment in plug -in hybrids and also optimizing and refining in the United States, legacy internal combustion engines. And I think the great news for us at Tata Technologies is the strengt h of capability we have in all three of those areas.
We have a particularly strong EV proposition given the work that we've done with the likes of VinFast and Neo and companies like Rivian. We have a plug -in hybrid set of references, the most notable of which is t

he work we did with
Polestar when we complete d the Polestar 1. And we've been in the automotive business for over 30 years. And so, the breadth

and depth of our legacy propulsion system capabilities is
something that has helped us define the brand over the last
25 - 30 years.
So, for us, what's kind of exciting is the fact that policy clarity,
we think, will prompt a release of R&D budgets, which will
stimulate the type of demand that we intersect with. So, we're
somewhat agnostic in terms of the type of investment, we're
much more dependent upon investments being made. So, for
us, policy clarity is very much a good thing.
Chandramouli Muthiah: Got it. That's helpful. My second question is just a
follow -up on the aerospace business. You mentioned there is
an impressive sort of 39% Q -o-Q growth there. Just want to
understand, post that sort of growth, what the rough size of the

aerospace business could be just ballpark as a percentage of
our total revenues today?
Warren Harris: We're incredibly ambitious for our aerospace business. And I
think we've signaled in the past the investments that we've
made, not only in relationships and capabilities, but also in
terms of accreditation. One of the big customers that we are
working with has recently granted design authority for the
work that we undertake.
And what that means is that we can actually sign off on our
own work, and it's not -- it doesn't have to go through an
approval process with the client. That's an accreditation that
typically takes 2.5 - 3 years. And so, the fact that we have that
now has certainly helped us scale that particular relationship.
And so, whilst I don't -- we don't give out specific guidance and
quantify what the aerospace business will mean in terms of
mix. What I can say is that we certainly expect aerospace to
grow at the fastest rate of all 3 verticals off a relatively small
base, but we expect it to increasing ly become a very
important and material part of our business mix.
Chandramouli Muthiah: Got it. That's helpful. And just lastly, a housekeeping
question around the deferred income that was discussed
earlier. So, you mentioned that the share of profit from the
BMW contract will come in share of profit from associates and
JVs line below the EBIT line. Just want to understand the
deferred income a little better, how that's getting accounted?
Is that going into the top line? Is that going into any of the other
lines in the P&L? Just want to understand that a little bit better .

Savitha Balachandran: Sure. Thanks for the question, opportunity to clarify,
Chandramouli. As you rightly said, there are 2 effects in our
P&L this quarter from our partnership with BMW. One is the
share of profit, as you can see above the face of the P&L, it's
above the PBT it em. The other effect is the deferred income,
which technically as per accounting standards, we are forced
to show that as part of the other income because as I said, it
reflects the fair value gain on the option that the partners hold
in the joint venture company.
But it is a continuing effect that we expect to receive in the
foreseeable future. And therefore, from our perspective, given
our ability and intention to collect this, we are covering it as
part of our other income, and that's why it's called out as
included in our EBIT for this quarter.

Warren Harris: And let me just reinforce, this is compensation for the work that we are undertaking for BMW. We've taken the responsibility of setting up the 3 centers in Pune, Bangalore and Chennai. We have -- we've provided the leadership team for this joint venture. A nd many of the systems and processes benefit from the infrastructure investments that we, Tata Technologies, have made. So, although we are constrained by the way in which we are accounting for this compensation through the va

rious accounting rules, this, again, should be seen very much as a return for the investment that we've made in the joint venture.

Chandramouli Muthiah: Got it. So, is this something that we expect to record on a quarterly basis in our other income line just as we sort of model the other income line going forward?

Savitha Balachandran: Yes. As I said, for the foreseeable future, we do see this coming through on a quarterly basis.

Moderator: Next question is from Bhavik Mehta from JPMorgan.

Bhavik Mehta: So, my first question is around the broader demand in auto ER&D. Obviously, there has been a slowdown. But if you have to characterize the extent of slowdown that's across US, Europe, and Asia, how will you define that in terms of where is the slowdown highest? And also, the related question is, as you expect the pace of recovery to happen, which geography could be the first one to recover from this downturn?

Warren Harris: Again, a very fair question. If I look at this geographically, what we've seen in the US and Europe, we've not seen it in Asia. So, the slowing of demand that we've seen in the Western markets - we've not seen in Asia. We've not seen in China. We've not seen here in India. So, the demand here continues to be relatively robust.

As far as the US is concerned, I think the extreme policy positions of the Democrats and the Republicans have presented a challenge for the industry in terms of aligning investment with what the regulatory framework is likely to look like. And so now that we have clarity, at least in terms of what we expect, then I think you'll see investments return much sooner in that region than you will in Europe. I think Europe is still grappling with the fac t that many of the OEMs are still selling a significant numb er of units in the China market. And so, any regulatory reaction to the competition that Chinese OEMs represent in Europe is likely to be considered

and thought for and calibrated. And we expect the clarity around that to take several months. There will be a response. There is no doubt about that, but it will probably clarify after we see the administrative position of the new admin istration in the United States.

So, Asia, we've not seen any real dip in demand. Europe is likely to come -- is likely to rebound after the United States. But what I will say, overarching in terms of the relative positions of the different regions is that the automotive industry is going through somewhat of an existential challenge.

If you look at the recent merger discussions that are going on between Nissan and Honda, there is significant change that is

really being driven by the competition that is expected to manifest itself in and around the movement to EVs, the movement to conne cted, software -defined vehicles and autonomous driving. And for those organizations that are committed to not only survive but to thrive, they have to continue to invest and invest in a way that is not exactly linked to the sales performance of the indivi dual company.
And that's one of the reasons that we continue to be bullish certainly in the medium to long term in terms of the opportunity that automotive represents for our company.
Bhavik Mehta: Okay. That's very helpful. The second question was, because of the slowdown we are seeing in Europe, does this impact the planned capacity additions with the BMW JV in India? Is there any risk to it?

Warren Harris: Not at all. In fact, even when I make high -level comments about the regions, you need to look at the individual positions of each company before, I think, you can judge what the implications are for the various brands. And one of the things that I think characterizes BMW is: one, a very strong balance sheet; and two, the focus that they always have on the medium to long term. So, the cycl

ical nature of the automotive industry typically does not impact the R&D commitment of the more successful companies and BMW is certainly one of those.
Moderator: The next question is from Abhishek Kumar from JM Financial.
Abhishek Kumar: I think a good performance in a difficult environment. First question, Warren, you mentioned in your initial remarks that you expect the slowdown to be temporary. Just wanted to understand how do you define temporary? Is it like two quarters, a year or longer? And a related question is, what are the kind of conversations that we are having with some of these OEMs, which are under pressure, especially the mass market OEMs in Europe, etcetera. Are there any talks around more outsourcing, large r cost takeout deals that will help them in the current environment? Thank you.
Warren Harris: Yes. Two great questions. I think we will continue to calibrate and recalibrate expectations every day, every week, every month, and every quarter. But I think if we look at our current visibility, our anticipation is that within the next couple of months, the big three in Detroit and the new energy vehicle companies on the West Coast will return to the type of investment that we saw running up to the beginning of last year.

I think, again, Europe will take a little bit longer, but organizations like BMW will stand out and continue to invest. And again, we don't expect any real change to the demand environment here in Asia. And so, if you aggregate all of that together, we're expecting improvement in the early part of the next fiscal year. As I said before, we'll continue to calibrate and recalibrate, but that's our view. This is a short -term slowdown. And certainly, the type of conversations that we are having with our customers right now and the opportunities and the deals that we are adding to the pipeline certainly reinforce confidence around that. As in response to the second

question, one of the things that I always reinforce to our business development teams is that when things are tough for our customers specifically, that represents massive opportunity for us. One, it gives us an opportunity to communicate to our clients that we're there for the m in the good times -- we're there for them in the bad times as well as the good times. So, it's an opportunity for us to reinforce relationships. But it's also an opportunity for us to look at creative ways of increasing the value that we can deliver to those customers.
And one of the things that we've seen recently is conversations with customers whereby we've been looking at opportunities to deliver things like hardware infrastructure and deliver that back as a service, wrap a service around that. We've looked at ways o f carving out capabilities from our customers and delivering that from offshore locations. None of these things are baked into our operating plan as yet.

None of them are based into our forecast. But I share that with you primarily to signal that during these types of times, the conversations that we're having with our customers provide the opportunity for us not only to do more from an offshore perspective, but also enter into white space that typically we've not competed or delivered services in. So, we're seeing those conversations play out in many of our strategic customer relationships. And it's another reason, another data point that we continue to be optimistic about the future.
Abhishek Kumar: That's very detailed. One question for Savitha. Savitha, our medium -term margin aspiration of 20% plus, do you think in the current environment that kind of gets pushed out? I know we have not given any timeline , but still given the growth challenges, etcetera, do you think it will be a lot more gradual now to reach to that aspiration level?
Savitha Balachandran: Yes, thanks, Abhishek. So, I

would say we continue to
remain bullish on the medium to long term also on the structural tailwinds available to the industry and the market. And therefore, we believe that our performance, both from a top line and a margin perspective, should benefit from that. So, to your question, the aspirational goal of 20% definitely continues to be live for us.
Moderator: Next question is from Karan Uppal from PhillipCapital.
Karan Uppal: So, Warren, just a question on our anchor clients. What's the outlook there, both within JLR and Tata Motors? You sounded quite optimistic on the APAC business, which includes Tata Motors. So, what's the outlook there? And the larger context of

the question is, is Tata Tech to an extent, insulated from the headwinds which other ER&D players might be facing because of their higher exposure to the Western OEMs?
Warren Harris: I think in terms of Q3, the performance of the anchor clients was robust. We didn't see any runoffs . Both of those organizations, in terms of their sales performance continued to do well. And we obviously have visibility on their investment plans, and we are confident that we will continue to support them in many of the ways that we are currently supporting

them.
So, we do not see any material change to the relationships and the performance of the anchor customers. In terms of - does our mix protect us vis -a-vis some of the competitors that are more exposed to Western geographies ? I think the fact that we have a global footprint in terms of people and customers, I think that does interject some balance and some form of protection against the ebbs and flows in different markets. It's something that we've worked hard to build over the last 20 - 25 years, and it's something that I think we'll continue to invest in.
Karan Uppal: Okay. Great. The second question is on aerospace. So, you sounded quite optimistic on the aero growth story. So, I just wanted to check with you in terms of the service mix, which services are finding traction at this point of time? Is it new product development? Is it MRO? Is it avionics? Any color would be helpful.

Warren Harris: Yes. Again, another fair question. We look at aerospace in the context of 4 areas. We look at aerostructures, which for us includes interiors. We look at propulsion systems, we look at MRO and we look at digital. And those are the relevant areas for us. Wh ere we are seeing traction is digital, particularly in the context of manufacturing throughput. The likes of Airbus and Boeing and their associated supply chains can't build aircraft quickly enough.
And so, they're leveraging technology to optimize the way in which they build aircraft, and we are playing a big part of -- a big role in that, particularly at Airbus. As far as the other sectors are concerned, MRO has been relatively stable for us. And aerostructures has really started to contribute in a material way. I announced in the last quarter, one of the deals that we had won with a business class seat manufacturer in Europe. And that has scaled during the third quarter and has now come online in terms of contributing in a material way. So that's going well.
On propulsion, we are seeding the relationships with a number of North American engine providers through the placement of people and through some small project work. And that's helping us build relationships . And those things are going well and certainly give us confidence that we'll continue to scale that through this quarter and into the next fiscal year.
Moderator: Next question is from Rajiv Berlia from Citigroup.
Rajiv Berlia: Two questions from my side. On the, I'll say the client bucket, 10 million to 15 million , we saw one drop -in client. Can you

please clarify that? And secondly, you mentioned in the opening remarks that you won

four deals. From a trend perspective, can you talk about on the TCV, how the TCV has been the last three , four quarters?
Warren Harris: Could you repeat the first question? I got the TCV question, but if you could repeat the first part of the question, I'd very much appreciate it.
Rajiv Berlia: Yes. So, in the clien t metrics, if you look at it, 1 0 million to 15 million size of clients, we saw on a sequential ba sis, a drop in

client?
Warren Harris: So, in terms of the drop -in clients, I think the primary impact has been the way in which VinFast is dropping through our various customer categories. The baseline effect of VinFast in terms of year -on-year comparisons continues to impact the way in which we look at not just custome r categories, but also the growth trajectory of the company.
I think Savitha commented in her opening comments that we've grown at 17% outside of VinFast in the last 12 months. So, we continue to perform well, but obviously, the runoff of that material engagement has impacted on our performance at an aggregate level. In terms of TCV, we don't disclose the quantum of deals that we closed.
But what I would say is that from a large deal perspective, our performance in Q3 was commensurate with the performance in the first two quarters of this year. So, we've not seen a drop -off in terms of our large deal conversion capability.

Moderator: The next question is from Kumar Saurabh, who's an Individual Investor.
Kumar Saurabh: I'm Saurabh, a retail investor. I'm trying to buy stock of Tata Technologies for a long time, but unfortunately, its falling stock price is stopping me from enter into the stock. Now as I'm fortunate to talk with the management, I want to ask two questions. With a large portion of our revenue coming from the automotive sector, isn't there a significant risk of overdependence on this cyclical industry? What steps are we taking to diversify into other sectors? And what measurable progress have we made so far in diversifying our revenue stream?
Warren Harris: Yes. We have a significant amount of business in automotive. There are three verticals that we support, automotive, aerospace, and industrial heavy machinery. And we've built our brand and our reputation on the back of the value that we deliver to automotive. One of the things that distinguishes Tata Technologies is that we are still the only ESP in India that demonstrated its ab ility to be able to develop a full vehicle from concept all the way through, the launch of the vehicle and the deli very of the vehicle to the consumer.
So that's a very strong part of our value proposition. And when we look at the industry, if we look at the market size, and we look at the growth projection, we think that there is more than enough headroom for us to satisfy the growth aspirations of our b usiness in that space.

There will be -- as we have seen over the last couple of quarters, that there will be tactical slowdowns that we have to navigate our way through. But if we look at medium to long term, we think that there is a massive -- there will continue to be a massi ve opportunity in automotive.
And that will be driven by the once -in-a-generation shift that we are seeing in the automotive sector as the industry pivots towards alternative propulsion systems, as the importance of software becomes more pervasive, and as the industry embraces the mov e to autonomous . These vectors of change, we believe, provide a significant amount of opportunity, and

we think we are ideally positioned to take advantage of that.
Now there is some diversification that we have in the business through the investments we made in aerospace and industrial heavy machinery. And those sectors, as we profiled previously, are growing at a very healthy rate. And one of the things that I think we benefit from is particula

rly as it pertains to smart manufacturing, there's fungibility across the three sectors that we're able to support.
And so, we are able to leverage the investment we've made in automotive in these other sectors. But we constantly look at our strategy, and we always look at the balance that we need to affect between focus and diversification. And right now, we think we have the balance about right for where the company is at.
Kumar Saurabh: That's very helpful. Next question. In the Investor Presentation, leadership mentioned that policy clarity would drive future

growth. Does this indicate that our growth strategy is overly reliant on external factors? Shouldn't we place a stronger focus on internal readiness to ensure growth regardless of external conditions?
Warren Harris: In terms of what we're doing to stimulate growth -- if I understand the question correctly, what are we doing to stimulate growth despite the impact of the external factors. I think -- I outlined in my opening comments, the investments that we are making i n capitalizing our experience in IP and investing in technologies such as AI and GenAI.
And through the investments that we're making in these platforms and these technology accelerators, we believe that we are building compelling propositions that not only make sense for our customers during times of good performance for them, but these are propositions that will make sense when things such as budgets are a little bit tighter.
So, we're taking the opportunity to complement the headcount growth commitment that we are making by investing in IP and using both aspects of that value proposition to stimulate the type of growth that will help us navigate through the ups and downs of the v arious markets that we support.
Moderator: Next question is from Vidyadhar Ginde from Sohum Asset Managers.
Vidyadhar Ginde: You did mention in one of your answers that the automotive industry in the West is facing an existential crisis. So, do you think that if some of the big auto players in the West, especially in Europe or the US, if they were to not survive or -- would it

take considerable years before that happens? Or is that an event which can happen in the next 12, 18, 24 months?
Warren Harris: Well, I think it's a great question that I'd love to discuss over dinner with you. But I think if I look at how things are likely to play out, the existential crisis does not mean that the capability that's in the automotive industry today will go away.
The volumes still need to be delivered by somebody. And the plants and the IP and the skills and the capabilities will still continue to be relevant.
I think that there are likely to be more mergers. I think there is

likely -- there's likely to be more consolidation. I think you'll likely see new energy vehicle players continue to evolve in terms of their market position and the influence that they have over the overall market. So, I think that the industry is likely to change. And I think it's incumbent upon organizations like ourselves to ensure that we are agile and flexible.
And we are in a position to take advantage of the change as it manifests itself. So, we're not intimidated by this existential challenge that I referred to before because we actually think there will be more and more opportunity that will be generated through the investments that the various players would have to affect.
Vidyadhar Ginde: My understanding is that in terms of the EV part, except for Tesla and some of the top Chinese guys, almost all other players in the West are way behind. And so, is that correct? And so even if they merge some of these guys, how does it really help in a sense?

And is -- the gap between these top players in China and Tesla, can it be narrowed much in, say, 12 -24-month time frame? Because from the o

ther thing I understand is that one of the big issues for these guys is providing an EV, which -- in terms of quality, which matches these top guys plus at the price at which they are able to deliver, especially with the Chin ese guys.
Warren Harris: Yes, I'm sure you'll understand that I can't comment on individual companies, particularly those companies that are our customers. But what I will say is that, yes, China enjoys today a tech and a bi ll of materials advantage over the players in the West. But don't underestimate the capabilities of the European automotive industry and certainly don't underestimate the ability of the Americans to innovate and to play catch -up.
And so, whilst there is an advantage that China has today, I'm fully confident that the Europeans and the Americans, those organizations that make the progressive calls and invest in the right areas, they will affect increasingly greater balance in terms of the E V marketplace.
So again, this is an exciting space for us to be in because of the imbalance, again, in terms of the tech stack and in terms of bond cost, all of the players that are committed to being competitive in the future, all of them are having to invest, which by association provides opportunity for organizations like ourselves.
Moderator: Next question is from Ruchi Mukhija from ICICI Securities.

Ruchi Mukhija: Thank you for the opportunity and congratulations on the resilient performance. I wanted to check, Warren, in terms of client conversation, do we see any change in the commitment from our clients on the existing projects like deferral or temporary pauses? And secondly, on the new deals tha t we are winning, are they ramping as per the expected timelines ?
Warren Harris: In terms of customer decision making , what we've seen over the last six months is not really that delays the existing projects. The projects that have been committed to and the

projects that we are engaged in have continued as expected and as planned. What we've seen is a delay in decision -making particularly as it pertains to things like power -trains .
And as I referred to before, we expect clarity to be provided, particularly in the US and Europe during the early part of calendar year 2025, and that will, what we believe, translate into those decisions that have been delayed being made. So, we've not really seen any show closing of existing projects. The impact has really been on new business.
Moderator: We'll have to take that as the last question. I would now like to hand the conference back to Mr. Vijay Lohia for closing comments.
Vijay Lohia: Thank you all for joining us on today's call. We hope we have addressed most of your questions. If you have any additional queries, please feel free to reach out to the Investor Relations team, and we'll be glad to assist you. Wishing you all the best and goodbye here from all of us. Thank you.
Savitha Balachandran: Thank you.

Moderator: Thank you very much. On behalf of Tata Technologies, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Apr 2025

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April 30 , 2025

Dear Sir / Madam,

Subject : Transcript of the conference call on financial results for the quarter and financial year ended March 31, 202 5

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call on financial results for quarter and financial year ended March 31, 2025 , conducted after the meeting of the Board of Directors held on April 25 , 2025 .

The above information will be made available on the website of the Company : www.tatatechnologies.com .
This is for your information and records.
For Tata Technologies Limited

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Vikrant Gandhe
Company Secretary and Compliance Officer

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Trading symbol: TATATECH

“Tata Technologies Limited
Q4 FY'25 Earnings Conference Call”
April 25, 202 5

MANAGEMENT : MR. WARREN HARRIS – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – TATA TECHNOLOGIES
MS. SUKANYA SADASIVAN – CHIEF OPERATING OFFICER – TATA TECHNOLOGIES
MS. SAVITHA BALACHANDRAN – CHIEF FINANCIAL OFFICER – TATA TECHNOLOGIES
MR. VIJAY LOHIA – HEAD INVESTOR RELATIONS – TATA TECHNOLOGIES

Moderator: Ladies and gentlemen, good day and welcome to Tata Technologies Q4 FY25 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “* ” then “0” on your touch tone phone. Please note

that this conference is being recorded. I now hand the conference over to Mr. Vijay Lohia, Head of Investor Relations at Tata Technologies. Thank you and over to you, Mr. Lohia.

Vijay Lohia: Thank you, operator. Hello, everyone and welcome to Tata Technologies ' fourth Quarter and ful l year Fiscal '25 Results Call.

Joining me on the call today are Mr. Warren Harris – CEO and M.D., Tata Technologies, Ms. Sukanya Sadasivan – COO of Tata Technologies and Ms. Savitha Balachandran – CFO, Tata Technologies.

Our Management Team will give a brief overview of the company's performance, followed by a Q&A Session. As you are aware, we do not provide specific revenue or earnings guidance, and anything said on the call which reflects our outlook for the future, or which could be construed as a forward -looking statement must be reviewed in conjunction with the risk that the company faces. We have outlined these risks in the second slide of the quarterly investor deck available on our website.

Our Press Release and Earnings Deck have been filed with the Stock Exchanges and are also available on our website, www.tatatechnologies.com . I hope you had a chance to look at them. Let me now turn over the call to Warren.

Warren Harris: Thank you, Vijay, and thank you, everyone for joining us on today's Earnings Call.

Let me start by reflecting on FY25 and sharing our strategic perspective on how Tata Technologies is positioning itself amid ongoing global macroeconomic volatility, including

intensifying trade tensions, tariff -related disruptions and the transformative shift driven by AI -led innovation .

Despite navigating a challengi

ng geopolitical environment –
marked by shifting trade alliances, rising protectionism, tightening export controls and the ongoing reconfiguration of global supply chain, we have delivered a resilient set of results in FY25.

Our full year revenue grew by 1% year -over -year in Indian rupees. However, this headline figure masks a stronger underlying growth of 12% year -on-year when adjusted for the large VinFast project that concluded in FY24. We ended the year with a robust EBITD A margin of 18.1%, reflecting our continued operational discipline.

During the year, we secured a total of 17 large deals, including one marquee engagement exceeding $500 million, two deals of over $50 million, one of over $20 million and 13 in the $5 million to $20 million range. These wins underscore our growing role as a trusted engineering and digital services partner across the manufacturing sector.

Our customer base continues to strengthen with 44 clients now contributing over a million dollars annually, up from 41 in FY24. This growth reflects the deepening of our relationships and the increasing trust our customers are placing in us.

In Q4, our Services business, which accounted for 80% of our total revenue, grew by 1.1% sequentially in Indian rupees, demonstrating strong resilience in a challenging environment.

In constant currency U.S. dollar term , the business held steady quarter -over -quarter.
On the other hand, our Technology Solutions business saw a 14% sequential contraction in Q4. This decline was primarily due to a slight reduction in discretionary spend that impacted our Product business and infrastructure readiness challenges within sever al state ITIs in India, which impacted our ability to execute against the growing education order book.
Margins remain strong with EBITDA improving 40 basis points sequentially to 18.2%. Profit before tax rose, however, by 14% quarter -on-quarter, while net income during the same period grew 12%. Notably, we recorded a net benefit of Rs.12 crores from our BMW joint venture in Q4. This accounted for 4.6% of our pre -tax profits. We anticipate that this JV will play an increasingly significant role in driving our net profit and associated earnings per share in FY26.
The global ER&D sector is currently navigating a dynamic landscape, marked by both growth opportunities and geopolitical challenges, particularly as it pertains to ongoing tariff and trade tensions among major economies. Whilst the situation remains fluid and various outcomes are possible over the coming years, the strategic positioning of key nations is poised to reshape manufacturing hubs, disrupt global supply chains and raise input costs for some manufacturers, while simultaneously creating new opportun ities for others.
In response, we expect manufacturing companies to accelerate strategic moves towards regional diversification

and cost -efficient innovation. Despite short -term uncertainties, the ER&D industry continues to demonstrate strong resilience and adaptability. We believe that this environment favors agile engineering service providers like Tata Technologies, who can help clients pivot quickly and effectively.
Although we anticipate continued uncertainty over the next couple of months leading to short -term delays in customer decision making, we believe that companies will maintain investment in new products and manufacturing capacity to secure their long -term co mpetitiveness. We are proactively positioning ourselves to be the trusted partner that the manufacturing sector will need in this evolving environment.
In support of this specifically, in March, we announced organizational changes to strengthen customer collaboration and accelerate innovation and growth. These changes included :

- A new customer -centric organizational structure and dedicated account teams for our

Top 20 accounts .

- The appointment of a new executive leader to manage our strategic partnership with Tata Motors and JLR.
- We strengthened the leadership of our embedded electronics and software business to ensure end -to-end ownership of sales, solutioning and delivery.
- We implemented dedicated leadership for our aerospace

and industrial heavy machinery verticals to improve focus and the relevance of our sector offerings .

• And we also invested in a series of investments in AI, IP - led solutions, and smart manufacturing platforms.

These changes will allow us to act faster, innovate deeper and scale smarter in response to the changes that are likely to define the manufacturing sector in the future.

Let me provide an overview of demand trends across the three industry verticals in which we operate:

As I said before, in the automotive sector , the macroeconomic environment remains dynamic, shaped by ongoing geopolitical shifts and evolving regulatory landscapes. In the US, OEMs are increasingly embracing a more balanced propulsion strategy, sustaining investments across internal combustion eng ines, hybrids and electric vehicles as consumer preferences and policy signals remain mixed. In Europe, uncertainty surrounding tariffs and evolving industrial policies, especially in response to competition from China, has led to delays in key investment decisions. However, we are beginning to see the early signs of foundational investments and t he green shoots of improvement. While near -term caution persists, we remain optimistic about medium -term - to-long -term ERD investment in the automotive industry. Continued innovation in electric, autonomous and sustainable mobility is expected to be a key g rowth driver. Our strong domain expertise , expanded software -defined vehicle offerings and AI -led solutions across the product life cycle position us well to support OEMs and suppliers as they recalibrate for the next phase of mobility transformation.

In contrast, demand in the Aerospace and Industrial Heavy Machinery sectors remains robust. Our aerospace business posted 8% sequential growth in Q4 and nearly doubled its revenues in FY25 compared to FY24 , supported by a healthy order book and strong execution. We are confident that this momentum will be carried forward into FY26.

On the deal signings front, we closed three large deals in Q4, including one exceeding $50 million. Our overall deal pipeline remains strong, and we expect conversion rates to improve once near -term market uncertainties begin to ease.

Let me share a few highlights from our Q4 wins:

• A prominent North American electric vehicle manufacturer has engaged us to modernize their enterprise resource planning systems. This digital transformation initiative is focused upon improving operational efficiency, boosting supply chains, transparency and enabling scalable growth in line with their rapid exp ansion.

• We are also collaborating with the leading global Tier -1 automotive supplier to develop advanced application software that optimizes energy flow across multiple battery packs in commercial electric vehicles. This solution enhances battery performance, reliability and life cycle delivering measurable efficiency gains for fleet oper ators.

• A global automotive OEM has entrusted us with establishing an offshore development center to support product engineering, embedded software and digital enterprise solutions. We are also helping them drive significant cost

optimization across product development and their IT operations.

• For an Asian OEM , we are leading the complete design and development of interior and exterior trims as part of a facelift vehicle program along with managing the simultaneous engineering engagement to support speed -to-market.

• In Aerospace , we were selected by a N

orth American Tier -1
supplier to design and develop a hydraulic test bench and power pack for landing gear component testing. Additionally, we are supporting the upgrade and optimization of their product lifecycle management system.

• In the Education sector , we continue to scale our impact. We are partnering with the government of Uttar Pradesh to upgrade 62 Industrial Training Institutes (ITIs) across the state . We also signed a MoU with RV College of Engineering to establish a Center for Invention, Innovation, Incubation & Training , further deepening our commitment to skilling the next generation of engineers.

We are proud to see the real -world impact of our investments in AI and generative AI. Since delivering our proprietary AI framework last year, we have moved decisively from experimentation to execution. Today we are deploying AI across the product value chain, enabling solutions like predictive m aintenance and manufacturing and AI -enhanced object detection in autonomous driving systems to help clients drive greater efficiency and unlock competitive advantage.

A standout example of this in action is our work with the North American Tier -1 manufactur er where we are deploying our proprietary AI framework across multiple Brownfield plants. The solution is already delivering measurable outcomes, reducing scrap rates, improving uptime of legacy equipment and accelerating overall manufacturing throughput.

We remain deeply committed to embedding AI-driven intelligence across our entire services portfolio from product engineering to manufacturing engineering and customer experience solutions. This approach is helping us not just to improve outcomes for clients, but also to redefine the future of engineering services.

Tata Technologies is also evolving into an IP-driven , platform -led organization , focused upon building proprietary tool sets and vertical solutions that deliver faster time to market. In the Software -Defined Vehicle space, we are expanding our capabilities in embedded software, digital cockpit solutions, battery management and vehicle architecture, supporting OEMs and navigating growing complexity, and accelerating their product development cycles.

Our partnerships reflect this strategic shift. The BMW joint venture launched in November with an initial team of 100 professionals is scaling faster than we expected. We are now

approaching the four -digit headcount milestone originally
projected for calendar year end and anticipate continued
growth throughout FY26. Our share of profit from the JV has

seen a significant uplift in Q4 and we expect this momentum
to continue.
Moreover, our collaborations with most of our leading
customers are increasingly focused on software,
electrification and digital product development ,
underscoring our expanding role as a transformation partner in
an evolving automotive and industrial landscape.
FY25 has been a pivotal year for Tata Technologies from
scaling strategic partnerships such as our expanding
relationship with BMW to delivering engineering excellence in
aerospace through programs with companies like Airbus and
Air India and advancing upstream battery design and
integration capabilities with Agratas. We are consistently
demonstrating our ability to create value and earn the trust of
our customers.
We are extremely proud to share that we have achieved our
highest -ever customer Net Promoter Score in FY25, a clear
reflection of the deepening confidence our customers place in
us. Additionally, our work was recognized with two industry
innovation awards , reinforcing our leadership in AI and
technology -led innovation within the manufacturing sector.
As we look ahead to FY26, our priorities are clear – scaling our
software and AI capabilities, deepening our investments in
IP and Software -Defined Everything (SDx

) and executing
with precision on our strategy to become the most trusted
partner for engineering and digital transformation in a world

increasingly shaped by AI, software, systems thinking and
speed.
With that, I would now like to invite Savitha to walk you through
our Financial Performance for the Year.
Savitha Balachandran: Thank you, Warren. Good day, everyone and thank you
for joining us on this call today. Let me now walk you through
the financial performance of the fourth q uarter and the full
fiscal year of 2025 .
Our revenue from operations for the quarter stood at Rs. 1,286
crores, reflecting a 2.4% sequential decline. This includes a
sequential revenue growth of 1.1% in our Services business
amounting to Rs. 1,024 crores, demonstrating resilience
despite the challenging operating environment. In U.S. dollar
constant currency terms, our Services business remained flat
sequentially. The reduction in the headline revenue, therefore,
was entirely driven by the contraction in our Technology
Solutions business, which re corded a degrowth of 14.1% during
the quarter with the Product Services decreasing by 7.7% and
the Education business experiencing a much sharper drop of
20%.
You may recall that our Product business traditionally
experiences a stronger performance in the third Quarter. This
success creates a challenging sequential comparison for Q4.
Meanwhile, our education business encountered hurdles due

to delays in infrastructure -readiness from our customers in the public sector. The “phygital” Edtech approach depends on fully functional labs within the academic institutions that we

collaborate with. And the construction delays that we saw in Q3 continued into this quarter as well, which negatively impacted the bookings for Q4. However, we do anticipate a gradual recovery once these projects resume with the momentum building into Fisc al ‘26.

As far as the full fiscal year of 2025 is concerned, our revenue from operations grew 1% year -on-year , reaching Rs. 5,169 crores .

The Services segment , accounting for 78% of the total revenues , witnessed a similar 1.1% year -on-year growth , reaching a total of Rs. 4,027 crores .

It is important to note that this fiscal year faced a challenging year -on-year comparison, primarily due to the completion of the major full vehicle programs for our Southeast Asian client in Fiscal ‘24 . In the previous fiscal year, this account contributed over 14% of our services revenue, while in Fiscal ‘25, the contribution declined to a low single digit.

Excluding this impact, the core Services business demonstrated resilient performance , recording a 16% year -on-year growth in rupee terms , reaffirming the strong underlying health of our operations in this fiscal year. This was fueled by strong growth amongst both anchor as well as our non-anchor customers.

Our Technology Solutions segment saw a revenue growth of 0.6% year -on-year to Rs. 1,141 crores. And despite Q4 lumpiness, the Education segment was up 6.8% for the full

year. In contrast the Product business experienced a 7.6% year -on-year decline.

I am, however, extremely pleased with the operational discipline our teams have demonstrated throughout the quarter, resulting in a sequential improvement of 40 basis points in the EBITDA margin, bringing it to 18.2%. This achievement was driven by a reduc tion in employee costs supported by factors including an improved offshore delivery ratio, a decrease in the number of contractual employees, some favorable currency movement, as well as continued optimization of our pyramid .

We concluded the year with an 18.1% EBITDA margin fully aligned with our margin preservation objective. As we step into the next fiscal, we remain committed to maintaining strong operational rigor to drive sustainable growth and profitabili

ty.

Our operating profit or EBIT increased by 1.1% sequentially reaching Rs. 214 crores and this growth was aided by a significant surge in our profit share from our joint venture with BMW, which rose seven -fold from a low base of 50 lakhs in the previous quarter when it started operations to 3.6 crores in Q4. This partnership continues to scale up steadily, aligning well with our expectations.

In addition, the other income included a deferred income of Rs. 8.3 crores , which reflects the fair value gain on the options relating to our investment in the company and this deferred income , as I have said before, is a recurring element in the foreseeable future.

I would like to emphasize that this partnership represents a long-term, strategically significant deal for us and therefore an extension of our core operations, and accordingly we represent this as part of our operating profit.
We recognize other income of Rs. 57 crores in this quarter, marking a significant increase from Rs. 27.6 crores of Q3. This sharp growth was primarily driven by four factors:
• Interest income increased by Rs. 7.5 crores , largely attributable to the higher cash balances as well as improved yield from our investments.
• We had about 8.8 crores of gain from the fair value adjustment of the investments that we have made.
• Foreign currencies gave us about 8.1 crores compared to a loss of Rs. 2.8 crores in the previous quarter.
• And we also recorded an R&D expense credit of about Rs. 2.3 crores as per the applicable rules against the work that qualifies for the same.
As a result, our profit before tax experienced a robust 14.1% quarter -on-quarter growth to Rs. 258 crores. In Q4, we had a net benefit of Rs. 12 crores or 4.6% of profit before tax from our joint venture with BMW. This included the Rs. 3.6 crores from share of profit as well as the Rs. 8.3 crores of the other i ncome referenced above.
Our effective tax rate increased 140 basis points sequentially to 26.8% in this quarter, leading to a 12% quarter -on-quarter increase in profit after tax that reached Rs. 189 crores.

Our board has recommended a final dividend of 8.35 per share for the Fiscal Year 2025, representing a dividend payout of 50%. Furthermore, the board has also proposed a special dividend of Rs.3.35 per share, and both these dividend payments are subject to shareholder approvals at the upcoming annual general meeting.
Our balance sheet reflects strong financial health with a solid cash position, robust liquidity and a favorable DSO levels. At the end of the quarter, the net cash position stood at $174.7 million compared to $154.1 million at the end of Q3. We continue to maintain robust collection efficiency with the total DSO both billed and unbilled coming in at 81 days at the end of March, an improvement from the 90 days that we reported at the end of December. Our billed DSO improved from 63 days to 54 days, while the unbilled DSO were at 27 days compared with 26 days, while our free cash flow for the Fiscal Year 2025 stood at over Rs. 900 crores.
Let me now share with you some colour on the operational Metrics :
Our headcount was almost flat at 12,644 employees at the end of the quarter, reflecting a prudent cost control and a commitment to sustainable profitability given the current macroeconomic and geopolitical conditions.
Our employee utilization levels stood at 87.5% for the quarter, a modest decline from 88% in the prior quarter. Meanwhile, our

offshore revenue mix saw a sequential improvement of over

100 basis points, reaching 43% as we continue to optimize our delivery model.
We saw a small uptick in the last 12 months voluntary attrition that touched a level of 13.2% from 12.9% of the previous quarter, and this comes after nearly 12 consecutive quarters of improved attrition levels, a

nd we remain committed to
enhancing our employee engagement and strengthening retention efforts moving into Fiscal 2026.
We also continue to prioritize strengthening of our organic talent development initiatives to address the dynamic needs of our workforce and build a robust pipeline of skilled professionals. In the last fiscal year, our in -house technical learning platform, “TechVarsity”, achieved a remarkable milestone by delivering over 750 technical modules. These modules reached more than 9,500 unique employees, representing 75% of our workforce. To accele rate expertise in the critical next -generation competencies that are essential for our growth, we introduced specialized learning initiatives focused on generative AI, software -defined vehicles and cyber security. And I am proud to share that over 60% of our engineering talent is now equipped with AI -readiness, paving the way for innovation and excellence in the evolving technological landscape.
In conclusion, I am pleased with our unwavering commitment to rigorous execution, which enabled us to preserve our margins despite operating in a demanding environment. This quarter, we achieved strong profitability and a solid cash flow

performance. And for Fiscal ‘25, we sustained margins exceeding 18% for the fourth consecutive year and achieved the highest cash flows in the company's history. Moving forward, we remain committed to maintaining this operational discipline while making thoughtful and required investments in talent and capabilities to drive our long -term value for all our stakeholders.
With that, I thank you for your time and we can now open the floor for questions.
Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Abhishek Kumar with JM Financial. Please go ahead.
Abhishek Kumar: Yes. Hi. Good evening, Warren, you sounded optimistic despite the obvious challenges facing industry. I just want to understand whether there are tangible signs that some of these global OEMs are looking at increasingly doing more offshoring, are there an y deal, RFP, etc., which we are pursuing, just wanted to understand what's driving the optimism that you share?
Warren Harris: Yes, good to hear from you, Abhishek. The positive sentiment that I shared was really informed by the interactions that we are having with our customers. I think shared in the Q3 Earnings Call that last year had really been impacted by the uncertainty around the administration in the United States given the elections in November and also the regulatory uncertainty in

Europe. I think with clarity at the end of the calendar year, many of our customers that had delayed investments in new

products were starting to get ready to execute and we were very encouraged by the interactions with the customers in both regions and we are anticipating a very strong start to this fiscal year. I think the tariff announcements have certainly complicated that situ ation and many of the customers that we are looking to launch projects and programs in the March and April timeframe have delayed the decision -making. But the commitment is there, and I think what everybody's looking for right now is just a certain ty. And I think if we can achieve that in the next month to six weeks as the trade negotiations are progressing, then I think that we will tee ourselves up for a strong finish for the half year and we'll take momentum into the second half of the year. So t hat's where the sentiment is coming from. But I would just qualify those comments with, we were surprised by the tariff announcements, we may be surprised again if the negotiations do not drive the type of consistency and clarity that I think everybody's l ooking for.

Abhishek Kumar: Okay, that's clear. In that context, what explains better than expected ramp up in BM

W, right, that also is an OEM which is facing these issues, logically one would have imagined that they will also pause. So, any color on why you think that JV is scaling faster than expectations? Thank you.

Warren Harris: Yes, I think there are two reasons. I think outside of the investment that Mercedes made in India some 20, 25 years ago, I think the German market as a whole has been slow to where to take advantage and to invest in the capabilities that we have got here in India. I think that is starting to change. And I think the commitment that BMW have made to the joint

venture and to the partnership that we are building is a strategic commitment that is very central to their ambitions in both the automotive software area, the AI area and in the enterprise digital solutions. And I think one of the things that we continue to be impressed about with BMW is they like the Tatas are patient -capitalists, they are investing for the long term, and I think unlike many organizations, they seem to stay the course even during very difficult economic conditions. And so, I think the acc elerated scale of headcount and business that we are seeing with the JV is really a testament to those things.

Abhishek Kumar: One last comment. Could that be a precursor to other German OEMs taking advantage of India scale and cost?

Warren Harris: The answer is very much ‘yes.’ I think one of the things that we are seeing from many of our German customers right now is that they are requiring a DCC component to the services that they procure traditionally the majority of the work that they've outsourced has been outsourced to onshore companies in Germany. And so, we are seeing opportunity both directly with the customers because of that prioritization in and around DCC . But we are also seeing those onshore engineering services companies also look for an offshore play. And so, we are seeing opportunity both directly with the customers and

also with the organizations that traditionally we have
competed with.
Abhishek Kumar: Great. Thank you and good luck in the current environment.
Warren Harris: Thank you.

Moderator: Thank you. Next question comes from the line of Chandramouli Muthiah with Goldman Sachs. Please go ahead.
C Muthiah: Hi, good evening and thank you for taking my questions. My first question is just around I think a couple of quarters back you had shared that there was some postponement of demand because of the uncertain macro and the size of deals that were closing might have been smaller deals than what was originally envisioned in the pipeline. So just trying to understand b ased on some of the conversations you've had recently with clients that you highlighted, are you getting the impression that once there is clarity on the regulatory environment and the tariff environment globally, the trade environment globally, some of th ese deal sizes might start bouncing back up or is that something which is little more of a medium -term kind of journey based on the tone of conversations you've had?
Warren Harris: I think that you've interpreted the comments that I've made in exactly the way that we see it. We certainly saw towards the end of the last fiscal year conversations and planning that gave us confidence that deal size would increase and that and behind th at momentum would build. Obviously, that's been somewhat tapered by the recent announcements from the United States. But again, I think after the initial shock there is growing confidence that clarity will be brought to bear in the next month or so. And those plans that we were expecting to close in March and April will likely be closed towards the end of Q1 and as we move into Q2.

C Muthiah: That's helpful. Just to build on that, there's also been this theme of potential cost cutting -related spending which some of

the Indian IT services and ER&D companies might benefit from in this sort of uncertain macro, maybe slower growth environment temp orarily. So, is that also a theme which you're seeing some additional business opportunity beyond some of the traditional services that you cater to?
Warren Harris: Yes, I think so. And I think the example that I just provided about Germany is really a testament to that. I think the fact that they are looking for a DCC component to the services that they procure is that they want to bring down the unit cost of what t hey have traditionally positioned with the German engineering service providers. So, we do not expect headcount increases within our customers. I've commented before that as the clock speed of technology change accelerates, we are expecting our customers to concentrate on what is core to the DNA of their brand and their competitive position and more and more will be outsourced to the organizations that have a nexus and a footprint in territories like India. So, we think we are incredibly well -positioned. We are obviously doing our best to navigate the short -term context in which we are operating, but we remain quite bullish for the medium term

and very bullish in terms of the long term.
C Muthiah: Got it. That's helpful, and just last question is around your anchor versus non -anchor customers. So, you have done a great job of reducing dependency on your anchor customers over the past four to five years. So, just trying to understand in this sort of macro environment, some of our anchor customers

have more domestic exposure which might not be as impacted as maybe the globally exposed business. So, if you could just share some color on anchor versus non -anchor, what sort of growth opportunities that could be on a relative basis, that will also be helpful?
Warren Harris: Again, I think you have understood the circumstance extremely well. We are seeing Tata Motors continue to invest and accelerate their commitment to expanding their product portfolio, that is providing tailwinds which we are intersecting with. JLR sits out side of India and is exposed like everybody else to the uncertainties in Europe and the United States, which is their largest market. So, they are impacted in the same way that everybody else is, but Tata Motors has demonstrated resilience th rough the uncertainties that we have been grappling with over the last six to nine months.
C Muthiah: Got it. That's helpful. Thank you very much and all the best.
Warren Harris: Thank you.
Moderator: Thank you. Next question comes from the line of Rajiv Berlia with Citigroup. Please go ahead.
Rajiv Berlia: Yes. Thank you for the opportunity. Can you discuss the thoughts on demand from the aerospace vertical and is it fair to assume that the aerospace vertical will do well versus automotive in FY26? Also, you talked about three large deals in 4Q. Can you tel l from which verticals are these large deals and when will they ramp up and will that help 1Q?

Warren Harris: Sure. If we look at aerospace, I mentioned in my opening comments that we had almost doubled the aerospace business in FY25. That reflects the growing momentum around the partnership that we have got with Airbus, but it also reflects the investments that we are making in growing the aerospace business outside of that. In North America, we have secured business with two large propulsion manufacturing players and that business has grown at a very healthy clip over the course of the last 12 mont hs and we expect momentum to continue. So, our aerospace business today has certainly not been impacted as automotive has by the issues that relate to regulatory uncertainty and the policies from various governments in different parts of the world. One of th e things that we are seeing in aerospace is that the sponsorship and the credibil

ity that we are building with the organizations like Airbus is now precipitating in terms of introductions to organizations within their supply chain. One of the big challen ges within certainly Airbus and Boeing is that they cannot satisfy the demand at the moment, and manufacturing throughput is a major issue, and we are addressing that through the work that we are doing directly with Airbus. But we are also now starting to leverage again the credibility, the

understanding and the capability that we are building within the supply chain, and we won a couple of large deals in FY24 that are directly related to the sponsorship that we have received from Airbus.
As far as the large deals that we have won and I cited in my opening comments, we are deploying an AI -solution for a tier one automotive company that has the potential to extend to

more than 100 plants for that tier one automotive supplier. We are at the moment going through the discovery exercise to identify the opportunities for improvement where we can deploy sensors, how we can leverage our AI framework to identify insights that will improve manufacturing uptime, again improve and accelerate manufacturing throughput, and also address things like scrap rate. So that engagement is right at the initial stages, and we expect that to scale. We won a complete package here in Asia for in terior and exterior trims. It's a mid -cycle refresh activity. Again, that business was won at the end of Q4. We are just in the initial stages and so we are expecting that to ramp. And we also have made a number of comments about the challenges that we hav e had in the education sector given the readiness that we have had with regard to labs and the infrastructure that's required for our digital proposition. But we are continuing to win large deals, and our order book continues to expand. And so, these infra structure issues that we expect to be addressed in the next couple of months should see the Education business scale as we move through the year.
Rajiv Berlia: Last question from my side. The 50 million deal which you announced in 4Q, is it in the education sector?
Warren Harris: Sorry, could you repeat that?
Rajiv Berlia: The 50 million deal which you had announced in 4Q, is it in the education vertical?
Warren Harris: No, it is not in education.

Rajiv Berlia: Okay. Thank you.
Moderator: Thank you. Next question comes from the line of Chirag Kachhadiya with Ashika Institutional Equities. Please go ahead.
Chirag Kachhadiya: Hello. Yes, I have a couple of questions. So, one of our top clients yesterday in their earnings call mentioned that they are focusing on Asian market and considering India and Indonesia for their assembly plants and also news articles referring that from June this year, where India plant is going to start the production. So how will this benefit us in terms of margin and getting the business like getting more volume from this account, let's say they are actually considering Asia for their volume target which they have mentioned yesterday in their earnings call?
Warren Harris: We continue to work hard to protect and evolve the relationship with that organization. We are very proud of the work that we have done for them. We are very proud of the impact that the products that we have developed have had with the markets that they are selling that product into. We are continuing to explore new ways of being able to help them execute their strategy, that includes new products, it also includes the investments that they expect to make in adding

to manufacturing capacity. I think at this stage there is no definitive plan that they have as far as manufacturing capacity is concerned. I think there's a number of things that are teed up, but I think they will be waiting for market conditions to improve before commitments in ca pital

are made.

Chirag Kachhadiya: Okay. And second is on our parent, Tata Motors also that they are facing some competition from other players in the category and they're considering more this ICE -based cars. So does that anyway impact our volume with them also?
Warren Harris: I think if you look at the Tata Motors strategy, I think it will obviously be a strategy that will flex and adjust to market conditions and the evolving regulatory framework in which they operate. Having said that, if you pick up on the public statements that Tata Motors have made, they are continuing to commit themselves to maintaining a market leadership position in EVs, they are looking to expand their portfolio, they are looking to go up market in terms of some of the segments that they s upport. All of those things will provide opportunity for Tata Technologies, both in terms of product engineering, in terms of helping them bring on additional manufacturing capacity and in terms of helping them digitize their entire enterprise. So, we are very proud to be a partner of Tata Motors and very proud of the performance that we have delivered in support of the breakout performance that we have seen from that organization over the last three to five years.
Chirag Kachhadiya: Okay. Thank you.
Moderator: Thank you. Next question comes from the line of Bhavik Mehta with J.P. Morgan. Please go ahead.
Bhavik Mehta: Thank you. Warren, can you talk about how the demand headwinds are playing out across different geographies in terms of US, Europe and Asia, how is it different and based on

client conversations right now, where do you expect the recovery to be the fastest over the next six to nine months?
Warren Harris: I think if we take the US first, I think that there was a fair amount of positivity in the US at the beginning of the calendar year and the distraction that organizations like Stellantis had given the change of chief exec last year, that was starting to s ettle down and we were starting to see clarity in and around a renewed commitment to a regional approach to growing their business. That has obviously been shaken by the tariff announcements, not just in the context of the response of the mar kets outside of the United States to the tariffs that have been announced by the US government. But also, there's a lot of concern in and around the impact of tariffs across the global supply chains of those organizations and particularly the impact of NAFTA. So, there's a pent -up demand for investment. There was a lot of uncertainty last year during the election process. So, these organizations are ready to deploy capital in support of new products. But they need some level of certainty. And so we expect that the United States to take another month, six weeks, eight weeks before we really start to understand the full impact of the announcements that have been made. I think Europe is a little different; I think Europe is starting to recognize

that they have to build resilience into their supply chain and so we are seeing some repatriation of manufacturing suppo rt within supply chains as far as Europe is concerned, and we are also seeing some progress as far as incentives and the regulatory response to a threat from China and the tariffs from the United States. And so, we are starting to see some green shoots of improvement there. But it is again tempered by the

fact that everybody's still waiting for the tariff situation to play out. I was in China at the beginning of this week for the first day of the auto show and the Chinese market seems to be immune to what's happening in the rest of the world. Everybody's pressing ahead and investing as if there is no uncertainty about the future. I think if there's a topic is top of mind for Chinese OEMs, it's how do they internationalize both their products and thei

r IP given the constraints as far as regulations are concer ned. So different sentiments in different parts of the world. But everybody right now is waiting for clarity on the tariff front and for all of us, the sooner that comes, the better.

Bhavik Mehta: Okay. Got it. Thank you.

Moderator: Thank you. Next question comes on the line of Kunal with Bank of America. Please go ahead.

Kunal: Great. Thank you. Hi, Warren. A couple of questions from me. The first one is in one of the scenarios you're considering that the uncertainty comes to an end in about six to eight weeks, what would be your thought process or the eventual shape of demand -- do you think it will essentially be a case of one last quarter and then things go back to how they were at start of the year or could they end in being net new demand creation in the meanwhile or net negative?

Warren Harris: I think if I had to call it today and the fact that I am kind of qualifying that statement I think speaks to the genuine uncertainty that is out there. But if I have to call it today, I would suggest that we will get clarity in the next six to eight weeks and we would return to the type of environment that we

anticipated at the beginning of the fiscal year. So, we expect improvement from Q2 to Q3 and Q4. We are still optimistic about our prospects for this fiscal year. Now, we were surprised by the tariff announcements and surprised by the magnitude of the announcements that were confirmed and it wouldn't be too much of a shock if we were surprised again, but I think given the reaction of the financial markets, given the balance that we are now starting to see from multiple stakeholders, my view would be that co mmon sense would prevail and we'll see some certainty at the end of the first quarter.

Kunal: Right. And meanwhile on your large deal pipeline, do you still have enough in the late stages where we could sort of see more conversions like the one you got towards within Q4 or do you think that further closures of deal sizes like that would be contingent on more clarity or certainty returning to the market?

Warren Harris: We have a lot of big deals lined up, a lot of large deals that we anticipated that we would close at the beginning of the calendar year. We have seen those decisions get pushed out. We would anticipate if there's clarity that those deals would get closed. Now with any type of deals, time is always something that you worry about when deals get pushed out, there is always the opportunity that the customer has to go in a different direction. So, again, we are hoping that we will get clarity in t he short term that those deals that were teed up, will get converted.

Kunal: Got it. And then the final one for me. Are you okay to be flexible on pricing till you have demand uncertainty or that's something that you would rather want to hold at the level you already are at?
Warren Harris: I am sitting next to my CFO and so I'll qualify my comments, but I think one of the reasons that we have managed to maintain margins throughout the choppiness and the volatility of FY25 is the fact that we have been very disciplined on the pricing front. And whilst there are situations where we have used pricing as an entry strategy into different customers, I think for the most part, the discipline and the rigor that has surrounded our pricing approach is something that we are committed to a nd something that we expect to maintain.
Kunal: Great. That's good to know. Thanks, Warren.
Moderator: Thank you. Ladies and gentlemen, we have reached the end of question -and-answer session. I would now like to hand the conference over to Vijay Lohia for closing comments.
Vijay Lohia : Thank you all for joining us on today's call. We hope we have addressed most of your questions. If you have any additional queries, please feel free to reach out to our Investor Relations team and we'll be glad to assist you. Wishing you all the best and good bye here from all of us. Thank you.
Moderator: Thank you. On behalf of Tata Technologies, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2025

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July 17, 2025

Dear Sir / Madam,

Subject : Transcript of the conference call on financial results for the quarter ended June 30 , 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call on financial results for quarter ended June 30, 2025 , conducted after the meeting of the Board of Directors held on July 14, 2025 .

The above information will be made available on the website of the Company : www.tatatechnologies.com .
This is for your information and records.
For Tata Technologies Limited

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Vikrant Gandhe
Company Secretary and Compliance Officer

Encl: A s above BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001, India
Scrip Code: 544028 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
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Trading symbol: TATATECH

"Tata Technologies Limited
Q1 FY'26 Earnings Conference Call"
July 14, 202 5

MANAGEMENT : MR. WARREN HARRIS – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – TATA TECHNOLOGIES
MS. SUKANYA SADASIVAN – CHIEF OPERATING OFFICER – TATA TECHNOLOGIES
MS. SAVITHA BALACHANDRAN – CHIEF FINANCIAL OFFICER – TATA TECHNOLOGIES
MR. VIJAY LOHIA – HEAD INVESTOR RELATIONS – TATA TECHNOLOGIES

Moderator: Ladies and gentlemen, good day, and welcome to Tata Technologies 1Q FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation conclu des. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch -tone phone.
I now hand the conference over to Mr. Vijay Lohia, Head of

Investor Relations at Tata Technologies. Thank you, and over to you, sir.

Vijay Lohia: Thank you, Rayo. Hello, everyone, and welcome to Tata Technologies ' Quarter 1 Fiscal 26 Results Call. Joining me today are Mr. Warren Harris, CEO and MD of Tata Technologies; Ms. Sukanya Sadasivan, COO; and Ms. Savitha Balachandran, our CFO. Our management team will start with an overview of the company's performance, followed by a Q&A ses sion.
As a reminder, we do not provide specific revenue or earnings guidance, and any statements made today regarding our future outlook should be reviewed in light of the risks that the company faces. These risks are outlined in the second slide of the quarterl y fact sheet available on our website. Our press release and earnings presentation ha ve been submitted to the stock exchanges and are also available on our website, www.tatatechnologies.com. We hope you've had a chance to review them. Let me now turn over the call to Warren.
Warren Harris: Thank you, Vijay, and a warm welcome to everyone joining today.
Let me begin by addressing our Q1 FY26 performance, followed by our view on the business outlook, key strategic highlights, and recent customer engagements. Savitha will then take you through the detailed financials.
Before I proceed, I want to express our deepest condolences in light of the tragic crash of Air India Flight AI 171 last month. This devastating event has touched all of us deeply. Air India is not only an important customer but also a trusted partner. We stand firmly with them and the broader aviation community during this difficult time.

Our Q1 performance came in below expectations, shape

d by
several external factors that introduced unexpected complexities into the business environment. Revenue declined 3.2% sequentially , and EBITDA margin contracted by 210 basis points, primarily due to operating deleverage. However, we believe the factors that informed the softness in Q1—such as delayed deal ramp -ups and macro -driven investment pauses —are short -term in nature and largely isolated to the first three months of this fiscal year.
Our Services business , which represents 77% of total revenue, declined -5.9% QoQ in INR terms, impacted by delays in ramp - ups of large deals and elongated decision -making cycles. This was particularly pronounced among customers exposed to the North American market, who paused or recalibrated produc t investments in light of the newly imposed U.S. tariffs and broader geopolitical uncertainty.
That said, we also saw strong performance in certain segments. Our Technology Solutions business grew 7.3% QoQ , driven by a recovery in the education vertical as previously delayed projects came online. Our Aerospace segment delivered a standout 13% sequential revenue increase , fueled by steady demand and consistent execution across MRO, PLM, Manufacturing Engineering, and Digital

Transformation engagements.
The quarter also saw a healthy uptick in deal activity towards the end , including the closure of six large deals —four exceeding $10 million and two in the $5 –10 million range. While

the quarter started slowly, sentiment improved as clients began reaffirming their long -term commitment to innovation and transformation.
Looking ahead, we are optimistic about a sequential recovery in Q2 and a stronger second half of FY26 . Our deal pipeline today is stronger than it was at the same time last year, and the early build -up of our order book gives us increased visibility and confidence in improved conversion rates.
Importantly, our two anchor customers —Tata Motors and JLR—recently reaffirmed their commitment to new product investment during their interactions with the investor community. Their continued focus on innovation, electrification, and digital product development positions us to intersect with a strengthening demand environment, creating meaningful opportunities for deeper engagement and accelerated value delivery.
Additionally, recent progress in global trade negotiations and bilateral agreements signals that macroeconomic headwinds may be transitory. We're encouraged by more stable client engagement and the improved quality of demand across our core industries.
Our performance in Aerospace underscores the resilience of our diversified portfolio , allowing us to navigate short -term volatility while capturing long -cycle transformation opportunities in critical sectors.

Let me now touch upon a few important engagements and milestones from the quarter:
• We're partnering with an Asian airline on a transformative project to design and deploy an integrated aircraft docking system—spanning concept design, simulation, manufacturing, and installation. This initiative is critical for improving turnaround times a nd maintenance efficiency.
• We have been selected by a leading European luxury OEM to support body engineering, powertrain systems, digital product development, and sustainability. We've also been nominated as their preferred strategic partner for the North Asia region — a significant expansion of our geographic footprint.
• We have been engaged by a global commercial truck OEM as a preferred engineering partner in a multi -year program to consolidate services and unlock cross -brand synergies, with a dedicated Offshore Development Center focused on mechanical, electrical, and e mbedded systems.
• Volvo Cars has recognized Tata Technologies as a Top 10 strategic supplier , reinforcing our standing as a trusted engineering partn

er in their software -defined and sustainable mobility journey.
We also forged new alliances with National Instruments and Emerson to co -develop next -gen validation, automation, and

digital twin solutions —critical enablers in the AI -driven industrial transformation.

Turning to BMW , our joint venture continues to serve as a performance benchmark. The program is ahead of schedule, and we expect to surpass the four -digit headcount mark well before year -end. Our share of profit from the JV grew 35% sequentially , underlining the demand for premium engineering services. Notably, we recorded a net benefit of Rs.13 crores from the JV in Q1. This accounted for 5.6% of our pre-tax profits.

On the EV adoption question , we believe current moderation is a temporary pause , not a structural reset. Innovations like CATL's next -gen battery —offering 520 km range with five - minute charging —highlight the acceleration of EV viability. Our experience in EV design and development ensures we remain a strategic enabler in this shift.

In Closing, w hile Q1 reflected near -term external challenges, the long -term trajectory remains strong. With a diversified portfolio, anchor relationships with Tata Motors and JLR, and a sharp focus on engineering a software -defined, intelligent industry, Tata Technolog ies is well positioned to deliver sustainable value and help our clients engineer a better world.

With that, I'll now invite Savitha to take you through the detailed financials.

Savitha Balachandran: Thank you, Warren. Good morning, good evening, and a warm welcome to everyone joining us from across time zones.

We appreciate you taking the time to be with us here today.

Building on the strategic and business overview that Warren just shared, I'll now share with you our financial performance for the first quarter of fiscal '26, highlighting the key metrics, trends and developments that shape the quarter.

Revenue from operations stood at INR 1,244 crores, marking a sequential decline of 3.2%. On a constant currency basis, total revenues were down 4.6% during the quarter, reflecting the movement of the U.S. dollar during the period.

Revenue from our Services segment, which accounted for 77% of the total revenue for the quarter, came in at INR 964 crores, down 7.6% quarter -on-quarter in constant currency terms and 5.9% decline in Indian rupee. As Warren mentioned earlier, while we see our deal pipeline reflect continued client interest and engagement, the quarter saw a slower -than -expected ramp -up in certain large engagements and conversion delays in key deals. This led to a shortfall in service s revenue relative to our initial expectat ions.

Notably, recent weeks have outlined some green shoots in sentiments , with customers beginning to look beyond short - term policy concerns and reasserting their focus on long -term product road maps. This emerging shift was reflected towards the latter half of the quarter, where we closed six significant deals, highlighting strengthened customer engagement.

The Technology Solutions segment, representing the balance 23% of our revenues, saw a sequential increase of 7.3% this quarter, driven by a rebound in our education vertical and partly offset by seasonally soft performance in the products portfolio. Looking ahead, we expect momentum to improve in the second half, driven by a seasonal uplift in Products and progress on infrastructure business across select Education projects.

Our EBITDA margin for the quarter came in at 16.1%. The challenging macro conditions and policy -related pressure on sentiments during the quarter weighed on revenue expectations, resulting in margin compression.

Let me walk you through the key factors that influenced the margin movement during the quarter.

• The employee benefit expenses , which rem

ained flat
quarter -on-quarter in absolute terms, rose by 170 basis points as a percentage of total revenue as we built the right skill mix within our resource pool in anticipation of a rebound in the following quarters.

This was partially offset through :

• Outsourcing and consultancy expenses, which declined by 13% sequentially , reflecting a deliberate alignment of our subcontracting activity to revenue during the period. As a share of total revenue, these costs declined by 80 basis points sequentially, underscoring improved operational efficiency.

• Also, other operating expenses fell 9% quarter -on-quarter with their share of revenues, down 60 basis points, reflecting continued discipline in discretionary spending .

Meanwhile, our collaboration with BMW in India continues to outperform expectations. In Q1, our share of profit from the joint venture increased 35% sequentially to INR 4.8 crores. And as we've outlined in our previous communications, the other income includes a deferred income of INR 8.3 crores, reflecting the fair value gain on the options relating to our investment in the company. The combined net benefit stood at INR 13 crores accounting for 5.6% of our pretax profits. We expect the current momentum to remain strong, driven by sustained demand for premium engineering solutions across key verticals.

As Warren highlighted earlier, the engagement is tracking ahead of plan, and we're now on course to exceed the four-digit headcount threshold well before our original year -end expectations, underscoring both scale and velocity of execution.

Other income saw an 11.4 % sequential growth in the quarter to INR 64 crores, mainly driven by unrealized foreign currency gains of about INR 25 crores. We also had a net treasury income of INR 24 crores during the quarter.

As a result, the profit before tax declined 10% sequentially to INR 233 crores. On a year -on-year basis, PBT was up 6% and our effective tax rate during the quarter came in flat at 26.8%.

As a result, profit after tax was down 9.8% quarter -on-quarter to INR 170 crores while on a year -on-year basis, it was up 5.1%.
Preserving financial strength and ample liquidity remains central to our strategy. As of the end of the quarter, we continued to operate debt -free with net cash of $159 million, which was down from $175 million in the previous quarter, primarily reflecting the dividend of $55 million that we paid out towards the end of June.
Our collection processes continue to remain resilient and well governed with the total DSO at 87 days at the end of the quarter, reflecting a marginal increase from the 81 days of March. Importantly, the underlying collection efficiency continues to hold firm, reinforcing the strength of our credit and receivables management.
On the cash flow front , Q1 saw notable improvement in both working capital as well as the cash conversion metrics. Free cash flow for the quarter stood at INR 190 crores, supported by a net working capital release of INR 121 crores. We remain focused on sustaining strong collection efficiency as well as conversion discipline going forward.
Moving on to operational metrics :
Total headcount at the end of the quarter stood at 12,407, reflecting a net reduction of approximately 237 associates or 2% compared to the previous quarter. The reduction was not fully backfilled during the quarter, in line with our calibrated hiring approach. That said, we continue to invest in strategic

talent acquisition across high priority areas, including digital engineering, embedded systems and AI -led transformation to support differentiated delivery and our long -term growth ambition. This focused hiring underscores our commitment to building a futu re-ready workforce while ensuring optimal resource alignment with evolving business needs.
Ou

r trailing 12 -month attrition rate ticked up modestly this quarter, rising to 13.8% from 13.2% of the prior period, in line with industry trends. While attrition levels remain within manageable bonds, we continue to prioritize talent retention and capability building through structured development initiatives.
Investment in skill enhancement and upskilling has been stepped up, especially in strategic domains, such as SDV, AI and cybersecurity. These efforts are designed to deepen technical bench strength, enhance employee engagement and future proof o ur talent pools in alignment with evolving customer needs.
In conclusion, while Q1 reflected pockets of softness in top line performance, our operational execution remains disciplined and aligned with long -term strategy. We continue d to invest in priority areas, maintaine d financial strength and drove efficiency across the value chain while navigating a dynamic demand environment. Our customer conversations remain constructive, and we see encouraging signs in key growth areas. As we advance through the year, our focus remains on

strengthening customer relationships and executing with agility and delivering value to our stakeholders. Thank you. With that, let's open the floor for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Ruchi M ukhija from ICICI Securities. Please go ahead.
Ruchi Mukhija: Thank you for the opportunity. One of my first question is regarding the growth. We expect a sequential growth recovery in Q2. Is this on back of the 6 strategic deals that we have won, or do we see an uptick in business beyond these 6 deals as well?
Warren Harris: Well, thanks for the question, Ruchi. We entered the fiscal year with a fair amount of momentum. There were deals that were closed in Q4 and certainly towards the end of the first quarter, we've added the 6 deals that we've just announced. So, it's really the order book that we're taking into Q2 and also the improved sentiment.
I think the tariff concerns and the macroeconomic concerns that informed the softness at the beginning of the fiscal – they haven't fully dissipated, but we are seeing increased confidence that common sense will prevail, and the trade negotiations will provide an environment that will provide the sort of basis and confidence around which decisions can be made. So, our confidence in improvement in Q2 and the second half of the year is informed by the order book and also

the engagement and sentiment that we're picking up from customers.
Ruchi Mukhija: Got it. Secondly, in our non -auto segment, the revenue declined almost at the same pace as in the auto segment on a sequential basis. Can you break up for us which segments are drag here? We understood aerospace is doing well. So, which are other sub -segments where we see a challenge.
Warren Harris: Well, we saw aerospace pick up and demand continues to grow in aerospace. So, we're very bullish about the ongoing momentum that we've established there. We've seen a little bit of softness in industrial heavy machinery, but that's on account of one project that was short closed in the fourth quarter. We're not seeing the type of s oftness that's informing the slowdown that we've grappled within in automotive over the last 12 months.
Ruchi Mukhija: Thank you and all the best.
Moderator: Thank you. Next question is from Manik Taneja: from Axis Capital. Please go ahead.
Manik Taneja: Hi, thank you for the opportunity. I had a couple of questions. The first question was with regard to the expectation that we should start to see a recovery from Q2 onwards. Could you talk about how you see the demand within your anchor customers and outside of that? And if the sequential rebound essentially is largely led by anchors or the ex

ternal customers? That's question one.

The second question was with regards to our on -site offshore revenue mix. It appears that m etric also got impacted with the pressure that we saw in terms of revenue, if that's the only reason for the change in terms of metrics? Or there is also a change in terms of the type of projects that you're winning, which is impacting this metrics? Those are t he two questions.

Warren Harris: Great questions. Certainly, we've been very encouraged by the sustained strong demand from the anchor customers, both Tata Motors and JLR. And as I commented in my opening remarks, we see that continuing to be very much a part of the demand environment tha t we look to intersect with. I think the confidence, however, in Q2 and the second half of the year, is much more informed by the overall sentiment in the automotive market.

One of the things that we continue to be reminded of is that the automotive industry is a product -led industry. And I think that the uncertainty that has defined the space over the last 12 months as the election cycles have played out in North America and as the EV incentives in Europe have runoff, there's been a lot of latent product investment decisions that have been building up. And I think that, that the sort of anticipation that we had at the beginning of the fiscal, that latent investment demand would convert into new products was somewhat undermined or compromised by the tariff announcement. But we've seen that largely play out in the first 3 months and a lot of the decisions that we were anticipating are now starting to get made. And so, our confidence in Q2 and

the rest of the year is really about broad market sentiment and not just about specifically what's going on at JLR and TML

Manik Taneja: Sure. That's make sense. I think the question was with regards to our on -site, offshore revenue mix then.

Warren Harris: The onshore offshore , the change in mix is largely driven by what's happening in aerospace. Aerospace is for us an area of growth. It's been driven largely by what's going on in Airbus, but the reputation that we're building in Airbus and the associated opportunity that we're getting within their supply chain, particularly in and around the propulsion players, is giving us an opportunity that is beginning at first onshore. And then we are leveraging the relationships and the credibility that we're building to drive business offshore. So, it's part of the sort of life cycle of engagement that we're seeing with a number of our aerospace customers.

Manik Taneja: Sure. Thank you, and all the best for the future.

Warren Harris: Thank you.

Moderator: Thank you. Next question is from Darshil Jhaveri from Crown Capital. Please go ahead.

Darshil Jhaveri: Hello? Good evening, sir. Thank you so much for taking my question. Hope I am audible.

Warren Harris: Yes, you're very clear. Very clear.

Darshil Jhaveri: Yes, yes. Sir, I just wanted to know like we've referred that our order book looks good, if you could quantify what's our current order book, that would be really helpful, sir.

Warren Harris: Well, we don't -- we haven't provided specific details in terms of order book. But as I said in my opening remarks, the order

book at the end of the first quarter is better than the order book this time last year. So again, our confidence in the rest of the year is driven in part by those base points .
Darshil Jhaveri: Okay. Fair enough, sir. So, if you could just maybe help with what kind of percentage growth is there in the order book that could just indicate like what kind of win that we had better sir if that's possible?
Warren Harris: We've seen a material improvement, but we don't quantify the improvement in order book in specific terms or in percentage terms.
Darshil Jhaveri: Fair enough, sir

. I also just wanted to know any kind of new areas from other than our existing areas are we targeting to grow at or looking for it, sir?
Warren Harris: Yes. I think there's a number of areas that is informing not just the order book, but also the pipeline. I've referenced aerospace. Typically, our business in the past has been in the aero structures in the MRO space. We are now extending that into propuls ion systems. And that's enabling us to build relationships, again, outside of the work that we've done in the last 3 years with Airbus.
In both Automotive, Aerospace and Industrial heavy machinery, there's a lot of work that we are undertaking in and around smart manufacturing. And that relates one to the deployment of digital solutions, particularly PLM, ERP and MES solutions and the inte gration of the technology stack that

informs and deploys the ability to be able to fully integrate the digital definition of the product with the manufacturing process and the way in which products are built.
We're also seeing a lot of upticks in and around the deployment of AI solutions in manufacturing. In the fourth quarter, we announced a very large deal with a Tier 1 North American automotive company, where we are deploying our proprietary AI framework at CHROMOSOME.AI into that organizati on across 100 plants.
We are deploying sensors, collecting data and using that platform to enable the organization to accelerate manufacturing throughput and an increase manufacturing uptime of assets, legacy assets within those plants.
So, we're seeing a lot of opportunities in and around that space. And that's a reputation that we believe that we will be able to capitalize, not just in the short term but in the medium to long term .
Darshil Jhaveri: Okay. That helps me a lot. I will join back the queue for further questions. Thank you so much, sir.
Warren Harris: Thank you.
Moderator: Thank you. Next question is from Sudheer from Kotak Mahindra Asset Management. Please go ahead.
Sudheer: Yes. Hi, Warren. Thanks for the opportunity. A couple of questions. Firstly, for the last few quarters, at least, we have been quite optimistic about the demand recovery. And when the revenue growth number comes in, that doesn't seem to be

happening. So where exactly is the slip between the lip and the cup? Is it primarily because of the macro across all these

quarters, or because of the high client concentration? Or is
there anything to worry about the execution on ground?
Warren Harris: Yes, I think it's a good question, Sudheer. But if you look at the situation at the end of the last fiscal year, we were very optimistic about a strong start to FY '26. And we had positioned capacity and capability to discharge that opportunity. Unfortunately, on April 2, the announcement was made about tariffs.
And I think the uncertainty that it generated prompted a number of our customers. And a number of the projects that they were looking to launch to be paused and delayed. And so, whilst we entered the quarter with confidence and with high expectations, we've had to recalibrate the expectations for the 3 months , at the start of the fiscal year , as a result of that macro issue.
We continue to invest in capability as you've seen through the margins, we protected capacity primarily because we expect the situation to be short -term . And we are very confident about Q2 and continue to believe that the second half of the year will be better than the first. So, we see the challenges, the headwinds that we've faced as being tactical , short -term, and we expect to bounce back very soon.
Sudheer: Sure, sir. My second question is, I think in the media interaction you mentioned, probably you will do double -digit growth in FY '26. Now with a very sharp decline in the first quarter itself. So

how do we think

about the full year's outlook in terms of revenue growth? That would be from me. Thank you so much.
Warren Harris: Yes, I think we certainly have had our expectations somewhat challenged by the events of the first 3 months. But double -digit will continue to be on North Star. We'll see how we do in the second quarter. And I think we'll have a much more informed perspective a s we move into September and October.
So as of right now, we will continue to push the organization as hard as we can to achieve the type of growth that we had planned for at the beginning of the year. But I think the next 3 months will really determine whether or not that's realistic.
Moderator: Next question is from Kunal from Bank of America. Please go ahead.
Kunal: A couple of questions from my side. The first one is on margins. As you think about the 200-basis points EBIT margin decline in the quarter, I just wanted to understand how much of it of this could be lost to operating leverage versus the on -site bump -up that you've seen? And is it fair enough for us to assume that what's been lost to operating levera ge should be sort of recouped in the next 2 or 3 quarters?
Savitha Balachandran: Yes. Thanks for the question, Kunal. I would say that at this point in time; we would attribute a large proportion of the drop in margin through the operating leverage given that we've not really affected any kind of a structural shift as far as overall capacities are concerned. We did obviously have a shift as far as onshore rela ted revenues are concerned.

But from a capacity perspective, it didn't really change much

between on -site and offshore capacities. Therefore, at this point in time, I think it's fair to assume that most of it is really more of an operating leverage effect.
Kunal: I understand. And the second question is Warren, your comment around aerospace and the great progress you're making with Airbus as an account. So just to better understand that -- is this progress more in terms of the newer kind of work opportunities that are opening up within Airbus for the company? Or is this more to do with the fact that as you're working with one of the key companies here, you're starting to get to work with other companies in the ecosystem, let's say the airline itself?
Warren Harris: I think the demand and the confidence that we have in aerospace is largely driven by the growing confidence that Airbus have in our execution and capabilities. I think we've been through a learning curve over the last 3 years. We've invested in infrastructure. We've built a nexus in Toulouse and Hamburg, and we've delivered services to Airbus in the Aerostructures area.
We've deployed digital solutions that have been focused upon accelerating manufacturing throughput. We've engaged in delivering robotic solutions as far as the assembly process is concerned. And I think the big confidence and the capabilities that we've d eployed have afforded us more and more opportunities in new domains inside of Airbus.

Airbus have also been struggling as Boeing has in terms of building enough aircraft. The demand continues to grow. And they are not just challenged in terms of their own capabilities, but they are challenged in terms of the capabilities of their supply ch ain.
So, we've been leveraging the endorsement of Airbus and the recommendations that they've been providing to their suppliers to initiate opportunities with their key suppliers and these are large organizations. These are the engine manufacturers and the aircraf t seat manufacturers. And so, our confidence and the momentum that we're building is largely driven by that.
Obviously, the investment that the Tata Group is continuing to make, is providing tailwinds that we're also intersecting with but I think the major driver of demand and opportunity, order book and pipel

ine is really the great work that we've done with Airbus over the last 3 years.
Moderator: Next question is from Abhishek Kumar from JM Financial.
Abhishek Kumar: Good to hear you're still being optimistic given the dynamic environment. My question was on the deal pipeline or the environment around deals. Last quarter, we spoke about potentially some of the German OEMs looking at more offshoring. Have you seen any progress on that front? Do you think they are still looking at higher offshoring or given the uncertainty, there has been a pause around large deal decision -making as well?

Warren Harris: Yes, we've certainly seen continued traction from the German OEMs. I think all three of the big OEMs in Germany are now

requiring BCC components to their sourcing of engineering
services. That's not only providing opportunities for
organizations like ourselves, but it's also providing
opportunities for organizations like ourselves to partner with
their incumbent engineering service providers onshore.
And so, we're seeing a number of deals and a number of
partnership opportunities progress over the last 3 months. So
that push of Germany into not just India but also places like
Eastern Europe and Morocco is continuing at pace.
Abhishek Kumar: Okay. The second question is on OEMs versus Tier 1. One of
your peers recently said that the pain is higher in Tier 1. How
do you see that? Do you think for us also Tier 1 decline is
higher? And if we can get some idea of what would be our
share of OEM versus Tier 1 in th e auto vertical? Thank you so
much.
Warren Harris: Yes, I think that's a great question. And I would certainly
endorse the fact that the supply chain is feeling the pain
somewhat more acutely than the OEMs. But somewhat
counterintuitively, that is providing opportunity. I referenced
the work that we're doi ng with one of the North American Tier
1 automotive suppliers in and around smart manufacturing.
When a supplier looks at the unit economics of their business,
one of the levers that they look to apply is optimization of the
manufacturing process because that's where the majority of
their value outside of ER&D is delivered. And so, we are seeing

a significant amount of opportunity in terms of deploying
technology and taking legacy assets and interjecting
capability that will drive optimization and productivity
improvement.
And the reputation that we've established at places like JLR
and Tata Motors , places that we can take our customers to
gives us real credibility in that particular space. The fact that
we really not only understand the technology but understand
the domain challenges and can go toe -to-toe with the
manufacturing engineers and demonstrate how capabilities
like AI can make a difference.
I think that represents not only significant opportunity in the
short term, but certainly something that we expect to build
upon in the future.
Abhishek Kumar: Sure. I mean, can we get some sense of what our exposure
would be to Tier 1?
Warren Harris: I don't have a specific number for you, but that's something
that we can get back to you through Vijay and his team. So let
me come back to you with those numbers.
Abhishek Kumar: Sure. Thank you and all the best.
Moderator: Thank you. Next question is from Shradha Agrawal from
AMSEC. Please go ahead.
Shradha Agrawal: So, in terms of German OEs, we did indicate that they are
looking at the higher outsourcing to India or Eastern Europe
countries. So how are we looking at demand trends from U.S.
auto OEs?

Warren Harris: The demand trends with the North American OEMs have been
strongly impacted by the tariff decisions. And not just the tariff
decisions, but also the b ill that's just gone through Congress

that has taken away some of the components of the Inflation
Reduction Act that has positio

ned investments for EVs.
And so, what we've seen with Stellantis with Ford and to a
lesser extent, with GM is those organizations revisit their
product plan from a propulsion systems perspective and also
from a manufacturing perspective. And that's prompted
somewhat of a pause in the las t 3 months. We are starting to
see some clarity come through from those three companies
and we expect that clarity to precipitate into product
decisions in the next couple of months.
Shradha Agrawal: Right. And in terms of our clients, is there any visibility or any
improvement in the outlook that we see from our anchors?
Warren Harris: As I said before, the demand from our anchors has been
strong. I think their financial performance has been very strong.
And we do not see in the short term any change to that. So,
we're very excited about the work that we're doing and the
opportunities that we currently have visibility of?
Shradha Agrawal: Sure. Thanks Warren.
Moderator: Thank you. Next question is from Ankur Pant from IIFL. Please
go ahead.
Ankur Pant: A couple of questions from my side. First one is, is the recovery
that you're speaking of, is that also coming from an
improvement in the challenges that the OEMs have been

grappling with over the last year? Has the situation there
improved or is it more of a latent demand or delayed ramp -
ups which are finally starting to come through, which may also
make the demand more volatile from here? How do you see
that?
Warren Harris: I think it's a bit of both. I think if we look at the last 12 months,
you look at the policy positions of the Republicans and the
Democrats that we're competing for the White House last year,
there were stark differences in the approach to alternative
prop ulsion systems and particularly EV.
So that prompted a delay in decision -making among our
customers. And that impact was not only felt in North America,
but it was also felt with those OEMs that have a great exposure
to the North American market. I think the clarity that we saw in
November certainly precipitated in much better engagement
that we had with our customers in January, February and
March.
That's what informed confidence going into the fiscal year. But
that confidence was somewhat undermined by the tariff
decisions or the tariff announcement on April 2nd. Now we
have seen some of that play out. I think the agreement
between the U.K. and the U.S. is hopefully an indicator of what's
likely to happen with other countries.
And I think that there is an increasing view that common sense
will prevail. And as a result, we are starting to see the decisions
that we expected at the beginning of the fiscal year come
through. So, I think that there was a delay and a buildup of

demand for new product investment that was driven by the
sort of geopolitical things that played out last year.
I think the tariffs have compounded that, but we are confident

that we're through most of the distraction that represents, and
our customers are now starting to make decisions.
Ankur Pant: Thanks. That's helpful. But just prior to the tariff situation, the
European OEMs were undergoing significant stress in terms of
profitability competition. Has that situation improved or is that
pretty much the same?
Warren Harris: I think that the industry is going through the typical cycles
from a demand perspective that defines the automotive
industry. It's been somewhat compounded by the rapid shift
to EVs in China that has been largely taken up by new energy
vehicle companies in China. So, our customers in terms of their
financial performance will, I think, continue to face some
headwinds in the next 12 to 18 months.
But I think one thing that we all have to remember is that the
automotive industry is a product -driven industry. And the one
thing that is typically protected is the investment in new

products. And I think the investment has not been there in the
way in wh ich we expected over the last 12 months because of
the things that I've cited before. And that, I think, reinforces the
priority that most of our customers are having to position in
deploying the investments that are long overdue.
Ankur Pant: And secondly, on margins. Now we've seen a sharp decline in
margin this quarter. How do we see the margin trajectory from

here on? And any decision in wage hikes, when they would be
alright?
Savitha Balachandran: So, I think outlined the earlier part of the call today, the
impact on the fixed costs that we have run that within
customers has largely explains the drop as far as margins are
concerned. That being said, from our perspective, I think we
continue to maintain that our goal post is to move towards the
20% margin band as we scale up our operations.
That being said, we will continue to, of course, start looking at
optimizing costs, all delivery and efficient lever s that we have
at our disposal, be it improving offshoring sequentially, looking
at rationalization of our people pyramid.
And of course, going ahead, we will also continue to see
improvements gradually as we see a lot of productivity
improvements come through the use of AI and other tools but
these, of course, will, as I said, reflect more gradually over a
period of time.
And to the point that Warren made earlier in the call, as we see
Q2 play out, we'll be in a much better position to assess what
the rest of the year is going to look like while our ambition will
continue to try and see how we can at least ensure margin
preservation for the year as we exit Q4. I think we'll be in a
better position to assess the situation.
Ankur Pant: Thanks, Savitha. Just on some wage hikes, have you made any
plans ?

Savitha Balachandran: We haven't discussed on the wage hike yet, so that is
something that the management will discuss internally and
take appropriate discussions with the organization.
Moderator: Next question is from Chandramouli Muthiah from Goldman
Sachs.

Chandramouli Muthiah: My first question is just around the sequential recovery
we expect through the rest of the year. So does that assume
that the current stand -off on tariffs get resolved at some point
in the next couple of months. I just want to understand what
needs to happen for more visible sequential recovery in the
back half.
Warren Harris: I think our confidence in Q2 is really not informed by any
expectation in terms of the trade negotiations that are going
on between various countries. It's largely informed by the order
book and the qualified pipeline that we're taking into the
period. I t hink the trade negotiations will likely inform the
environment in which we operate in the second half of the
year.
So, there will be an influence clearly that the trade negotiations
between Europe and the US specifically will have on the
environment. But I think certainly, Q2, our confidence is driven
by deals that we've closed and sentiment from our customers
is really giving us a level of confidence that they are seeing
past the tariff announcements that were made at the
beginning of the fiscal year.
And that latent need to invest in products is starting to get
prioritized and will give us the deals that will ultimately

continue to allow us to drive momentum and growth
throughout the subsequent quarters of this fiscal year.
Chandramouli Muthiah: All right. That's helpful. And just related to that, you did
mention that you have seen a pickup in the order book at the
end of Q1 versus last year at the same time. So just trying to
understand, we did have these disruptive announcements on
tariff toward s the end of March.
So, through the quarter, have you seen things pick up since
then? Just trying to understand Q4 this year

versus Q4 last
year, how the order book looked? Just trying to sort of
understand what's happened to the quarter and then help your
order book Q1 end of q uarter versus Q1 end of quarter last
year?
Warren Harris: I think if we look at the quarter in terms of deal signings, April
was a month that was very muted in terms of deal signings.
The announcement on tariffs was made on the 2nd of April, and
that prompted many of our customers to pause and to delay
decision - making. I think the review that the customer base
undertook in April , played out into the sort of early part of May.
And since then, we've seen decisions being made and the
improvement that we've seen in the order book is largely
through deals that we've signed in the latter part of the quarter.
So, the momentum is built as confidence has built and as our
customers have become , from a scenario perspective,
somewhat confident that they can work through the
uncertainty that is out there.

Chandramouli Muthiah: Got it. That's helpful. My second question is just around
the other income run rate. So, we have seen a pickup in income
quarter -on-quarter. I think in previous quarters, you have
broken that bridge in terms of what fair value investment gains
are, what the hedging costs could have been and what the

treasury gains have been.
So, INR 57 crores of other income last quarter versus INR 64 crores of other income this quarter. I just want to understand what part of that is sustainable to expect going forward and if there is a bridge that you were able to provide as well?
Savitha Balachandran: Most of the incremental effects that you see quarter -on-quarter sequentially, as I had outlined in my opening comments, reflect actually the unrealized foreign exchange movement on some of the assets that we have on our balance sheet. The treasury income out of the total income is about INR 24 crores, both interest as well as what we've realized through sale of some of our mutual fund investments.
And as we build up cash balances, I would like to believe that some of that would reflect, of course, the yield curve as we see in the world -- across the world, but you should have some part of it that is sustainable. And we also continue to have the INR 8 crores plus effect from the BMW JV investment that we had outlined in the past.
Chandramouli Muthiah: Got it. That's helpful. And just the last question is around Technology Solutions. So, this has been a lumpy business on a quarterly basis in the past. But usually, I think this business picks up towards sort of the end of the year, the second half

of the year, first quarter is usually sequentially slow. I just want to understand what the positive lumpiness has been and how you're looking at Technology Solutions growth through FY '26 this quarter and for the full year?
Warren Harris: Technology Solutions is made up of education and products. We have sustained and until the third and fourth quarter last year, over the course of the last kind of 2 years, sustainable improvement in education. And that's a business that we're working hard to ensure that we manage out the lumpiness. We had some infrastructure challenges in Q4 specifically that -- related to the readiness of the labs that we will deploy our solutions to and that's largely been resolved, and you've seen that in the improved performance of education in the first quarter.
Products, however, is a seasonal business. Most of our customers in that area discharge budgets at the end of the calendar year, particularly in North America, and the large maintenance contracts are typically renewed at the beginning of the new calendar year. And so Q3 and Q4 are the big quarters for the products business. And so, there is some lumpiness and some seasonality that we have to factor into our plans because of that.
Chandramouli Muthiah: Go

t it. That's helpful. And just lastly, around head count. I just want to understand, as you see sequential improvement to the -- where we are at presently in terms of utilization rates? And when would we potentially trigger a pickup in headcount, if that 's the plan for the rest of the year?

Warren Harris: I think we'll continue to monitor the demand environment. I think that there is a capacity that we have that we can look to put to work to satisfy the growth that we are expecting in the second quarter. And then I think we'll recalibrate our

headcount plan s at the end of August, beginning of September as they pertain to the second half of the year.
Moderator: The next question is from Rajiv Berlia from Citi.
Rajiv Berlia: Just one clarification. You mentioned that 1Q got impacted due to delayed ramp -up and elongated decision making. Did you see any deal cancellation in 1Q and also, how did the pricing play out in 1Q? Did you see any pressure in terms of pricing?
Warren Harris: We've not seen any significant deals getting cancelled . There was a deal in the IHM space in the fourth quarter that got short closed. That was a project that we were engaged with and because of macroeconomic uncertainty, the customer decided not to progress with that particular project. But that's the only p roject that we've seen being closed.
Most of the issues associated with the softness in Q1 were related to delays of decision -making and not cancellation of programs. And that's one of the reasons that we, again, are confident about the rest of the year because that need is still very much there.
On pricing, the current environment is prompting most of our customers to challenge us on pricing. But I think so far, we've resisted that challenge quite well and that's something that we'll continue to work hard to do.

Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference over to Mr. Vijay Lohia for closing comments.
Vijay Lohia: Thank you all for joining us on today's call. We hope we've addressed most of your questions. If you have any other queries, please feel free to reach out to our Investor Relations team, and we'll be happy to assist you. Wishing you all the best and goodby e from all of us here. Thank you.
Moderator: Thank you very much. On behalf of Tata Technologies, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Oct 2025

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October 22, 2025

Dear Sir / Madam,

Subject: Transcript of the conference call on financial results for the quarter and half year ended September 30, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call on financial results for quarter and half year ended September 30, 2025, conducted after the meeting of the Board of Directors held on October 17, 2025.

The above information will be made available on the website of the Company: www.tatatechnologies.com .

This is for your information and records.

For Tata Technologies Limited

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Vikrant Gandhe
Company Secretary and Compliance Officer

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Dalal Street,
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Trading symbol: TATATECH

"Tata Technologies Limited
Q2 FY'26 Earnings Conference Call"
October 17, 202 5

MANAGEMENT: MR. WARREN HARRIS – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – TATA TECHNOLOGIES
MS. SUKANYA SADASIVAN – CHIEF OPERATING OFFICER – TATA TECHNOLOGIES
MS. SAVITHA BALACHANDRAN – CHIEF FINANCIAL OFFICER – TATA TECHNOLOGIES
MS. GEENA BINOY – CHIEF HUMAN RESOURCES OFFICER – TATA TECHNOLOGIES
MR. VIJAY LOHIA – HEAD INVESTOR RELATIONS – TATA TECHNOLOGIES

Moderator: Ladies and gentlemen, good day and welcome to Tata Technologies 2Q FY26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing " *" then "0" on your touchtone phone. Please note, this call is being recorded.

I now hand the conference over to Mr. Vijay Lohia, Head of Investor Relations at Tata Technologies. Thank you and over to you, sir.

Vijay Lohia: Thank you, Yashashri. Hello, everyone, and welcome to Tata Technologies Second Quarter of FY26 Earnings Call. I am Vijay Lohia, Head of Investor Relations.

Joining me today are Mr. Warren Harris – CEO and Managing Director; Ms. Sukanya Sadashivan – Chief Operating Officer; Ms. Savitha Balachandran – Chief Financial Officer; and Ms. Geena Binoy – Chief Human Resources Officer.

We will begin today's session with an overview of the Company's Performance from our Leadership team, followed by Q&A.

Before we begin, a quick reminder: We do not provide specific revenue or earnings guidance. Any forward -looking statements made during this call should be considered in the context of the risks outlined in the second slide of the quarterly fact sheet avail able on our website.

Our Press Release and Earnings Presentation have been submitted to the stock exchanges and are also available on our website. We hope you have had a chance to review them.

With that, let me now hand over the call to Warren.

Warren Harris: Thank you, Vijay. Hello, everybody, and thank you for joining us. It is a pleasure to be with you today to discuss our performance for the second quarter of fiscal year 2026.

This quarter marks an important step forward for Tata Technologies – a return to sequential growth and a reaffirmation of the resilience, innovation, and execution excellence that define our company.

In Q2, we delivered 5.1% sequential growt

h in our services business and 6.4% overall revenue growth in Indian rupees. After a few softer quarters, it is encouraging to see momentum returning across our key accounts. This reflects both an improving demand environment and the trust our customers place in Tata Technologies.

We continue to see strong performance in aerospace , which alongside the industrial heavy machinery vertical, delivered 14% revenue growth in US dollar terms . This was driven by sustained demand and consistent execution across MRO, PLM, manufacturing engineering, and digital transformation engagements.

The automotive vertical also regained positive momentum, recording a 0.5% sequential increase in US dollar terms, a clear sign of stabilization and improving demand.

Our technology solutions business grew 10.6% quarter - over -quarter , with strong performance in both the Education and the Product s segments. The education vertical rebounded as previously delayed projects went live, and we also closed a large deal in this space. With a healthy pipeline ahead , we are confident as we enter the second half of FY26.

We also closed three large deals during the quarter:

• One, with a Tier 1 automotive supplier where Tata Technologies has been engaged to harmonize its product data and information technology landscape across a series of recent acquisitions.

• The second is for the development of a heads -up display unit for a Scandinavian OEM , showcasing our capabilities in delivering advanced in vehicle digital solutions.

• And the third is our first direct deal with a German OEM, focused on traditional body engineering services that will contribute to all future vehicle programs, highlighting the accelerated progress we continue to make in this region.

These wins exemplify both the scale and diversity of our engagements, and demonstrate our ability to deliver complex, high -value solutions across multiple regions and segments.

Our EBITDA margin for the quarter was 15.7%. However, adjusting for one -off cyber incident -related expenses that we booked in Q2, relating to an attack that we reported earlier in the calendar year, margins improved from 16.1% in Q1 to 16.4% in Q2, reflecting steady progress in operational efficiency and cost discipline.

This performance underscores our balanced approach, focusing on margin improvement whilst also protecting delivery capacity in anticipation of growth in the second half of this year.

We have made deliberate choices – prioritizing capability building, customer delivery and innovation investments over maximizing short -term margins, because we believe this approach best positions us for sustainable long -term value creation.

A major strategic milestone this quarter was the signing of a definitive agreement to acquire ES -TEC, a move that significantly advances our European presence and automotive engineering capabilities.

This acquisition :

• Provides direct access to Volkswagen as a key customer ,

• Strengthens our leadership position in Germany , and

• Adds deep expertise at the top end of the systems engineering automotive V-cycle.

With a team of over 300 highly skilled engineers , ES-TEC brings advanced capabilities in ADAS, Connected Driving, and Embedded Software – areas central to the industry shift towards software -defined intelligent mobility.

ES-TEC's longstanding relationship with Volkswagen, the world's leading automotive R&D spender, together with Tata Technologies' industry -leading automotive services portfolio, opens the door to deeper collaboration on next - generation mobility programs, inclu ding EV platforms, software -defined architectures, and virtual validation initiatives.

This acquisition also creates substantial cross -selling and portfolio synergies, enabling us to engage more deeply with OE

Ms as they navigate their way through the once -in-a-generation structural changes that are currently defining the global mobility sect or.

Q2 was also a quarter of strong operational and innovation milestones.

• We successfully introduced the Digital Key feature for an Indian automotive OEM, enabling iPhones, Apple Watches, and Android Devices to function as smart keys.
• We launched WATTSync , our digital battery passport platform, which combines block chain -based traceability and AI-driven insights to help manufacturers meet global sustainability regulations and unlock new business models like Battery -as-a-Service.
• We achieved ASPICE Capability Level 3 Certification , reinforcing our credibility and readiness to collaborate with leading global automakers.
• We announced a strategic partnership with Synopsys to enable virtual validation in software -defined vehicles, accelerating OEMs ability to integrate and validate software more efficiently.
• We expanded our European footprint with a new office in Munich , strengthening our engagement with OEMs in the region.

• We secured key projects with major automotive suppliers in North America and Europe, including PLM implementations, PDIT harmonization, and battery management systems development.
• We partnered with the Government of Maharashtra to establish a Center for Invention, Innovation, Incubation and Training , deepening our commitment to developing future -ready engineering talent in this state.
• We scaled our BMW joint venture to over 1,000 employees.
• We also invested in employee development , training over 7,200 employees in this qu arter, including 1,200 -plus in generative and agentic AI.
• We also received, and we are very proud of this, Gold at the 2025 Brandon Hall Group Excellence Awards for our Employee Recognition Program , celebrating our culture of engagement, collaboration, and excellence.

Together these achievements demonstrate the depth of our innovation , the strength of our partnerships , and our focus on building future -ready capabilities across our business.

Looking ahead, we remain optimistic about the second half of fiscal year 2026.

We are seeing encouraging signs of recovery across all three major industry verticals, with large deal wins providing strong visibility into future growth.

While Q2 performance was solid, we anticipate some moderation in Q3, followed by a sharp recovery in the fourth quarter.

As you may have read in the press, JLR's IT systems are in the process of being carefully restored , and we are at the moment grappling with the implications of that.

To sum up, Q2 has been a quarter of meaningful progress . We have delivered a return to growth , improved margins, strengthened our strategic presence in Europe , advanced our innovation agenda , and continue to invest in our people and partnerships.

I want to extend my sincere thanks to our employees for their commitment to our customers for their trust, and to our shareholders for their continued confidence in our company.

As we enter the second half of FY26, we do so with renewed confidence, a robust foundation, and a clear focus on delivering sustainable technology -led growth.

Thank you, and I will now hand over to "Savitha to take you through the Financial Details." But before I do that, let me extend a very Happy Diwali to everybody.

S Balachandran: Thank you, Warren. Hello, and a warm welcome to everyone joining us on the call today.

I am pleased to report that we delivered a sequential revenue growth of 6.4%, reaching Rs. 1,323 crores this quarter despite

operating in a macro environment marked by economic uncertainty. On a constant currency basis, our total revenues were up 4.5%.

Our services business that contributes 77% of our total revenue, grew 5.1% sequen

tially to Rs. 1,013 crores , and by 3%
in constant currency , in line with the outlook we shared during last quarter's call. While we continue to see some delays in ramp -up of large deals and protracted decision cycles, this quarter's growth was supported by contributions from deals closed in the last quarter, along with a strong performance in the Aerospace and in the Industrial Heavy Machinery segments . These segments delivered a 14% sequential revenue increase in US dollar terms , driven by steady demand and consistent execution across MRO, PLM, manufacturing engineering, and digital transformation engagements.

Looking ahead to the second half of Fiscal '26, we remain cautiously optimistic. While Q2 marked a return to growth, we expect some moderation in momentum during Q3, primarily due to the near -term temporary headwinds. That said, we anticipate a recovery in Q4 supported by recent deal wins, improving demand signals, and normalization of customer operations.

Our Technology Solutions portfolio, which contributes the remaining 23% of our revenue , delivered a strong 10.6% sequential growth this quarter. This performance was driven by strong momentum both in the Education and in the

Products business. The education business saw a meaningful recovery as previously deferred projects moved into execution. With a healthy pipeline and continued traction across key accounts, we remain confident as we enter the second half of fiscal '26.

Our EBITDA margin for the quarter stood at a reported number of 15.7%, which includes a one -time consulting expense of approximately over Rs. 10 crores that was incurred in connection with an incident that was referenced by Warren in his remarks.

Adjusting for this exceptional item, our normalized EBITDA margin came in at 16.4%, reflecting a 30-basis points improvement quarter -over -quarter . We also continue to upgrade our digital infrastructure, our global footprint, such as the opening of the new office in Munich, as well as in people capabilities in line with our business requirements and outlook.

Looking ahead in Q3, we anticipate some margin pressure due to the upcoming salary revision and some temporary headwinds in our customer operations as they continue efforts to restore their systems.

Reported EBITDA came in at Rs. 208 crores, up 3.8% sequentially. Our share of profit from our joint venture with BMW grew 10.6% sequentially to Rs. 5.3 crores, while the net benefit from the joint venture stood at Rs. 13.6 crores, contributing 6% to our overall pre -tax profits. As a result, our operating profit or EBIT grew 4.6% quarter -on-quarter to Rs. 190 crores.

Our other income saw a decline of 24% sequentially to Rs. 48 crores, driven mainly by the lower unrealized foreign currency gains of about Rs. 18.5 crores compared with Rs. 25.3 crores in the previous quarter.

As a result, our profit before tax declined 3% quarter -on-quarter to a number of Rs. 226 crores. On a year -on-year basis, our profit before tax was up 3.9% and in the first six months of this fiscal year, our PBT is up 5% compared with the first half of last fiscal.

Our effective tax rate remained flat at 26.8%. Resultantly, our profit after tax was down 3% to Rs. 165 crores. In the first six months of the fiscal year, our PAT is up 5% on a year -on-year basis.

In terms of collection efficiency, we saw an uptick in DSO, which stood at 109-days as of September end from 87 days in June . This increase primarily reflects broader business conditions and certain customer -specific temporary situations that have impacted payment timelines.

Our net cash position as a result stood at $123 million at the end of September compared with $159 million at the end of June. We continue to, however, operate as a debt -free balance sheet company.

That said, we expect our DSOs to gradua

lly revert to their historical range over the next couple of quarters as these temporary factors normalize and collection cycles stabilize.

Turning to our operational metrics:
Our total headcount at the end of the quarter stood at 12,402 compared to 12,407 in Q1, remaining broadly stable and aligned with our calibrated hiring approach. During the period, we continued to invest selectively in strategic talent across digital engin eering, embedded systems, and AI -led transformation to strengthen differentiated delivery and long -term growth.
We also advanced internal mobility, rotation, and re -skilling through our internal tech varsity, enabling talent repurposing as well as improved utilization.
Investments in upskilling continue to accelerate, particularly across areas such as SDV, AI, and cybersecurity to deepen technical expertise and build a future -ready workforce.
Our trailing 12 -month attrition rate rose modestly to 15.1% compared to 13.8% in the previous quarter, reflecting natural market movements and industry normalization. Attrition remains within acceptable levels, supported by strong employee engagement and i nternal career pathways.
We continue to emphasize retention through growth opportunities, continuous learning, leadership development, ensuring that our talent ecosystem remains motivated, capable, and aligned with the company's transformational agenda.
Before I conclude, I would like to also briefly touch upon a strategic development during the quarter, the signing of the definitive agreement to acquire ES-TEC.

We expect the transaction to close in Q3, subject to customary closing conditions and regulatory approvals. Post - closing, our immediate focus will be on ensuring a smooth integration, aligning our go -to-market strategies, and unlocking synergies across tal ent, technology, and customer relationships.
We are confident that this acquisition will be attractive to our growth and margin profile and will further strengthen our position as a trusted partner in the automotive engineering ecosystem.
To conclude, Q2 has been a quarter of meaningful progress and renewed momentum . Despite operating in a complex macro environment, we have delivered sequential growth across both services and technology solutions, maintained profitability, and continued to invest in strategic capabilities that position us well for long -term success.
While we expect Q3 to reflect some temporary headwinds, including seasonal factors, we remain confident in our ability to navigate these challenges and return to a much stronger growth in Q4.
Our focus remains on deepening customer relationships, driving operational excellence, and building a future -ready organization through continued investment in talent, technology, and transformation.
Thank you to our employees for their unwavering commitment to our customers for their continued trust, and to our

shareholders for their support. We look forward to building on this momentum in the second half of fiscal ‘26.
And before I close, I take this opportunity to wish you and your family a very Happy Diwali. We hope the festival brings you lots of joy, good health, and success your way. We will now open the floor for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.
C Muthiah: Hi, good evening and thank you for taking my questions. My first question is just around the contract which you mentioned. There was some lumpiness and delays in education -related business from the previous quarters. I just want to understand what would b e the approximate case of that contract.
Moderator: I am sorry, your voice is breaking. It is sounding muffled.
C Muthiah: My first quest

ion is just around the education business. You mentioned that there were delays in education business contract actualization in the past two quarters which has benefited this quarter. I just want to understand what is the sizing of that deal which has benefited this quarter?
Warren Harris: In terms of the situation that has played out in education, earlier in the calendar year, there were some delays in terms of getting access to some of the innovation centers that we were equipping with the next -generation capabilities and training curriculu m that support our education value proposition. Those centers have now come online and so we

have been able to play some level of catch -up in Q2. We also have continued to reinforce our order book. I referenced one deal that we closed in Maharashtra in Q2, but there have been other deals that we have closed. So, we expect continued momentum in tec hnology solutions and specifically in education in the coming quarters.
C Muthiah: Just to follow up, I just want to understand, we have seen close to 11% QoQ growth in technology solutions. If it is most of that growth, let us say in terms of quantifying it, all of that growth is due to the lumpiness benefit? I think education and tech nology solutions is positive in the third quarter and the second quarter. I just wanted to follow up on if any quantification you are able to provide around the lumpiness of this deal?
Warren Harris: The improvement was both in products and in education . The first quarter of our fiscal year is typically a soft quarter for products and so we have seen improvement in that. In the second half of the year, as a number of maintenance contracts continue to get refreshed and renewed, the second half of the year is a good seasonal period for our products business.
Again, we expect continued growth in education, and we also expect to enjoy the seasonal benefit of the improvement in the second half of the year that typically underpins what happens in products.
C Muthiah: Got it. That is helpful. Second question is just around your prepared remarks. We have, I think, done much better this quarter in terms of QoQ growth than the previous two where

there were potentially macro headwinds that were delaying
decision making at some of our core customers. You did
mention that you are cautiously optimistic on the back half.
Maybe 3Q will be seasonally weak, but you are hopeful that
things pick up in 4Q. I just want to understand, based on some
of the recent deal wins, do you think 4Q can be equally as good
as this quarter in terms of QoQ growth you have been able to
deliver in the core business? Any additional color you are able
to provide on what is givin g you confidence around potentially
better 4Q in this part of the recovery in the cycle?
Warren Harris: Just again to provide confidence, in Quarter 1 and at the
beginning of the fiscal year, I have commented that we
expected strong momentum in this year based upon the
conversations that we were having in the fourth quarter of last
year. Last year was somewh at unsettled because of the
election in the US and some of the EV incentives in Europe
running off. So, early part of the calendar year, we had some
very, very good discussions with our customers about new
products and the contribution that we can make to that.
We saw some of that get somewhat undermined by the tariff
announcements at the beginning of Q1 that not only impacted
the North American manufacturing sector, but also impacted
those customers in automotive, aerospace, and industrial
heavy machinery that l ooked to sell into the United States
because everybody was impacted, I think, in either direct
terms or indirect terms through their supply chains.

So, what we anticipated in Q1, it started to play out in Q2
because the uncertainty that was there afte

r the tariff
announcement is starting to clear and most of our customers
are now getting aligned with the new normal in terms of the
tariff environment specifically.
So, many of those investment decisions that we were looking
to intersect with at the beginning of the fiscal year have now
come through in Q2, and that is what has largely driven the
improvement that we have seen. We expect that to continue.
Our customers and the markets that we serve are largely
product -led. In all of the sectors, there has been some impact
as far as investment – related to some of the geopolitical and
the macroeconomic issues. Whilst not everybody will agree
with the changes that have been enacted, at least we have got
clarity now. Our customers, as a result of that, are returning to
making investments in the next -generat ion products that
stimulate the demand that we support. So, we are expecting a
continued improvement from the perspective of the needs
that our customers are looking to place with us.
C Muthiah: Thank you very much and all the best.
Moderator: We will take our next question from the line of Manik Taneja
from Axis Capital. Please go ahead.
Manik Taneja: Hi. Thank you for the opportunity. I just wanted to get
alternative inputs on a couple of things. You are saying that
third quarter should probably be soft. Q4 is when you expect
a sharp rebound. Just to understand if that comment
essentially is on an org anic basis, or even you will probably

close this acquisition and thereby that is supporting the revenue growth momentum? That is question number one. The second thing is if you could give us some qualitative sense in terms of our automotive vertical performance between anchor customers and ext ernal customers, how they may have done in the second quarter, and how should we be thinking about the prospects between these two segments on a go -forward basis?
Warren Harris: Thank you for the question. I think our comments in terms of our opening remarks relate to our organic performance. As has been referenced a couple of times, Q3 is seasonally soft given the festivals and the holidays in different parts of the world. We, l ike everybody else, are going to be impacted by that. Our commentary is related to seasonal issues and specifically one or two customer situations that we are looking to quantify at this point in time. As far as automotive is concerned, one of the things that was very pleasing in Q2 was that we were able to d rive growth across the three industry verticals. Even though the aerospace and industrial heavy machinery verticals delivered double -digit sequential growth, we were also able to squeeze out growth in automotive. That is really the first time for a number of quarters. We really think that all goes well in terms of the industry and by association, the prospects for Tata Technologies.
Manik Taneja: Sure. Would it be possible for you to give us some sense on your double -digit aspiration that you had through a better part of this year, do you still think that is a possibility for FY26 or

probably given the way we have performed and given your expectations for the third quarter, that expectation may not turn out to be true?
Warren Harris: Our aspirations of double -digit growth will always be there. I think at this point in time, our objective and our target will be to ensure that the order book and the momentum that we take into the next fiscal year will provide a platform for double -digit growth in FY27. I think at this stage, I certainly do not want to quantify specifically what we will look to drive in terms of growth in this fiscal.
Manik Taneja: Sure. The last one is on the BMW joint venture. You achieved the 1K headcount mark much ahead of the initial plan by December. Are you essentially willing to share some more milestones or the progress that you expect on tha

t joint
venture over the next co uple of years?
Warren Harris: What I will say is both in quantitative terms and also in qualitative terms, the JV continues to exceed the expectations of both Tata Technologies and BMW. We have exceeded the headcount targets through the teams that we are managing in the three hubs, in Pune, in Bangalore, and in Chennai. That momentum we expect to continue. I think the brand has really been established now in the Indian context. That is a llowing us the opportunity to attract and retain some of the brightest automotive talent in the industry. I think what is also encouraging is the fact that the type of work that is being undertaken by the JV is of a very high level of complexity and sophisticatio n. The feedback from BMW and the teams in

Munich specifically is that they are very, very pleased with the work that is being undertaken. I think that augurs well, not only for growth, but the type of responsibility that the JV will increasingly be given.

Manik Taneja: Sure. Thank you. All the best for the future.

Moderator: Next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar: Hi. Good evening. Warren, you mentioned in your initial opening remarks that Q3 headwind is because of delays in JLR, IT systems still being restored, etc., Just wanted to understand what is the visibility we have at this stage of these challenges getting resolved during the quarter, and what would be the potential impact from JLR alone in Q3? And a related question is that when we say headwind in Q3, are we referring to some decline in sequential growth or just lower growth for Q3?

Warren Harris: I think as far as JLR is concerned, let me just qualify the comments that I made at the beginning. We are very much involved with supporting the phased restoration of the IT infrastructure at JLR, and I am very, very proud of the work that our teams have undertaken to support the ability of JLR to bring back up their production facilities and their core enterprise IT systems. We are working with JLR to ensure that all of our teams that are strategically important to JLR are in a position to c ontinue the contribution that we have now made for many, many years. But the comments that I made is that JLR themselves are still going through, as they bring up their systems, what their short -term priorities are. And whilst they

are going through that exercise, I think it is prudent for us to signal that there could be, and I want to stress could be, some impact in the next couple of months. But the visibility on that is something that will only play out in the next two to three weeks. So, right now, I am not in a position to quantify. All that I will say is that we are working hand in glove with the JLR teams. We are doing everything that we possibly can to support their phased deployment of their IT systems, and we are going to d o everything that we can to ensure that they are in a position to restore their operations to where it was before the attack.

Abhishek Kumar: Yes, and so potentially Q3 can be a negative quarter from services perspective, negative growth quarter?

Warren Harris : Again, at this point in time, I am not going to size what the impact of JLR is going to be because I simply do not know. And I think outside of that, we are going to continue to reinforce our support towards growth. And so, we are doing everything that we can to ensure that we build upon the momentum that we have established in Q2.

Abhishek Kumar: Sure. My second question is on your acquisition, ES -TEC, looks like a very exciting asset, they are growing very fast. So, what are the kind of synergies we see? Is the buyer of their services versus what we would typically sell to in Volkswagen similar or do we have to leverage on their relationship to bui ld more relationships? A

nd also, Savitha mentioned it is margin accretive . Any color on their margins, because what we have

seen is onsite centric, niche firms like this generally are margin dilutive for IT services firms?
Warren Harris: Yes, I think what attracted us to the organization were two things. One was the capability that they have at the top end of the automotive V-cycle. They do an awful lot of work in the area of systems architecture, functional and specification definition. And they do a lot of work in and around test and validation. And to your point, that is very high end and very niche and complex work. And th ey have not only been able to protect themselves during the recent downturn and continue growth, but they have also been able to reinforce their strategic position as far as the VW ecosystem is concerned. Because of that special position, they have a great deal of influence at the top end of the VW group. And certainly, we are expecting that influence and the trust and confidence that VW has in them to influence our ability to be able to sell the broader Tata Technologies portfolio to VW. And one of the things that we are working very hard on right now is to identify what lines of service we should prioritize as part of that pursuit of synergies. As far as margins and growth are concerned, we expect ES -TEC to continue the momentum that they have established. We are not disclosing the specific margins that they support. But we do not expect any impact upon the unit economics of that asset as a result of the transaction.
Abhishek Kumar: Sure. Thank you and all the best. Thank you.
Moderator: We will take our next question from the line of Puneet Lineswala from Win Investments. Please go ahead.

Puneet Lineswala: Yes. Hi, this is Puneet. I wanted to ask a few questions regarding the aerospace division, which we look forward to knowing what exactly is the core we plan to explore in the aerospace division, like, is it more about the passenger vehicle segment or any other segment where we eye to venture into?
Warren Harris: Well, if you look at aerospace, there are a number of domain areas that we are developing capability in. We are developing capability in aero structures and interiors. We are developing capability in propulsion systems. We are developing capability in MRO systems. And we are also leveraging our experience from automotive and industrial heavy machinery to help aerospace customers deploy digital solutions to address one of the big challenges of the industry, which is manufacturing throughput. A nd so, we are investing in those areas and we are seeing double -digit growth across all of those domains. We have not only built a relationship that we are very proud of at Airbus, but we are growing within the Airbus supply chain. And we are also investing very heavily in North America, specifically with the propulsion system manufacturers. So, there is an area that has demonstrated growth whilst automotive and industrial aerospace has been somewhat flat. And we expect that to continue. We are confident because of the growth that is projected for aerospace. But we are also confident because India specifically and the Tata Group will play a very big part in the aerospace industry in the future. And we intend to take full advantage of the opportunity that that repr esents.
Puneet Lineswala: Thank you very much. I will go to my next question. In the coming years, once the tariff and everything is settled down,

how do you see the aerospace affecting or making its mix in our revenue structure ahead?
Warren Harris: I think that the OEMs will have to factor their sourcing decisions and their supply chain decisions against the impact of tariffs. But I think if you were to canvas opinion from the big players, Airbus and Boeing and their associated supply chains, I thi

n k while tariffs are important, building as many aircraft as the demand requires at the moment is an even greater priority. And so, our view, and I think this is the view of the industry, is that accessing capability will be more important tha n the implications of some of the recent tariff regulations that have been rolled out.
Puneet Lineswala: Okay. Thank you very much. I am done.
Moderator: We will take our next question from the line of Rohit Jain from Tata Capital Partners. Please go ahead.
Rohit Jain: Yes. Hi. Thanks. My first question is on attrition. Attrition levels have moved up noticeably from last quarter to this quarter and are at multi -quarter highs. So, what are your thought s there? And the second question is on margin. You highlighted that there is going to be margin impact in the coming quarters because of wage hike. Can you help quantify that? Thank you.
Warren Harris: I will have Geena , our CHRO talk about attrition.
Geena Binoy: Yes. So, there has been a slight uptick in attrition from 13.8% that we had in Q1 to 15.1% now. But this attrition is broadly in line with the trends that we are seeing in the industry. A little bit of this is on account of the engineering area and we see

some uptick in the attrition in this area. And this is mainly because we are losing some talent to the GCCs and the OEMs. So, that is the only comment I have on this.
Rohit Jain: Okay. And on the margin?
Warren Harris: In terms of margins, we are looking to balance the capacity that we believe that our growth expectations in the second half of this year and next year will require with the ongoing pursuit of ever improving and optimizing of the profitability of the compa ny. And that balance is something that we will continue to strive to effect.
Rohit Jain: Given that you have wage hike in the next quarter, can you quantify the impact of wage hike without looking at other factors?
Warren Harris: All I will say is that we rolled out wage increments or salary increments for about 88% of our employee base. And we are, as we always do, applying the various operational levers that will allow us to mitigate the impact of those changes. And so, as we do every year, we will look to offset operationally the cost and the impact of the expenses that are related to the increments that we are committing ourselves to.
Rohit Jain: And so, just to harp on this, given that next quarter is going to be a weaker quarter because of the factors that you have highlighted and the fact that we have wage hike also in that quarter, is it fair to assume that next quarter the margins could be lo wer than the actual reported margins this quarter, is that the right takeaway?

Warren Harris: As Vijay said at the beginning, we do not provide specific guidance on revenue or margins. I am not going to quantify it for you. All that I will say is that we rolled out salary increments. That will represent an incremental expense in the third quarter. And we will apply the traditional levers to do what we can to offset that.
Rohit Jain: Fair enough. Thank you. Thanks a lot.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Vijay Lohia for closing comments. Over to you, sir.
Vijay Lohia: Thank you all for joining us on today’s call. We hope we have addressed most of your questions. If you have any additional questions, please feel free to reach out to the investor relations team and we will be happy to assist you. Wishing you all the best and goodbye from all of us here . Thank you very much.
Moderator: Thank you, members of the management. On behalf of Tata Technologies, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2026

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January 19, 2026

Dear Sir / Madam,

Subject: Transcript of the conference call on unaudited financial results for the quarter and nine months ended December 31, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call on unaudited financial results for the quarter and nine months ended December 31, 2025, conducted after the meeting of the Board of Directors held on January 16, 2026.

The above information will be made available on the website of the Company: www.tatatechnologies.com .

This is for your information and records.

For Tata Technologies Limited

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Warren Harris
CEO and Managing Director
DIN: 02098548

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Trading symbol: TATATECH

"Tata Technologies Limited
Q3 FY'26 Earnings Conference Call"
January 16, 2026

MANAGEMENT: MR. WARREN HARRIS – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – TATA TECHNOLOGIES
MS. SUKANYA SADASIVAN – CHIEF OPERATING OFFICER – TATA TECHNOLOGIES
MR. UTTAM GUJRATI – CHIEF FINANCIAL OFFICER – TATA TECHNOLOGIES
MS. GEENA BINOY – CHIEF HUMAN RESOURCES OFFICER – TATA TECHNOLOGIES
MR. VIJAY LOHIA – HEAD INVESTOR RELATIONS – TATA TECHNOLOGIES

Moderator: Ladies and gentlemen, good day, and welcome to the Tata

Technologies 3Q FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation c oncludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone.
I now hand the conference over to Mr. Vijay Lohia, Head of Investor Relations at Tata Technologies. Thank you, and over to you, sir.

Vijay Lohia: Thank you. Hello, everyone, and welcome to Tata Technologies Third Quarter of Fiscal Year 2026 Results Call. I'm Vijay Lohia, Head Investor Relations. Joining me today are Mr. Warren Harris, CEO and Managing Director; Ms. Sukanya Sadasivan, Chief Operating Officer; Mr. Uttam Gujrati, Chief Financial Officer; and Ms. Geena Binoy, Chief Human Resources Officer.
We'll begin today's session with an overview of the company's performance from our leadership team, followed by a Q&A.
Any forward -looking statements made during this call should be considered in the context of the risks outlined in the second slide of our quarterly fact sheet, which is available on our website.
Our press release and earnings presentation have been submitted to the stock exchanges and are also available on our website, www.tatatechnologies.com. We hope you've had a chance to review them.
With that, let me hand over the call to Warren.
Warren Harris: Thank you, Vijay. Good evening, everyone, and thank you for joining us. Let me begin by wishing you and your families a healthy and prosperous new year. I will start with an overview of our third quarter performance before inviting Uttam to walk you throug h the financials in detail.
In Q3, we delivered sequential revenue growth of 4.7% in our Services business , contributing to an overall sequential revenue increase of 3.2% in Indian rupees . In constant currency, Services revenue grew 1% quarter -on-quarter organically.

This is a solid outcome in what is traditionally our softest quarter of the year. Q3 is impacted by fewer billing days due to festivals and holidays across multiple geographies. This year, we also experienced a temporary disruption at one of our largest cu stomers following a cybersecurity incident, which resulted in our being unable to bill for a sizable part of our engagement for nearly a full month — an impact we had already anticipated and clearly communicated in our Q2 earnings call.
The disruption was isolated, time -bound, and is now behind us.
What is encouraging is that even with these headwinds, we delivered growth. This speaks to the underlying momentum in the business, the breadth of our client portfolio, and the resilience of our execution engine.
Several parts of the business performed strongly:
• Our Aerospace and IHM verticals delivered 10% QoQ revenue growth in USD terms , driven by sustained demand across predictive maintenance, digital transformation,

sustenance engineering, MRO, PLM, and manufacturing engineering programs.
• Within our Technology Solutions business, the Products business grew 30% sequentially , reflecting the typical year - end discharge of customer PLM software budgets.
• The Education business, on the other hand, saw a 22% decline, driven by temporary softness in demand and slower decision cycles at a few accounts. With a healthy pipeline and multiple

opportunities in advanced stages, we remain confident of a recovery in the coming quarters.
We closed six large deals during the quarter, spanning automotive, industrial, software -led engineering and Education. These wins reflect both the breadth of our capabilities and the growing strategic relevance of Tata Technologies to global OEMs.
• We secured a strategic full vehicle program with a global automotive OEM, reinforcing our position as a trusted partner for end -to-end product development.
• We entered a whitespace area in embedded and software engineering with a leading European automotive OEM , successfully displacing incumbent suppliers.
• We will lead the chassis & climate program for a European automotive OEM across three platforms covering mechanical, electrical and embedded , and software development, with a focus on cost optimization and quality improvements.
• We secured a strategic win with a premium European passenger vehicle OEM , strengthening our role across vehicle engineering and next -generation mobility programs.
• We will help a European luxury automaker develop circularity solutions, enabling cradle -to-cradle emissions analysis and sustainable material selection. The contract also covers cost optimization across key vehicle components.

From a profitability perspective, EBITDA margin for the quarter was 14.1%, reflecting the impact of annual wage revisions and the temporary revenue impact at one large account as communicated earlier. .
Importantly, we have made a conscious choice to retain delivery capacity through this period. Rather than optimize short -term margins, we stayed invested in our teams in anticipation of a strong rebound in Q4.
Looking ahead, we expect momentum to strengthen meaningfully in Q4.
For Q4, we expect sequential revenue growth in excess of 10%, and despite the impacts of new labour codes, deliver EBITDA Margins that exceed our Q2 run -rate.
This combination of accelerating growth and expanding margins marks an important inflection point for the business.
Let me now share a few operational and innovation milestones from the quarter that illustrate how we are translating strategy into execution.
We successfully completed a large -scale enterprise modernization program for an Asian automotive customer, transforming a 23 -year -old SAP landscape into a next - generation SAP S/4HANA cloud environment. This migration

redu

ced the customer’s data footprint f rom 47 terabytes to just 1.5 terabytes through the optimization of 194 business objects and 243 core records.

In Aerospace, we completed the deployment of our AI -enabled Smart Helmet solution at a major maintenance facility. Developed under our Aerospace MRO R&D program, this solution uses agentic AI for automated defect detection, classification, and reporting. It enables real -time surface inspection, significantly improving accuracy, speed, and safety.

Our joint venture with BMW continues to scale and has now grown to over 1,500 engineers . This platform has become a critical enabler of BMW’s global engineering strategy and has helped Tata Technologies secure multiple direct framework agreements with BMW in Europe. Our share of profit from this joint venture increased 37% sequentially.

Again, in Aerospace, we also reached an important milestone with Airbus , where eight of our engineers were certified as Design Organisation Approval Technical Approvers. This is a powerful endorsement of the depth and maturity of our engineering capability and significantly expands the scope of safety -critical work we can undertake.

Taken together, these highlights demonstrate how Tata Technologies is building differentiated platforms in digital engineering, AI -led industrial solutions, and high -integrity aerospace programs — capabilities that deepen customer trust and expand our role across the engineering value chain.

Let me now step back and talk about what has been changing in Tata Technologies over the past year — and why we are increasingly confident about the growth trajectory ahead.

Over the last 12 –18 months, parts of our business were impacted by delays in certain full -vehicle programs and a moderation in outsourcing spends at some large OEM accounts. Rather than treat this as a cyclical pause, we used this period to deliberately st rengthen the quality and resilience of our revenue base.

Our focus has been clear:

- Reduce concentration risk
- Improve portfolio mix
- Build a growth engine that is structurally more resilient to program cycles

A significant milestone in this journey was our acquisition of ES-Tec. This strengthens our position in Embedded and Software -Defined Vehicle engineering — particularly within the European automotive ecosystem — and, importantly, reshapes the structure of one of our largest client relationships.

Post integration, that account is now our third largest relationship , anchored in Embedded, Electronics, and SDV -led engineering, rather than being concentrated in a single turnkey program.

This reflects a broader shift across our portfolio. A growing share of our revenues is now linked to Embedded, SDV, and

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validation -led engineering — areas that are inherently more recurring and less cyclical than traditional mechanical turnkey programs. Over time, this transition enhances both earnings stability and margin defensibility.

At the same time, we continue to strengthen what has always been our core differentiator — full-vehicle programs. We have recently won several high -profile FVP engagements, reaffirming the confidence that leading OEMs place in our ability to deliver large, complex, end -to-end programs.

What is evolving is how we structure these programs:

• Greater modularity
• Stronger phase -gating
• Clearer linkage into downstream Embedded, SDV, and digital engineering work

This allows us to preserve our competitive advantage while managing execution risk more effectively — and extend the lifecycle value of every major win.

Putting this together, the steps we have taken over the past few quarters are designed to re-ignite growth while making our revenue base more diversified, less program -dependent, and structurally stronger.

This is already visible in our outloo

k:

• We expect sequential growth in excess of 10% in Q4
• We are targeting double -digit growth in FY27

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These are not aspirational numbers. They are grounded in our secured pipeline, improving customer decision cycles, and the structural changes we have made to our portfolio.

Alongside this, our Aerospace business is emerging as a powerful new pillar of growth — and a clear demonstration of Tata Technologies' ability to scale high -integrity, regulated engineering beyond automotive.

From a relatively low base, we have doubled Aerospace revenues for four consecutive years . We expect this business to reach close to $40 million in FY26 . Importantly, we see strong visibility in the pipeline and anticipate this momentum to continue.

Our differentiation in Aerospace is not built on low -cost delivery. It is built on trust, industrial reliability, and execution discipline.

We have leveraged:

• Tata Group credibility
• India's fast -growing aviation ecosystem
• And our entry into the Airbus EMES3 supply chain program to establish ourselves as a trusted workshare partner — with integrated teams operating across Toulouse, Hamburg, Bangalore and North America.

Over the past year, this platform has strengthened meaningfully:

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• As previously stated, eight of our engineers are now DOA - certified by Airbus, enabling participation in larger, higher - integrity industrialization work packages
• We have expanded beyond a single -OEM footprint, with new engagements at leading U.S. aerospace engine manufacturers, particularly in propulsion and engine engineering
• Our Airbus programs already integrate digital industrialization and factory digitization , reinforcing our differentiation at the intersection of industrial engineering and the digital thread
• We have demonstrated selective turnkey capability in aerospace through a major program with a large new MRO facility in India
Taken together, these developments position Tata Technologies in Aerospace not as a generic ER&D vendor, but as a reliable, scalable, and increasingly mission -critical industrial engineering partner.
This is how we view Q3 — as a pivotal turning point that positions us for a phase of faster, stronger, and more durable growth.
With a stronger portfolio, a more resilient revenue engine, and clear momentum building into Q4, we believe Tata Technologies is entering its next growth chapter — one that is faster, more durable, and structurally stronger than before.
Thank you. I'll now hand it over to Uttam to take you through the financial details.

Uttam Gujrati: Thank you, Warren. Good day, everyone, and thank you for taking the time to join us on today's call. In continuation to the business update shared by Warren, let me share with you the financial performance in the third quarter of Fiscal'26.
Overall, I'm pleased to report that our top -line performance remained resilient, with revenues from operations growing 3.2% sequentially to Rs.1,366 crores . This includes one month of contribution from ES -TEC, following the successful completion of the acquisition in November. Integration is progressing well, and we have already started jointly bidding for projects with ES -TEC's team, leveraging combined expertise to deliver differentiated solutions. We expect some of these opportunities to convert in the n ear term, which will further enhance our position in high -growth areas and deepen relationships with key OEMs.
Revenue from our services segment , which accounted for 78% of the total revenue for the quarter, came in at Rs. 1,060 crores, up 4.7% quarter -on-quarter. In constant currency, services revenue grew 1% organically. This growth was driven by deals closed in recent quarters, along with cont inued strong performance in the Aerospace and Industrial Heavy Machinery (IHM) verticals.

These verticals delivered 10% sequential growth in USD terms, highlighting sustained demand and the strength of our differentiated ca pabilities. The Aerospace vertical alone was up 19% Quarter -on-Quarter.

As Warren highlighted in his remarks, we are beginning to see early signs of demand recovery. Combined with our recent deal wins and the gradual normalization of customer operations, this positions us well to exit Q4 with strong growth momentum. Our pipeli ne remains healthy, and we expect this positive trend to continue as these factors translate into sustained execution and incremental revenue contributions in the coming quarters.

The Technology Solutions segment delivered revenues of Rs.306 crores in quarter. This was primarily driven by a 30% growth in our products business, supported by renewal deals — a trend that is typical for the final quarter of the calendar year in this segment.

Our EBITDA margin for the quarter was 14.1%, compared to the normalized margin of 16.4% in Q2. As we had indicated on the previous earnings call, margins were impacted by wage hikes implemented in Q3 and a temporary headwind at one of our large customers. Both these factors are now behind us, and with the underlying business fundamentals remaining strong, we expect to not only return to the Q2 margin run -rate but exceed it in Q4.

Our joint venture with BMW has continued to ramp up at a healthy pace with our share of profit growing 37% sequentially to Rs.7.3 crores in the quarter. The net benefit from the JV stood at Rs.15.6 crores, contributing 8.3% to our adjusted pre - tax profits.

Other income saw a decline of 34% QoQ to Rs.32 crores largely driven by lower unrealized foreign currency gains of Rs 6.4 crores compared with Rs 18.5 crores in the previous quarter.

We recorded exceptional one -time expenses of Rs.164 crores during the quarter. Of this, Rs.140 crores pertain to a one -time increase in provisions for employee benefits, following changes introduced under India's new labor legislation, commonly referred to as the 'New Labour Codes.' The remaining Rs 24 crores relates to a one -time acquisition - related costs for ES -TEC, which was successfully completed in Q3.

Adjusted for these one -time exceptional items, profit before tax was down 17% QoQ to Rs.187 crores and net income for the quarter came in at Rs.135 crores.

In terms of collection efficiency, DSO increased modestly during the quarter to 111 days, compared to 109 days at the end of Q2. This uptick was primarily driven by higher DSO in our Products and Education segments, partially offset by improved collection efficiency in our Services business. We expect DSO to gradually return to its historical range over the next one to two quarters as these temporary factors normalize.

Our net cash position stood at $58 million, compared with $123 million as the end of Q2.

Turning to our operational metrics, the highlights are as follows:

At the end of the quarter, our total headcount stood at 12,580

associates, an increase of 178 compared to the previous quarter. On a like -for-like basis, excluding ES -TEC, headcount was 12,258 associates, reflecting a net reduction of approximately 144, or about 1.2% sequentially.
This adjustment aligns with our calibrated and disciplined approach to workforce planning. Rather than backfilling roles indiscriminately, we are prioritizing strategic hiring in high - impact areas such as digital engineering, embedded systems, and AI -led t ransformation. These investments are designed to strengthen our delivery capabilities, support differentiated solutions, and align with our long -term growth objectives.
Our trailing 12 -month attrition rate increased slightly this quarter to 15.8%, compared to 15.1% in the prior period. This movement remains broadly consistent with industry trend

s
and reflects the competitive talent environment. We continue to actively man age retention through targeted engagement initiatives and career development programs.
In parallel, we have stepped up investments in skill enhancement and upskilling, particularly in strategic domains such as SDV, AI, and cybersecurity. These initiatives are designed to deepen technical expertise, strengthen our delivery capabilities, and f uture -proof our talent pool. By combining focused hiring with robust internal development programs, we aim to create a highly skilled, agile workforce that can deliver superior outcomes for our customers and drive long-term shareholder value.

To summarize, Q3 showed resilience in our core business and steady progress on strategic priorities. ES -TEC integration is on track and already creating joint opportunities. Aerospace and IHM delivered strong growth, reinforcing the strength of our capabil ities. With early signs of demand recovery, recent deal wins, and customer operations normalizing, we're confident about exiting Q4 with solid momentum. Margin headwinds from Q3 are behind us, and we expect to return to — and exceed —the Q2 margin run -rate. O ur disciplined workforce strategy and investments in future -ready skills position us well for sustainable growth. We remain focused on delivering long -term value for our customers and shareholders.
With that, we can open it up for Q&A.
Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from the line of Puneet Lineswala from Winvestments.
Puneet Lineswala: This is Puneet here. And I just want to ask from the management perspective, like we started off as a company in the automotive sector and diverse to the aerospace. Like what percentage -- do you feel that are we reaching to a certain percentage where we c an transit to an aerospace tech company? Or we still have time or how much time do we require?
Warren Harris: Puneet, thanks for the question. I think we've been working very hard over the last 2 to 3 years to build an aerospace business that's relevant and is material in size. You might remember that

12 months ago, almost 90% of our business was automotive.
And in Q3, about 80% of our business is automotive.
So, the business outside of automotive, aerospace, but also industrial heavy machinery, has been growing at a much faster rate than automotive. Now we fully expect -- given the green shoots of improvement that we've seen in automotive in the recent past, we e xpect the automotive sector to get back to a growth cycle.
So, the type of change in mix, the accelerated change in mix that we've seen over the last 12 months is unlikely to continue.
Aerospace has grown, as I said, has doubled every year for the last 4 years from a relatively small base, and we expect that type of momentum to continue. So, we are very bullish about our prospects in engineering.
We think that a customer base that we've got in Europe and North America represents a great deal of potential. We also think that the investment that Tata Group is making is affording a great deal of influence, and we're fully expecting to invest in it.
Moderator: Your next question comes from the line of Karan Uppal from Phillip Capital India.
Karan Uppal: So, 2 questions from my side. Firstly, Warren, can you explain how are you seeing the automotive business from near to medium -term perspective, the headwinds which we had seen in the last 1 year with respect to tariffs or maybe due to Chinese competition impa cting the overall spending? Are those headwinds behind us?

And secondly, from the anchor client perspective, especially JLR, so how are things there? Is the spending improving within that? These are the 2 questions.
Warren Harris: Yes, great questions. I've commen

ted in the past that the
automotive industry is essentially a product -led business. But over the course of the last 18 months, we've seen a slowdown in investment in products, primarily because of the uncertainty in the mar kets, geopolitical uncertainty and also regulatory uncertainty.
We expected a relatively strong demand environment this fiscal year, but it's been turned upside down by tariffs and by some of the geopolitical influences that impacted the market.
But what we're seeing in the second half of calendar year 2025 is the mark et conditions start to be more predictable. And that's precipitating in catch -up investment that many of our customers are making.
Those customers that have sat on their hands, whilst things have been uncertain, are now looking to get back to their cycle plans and invest in what will define their competitive position in 2 to 3 years from now. One of the things that gives us confidenc e in the momentum behind what I've just cited is that in the third quarter, we won the first full vehicle program that we, as an organization, have won in the last 18 months.
And so, we believe that that's proof positive that the green shoots are now starting to translate into program awards that are material and will extend over multiple years. And our confidence in terms of growth in Q4 and the double -digit

expectations that we've got for next year, those are all driven by the expectations that we are building in and around the strategic relationships that we've got in automotive.
Now in terms of your second question, JLR and Tata Motors. We're very, very excited by the market position that both customers find themselves in. Tata Motors has had an incredible run over the last 5 years. I think in terms of market position, but also i n terms of the ambition of both PV and CV, we fully expect the investment in new products to not only increase but to accelerate that pace.
And given the strategic partnership that we have with Tata Motors, we expect that to represent growth for us. JLR has 2 challenges. One, I think, to continue to invest in products that will mitigate the drop in demand that they've seen in China. They also have publicly stated the need for them to digitize their enterprise and to replace an awful lot of legacy systems that they've relied on to run the enterprise in the past. Both of those vectors will represent growth opportunities for Tata Techno logies. And so whilst we expect the overall industry to grow, we're very, very bullish about the prospects for JLR and Tata Motors.
Karan Uppal: Okay. Just a follow -up on basically JLR as well as the overall auto spending. So, in the near term, the 10% kind of a Q -o-Q growth which you're guiding to, is that a broad -based kind of growth or is it specific to any deal which is ramping up within auto or aero? That is first. And secondly, for FY '27, do you expect, let's say, your t op 5 to top 10 clients within auto to

recover the spending? Or is it mainly linked to the anchor clients?
Warren Harris: In terms of our growth expectations for Q4, it's relatively broad. And one of the things that I positioned in my opening narrative was over the last 12 months, we've spent a lot of time looking to diversify our portfolio, particularly as it pertains to emb edded and software. We've looked to diversify our dependence in terms of automotive by investing in aerospace and industrial heavy machinery.
And we've also looked to protect customer relationships, but to ensure that our customer pyramid is much broader. And we are expecting the changes and the investments that we've made in those areas to inform growth that is not only material in terms of qua ntum but is also much healthier and much more diverse than perhaps we've had in the past.
So that's a long -winded way of positioning that the growth that we are anticipat

ing Q4 and next year is not specific to any single program. It is very diverse, and therefore, the mix is very healthy.
Karan Uppal: Sure. Just the last question in terms of the geography mix within U.S. auto as well as European auto, are you seeing recovery in both or is there any divergence?
Warren Harris: We are seeing, again, broad improvement in demand -- in the demand environment across different geographies. So, in automotive, I think almost everybody outside of China has been sitting on their hands and waiting for clarity in terms of regulation.

And I think now that we've got it, everybody and specifically Europe and North America are recommitting themselves to investments in new products, again, that will define their competitive position in 3 and 4 years' time. And that's what we are intersectin g with. That's what's informing the improvement in our order book. That's what's informing the improvement that we're seeing in our pipeline.
Moderator: Our next question comes from the line of Venkata Siva Ram, an Investor.
Venkata Siva Ram: So -- it's already answered actually. So how Tata Tech is seeing demerger of Tata Motors? And secondly, that the defense spending of our country is increasing. So, is there any scope of getting clients or projects in defense?
Warren Harris: So as far as the CV and PV split is concerned, you'll not be surprised to hear that we were very instrumental in enabling the 2 organizations to separate. We've been responsible at Tata Motors for a lot of their enterprise applications. And we did much of the work to enable both companies to stand alone and manage their operations independently.
The prospects for both CV and PV, as I've cited before, are strong. I think on the CV side of things, that will be reinforced by the impending acquisition of Iveco. And so, we are very excited about being able to partner with both Tata Motors CV and PV. So, the impact for us, we expect to be accretive and positive.
As far as defense is concerned, we expect to benefit from this in 2 ways. There will be opportunities, regional opportunities to

support the defense spending in India, in Europe and in the United States. And one of the things that differentiates Tata Technologies is that we are not an India -out company.
And so, we have a critical mass of capability locally in the countries that we serve, and that allows us to be compliant as far as defense programs are concerned. And so, as defense spending ramps, we expect to participate in that. But indirectly, the investment in defense is likely to take away capability, particularly from the commercial aerospace industry.
And the backfill opportunity that, that represents is another growth vector that we're excited about as far as the aerospace business is concerned. So we expect both a direct and an indirect impact to growth from the renewed commitment to defense spending around the world.
Moderator: We have the next question coming from the line of Sid from Wealth Aggregator.
Sid: I have 2 questions. One is, could you elaborate how is Tata Technologies position in industrial and factory robotics design? And what are your plans? And second one, what are the target revenues level over the medium term? And what is the current share of revenues from the aerospace?
Warren Harris: Could you repeat the first question?
Sid: Am I audible?
Warren Harris: You're audible, yes. Could you repeat the first question?

Sid: Yes, yes. What is the scope and expansion plan for industrial
automation and factory robotics design at Tata Tech? Actually,
automation moves towards advanced humanoid robots in
factory. Do you see any opportunities in humanoid robots?
Warren Harris: Okay. Got it. Thank you for clarifying that. As far as industrial
heavy machinery is concerned, there are 2 components to that

business for us. One is commercial vehicles, and the other is
off-highway products or off -road products. And as far as
commercial vehicles are concerned, there are 2 things that we
are very excited about.
I've just referenced the acquisition by Tata Motors CV of Iveco
and the support that we anticipate that we'll be able to provide
for the integration of those 2 organizations and the investment
that they will be making in pursuing synergies and new
products . We also have been selected and confirmed as a
strategic supplier to one large commercial vehicle group.
And that is an accreditation and an endorsement that will
provide significant demand in the coming years. And so
commercial truck -- the commercial truck sector provides
significant tailwinds. And again, the relationships with those 2
customers will go ve ry well for our prospects.
As far as aerospace is concerned, I've touched on some of the
tailwinds that we're expecting to continue to support us. One
is the strategic relationship with Airbus. Not only are we
enjoying accelerated growth at Airbus, but we're also now
looking to exp and into their supply chain. One of the

constraints to their ability to build aircraft is the manufacturing
throughput capability of their supply chain.
And the work that we've been doing with Airbus in digital and
in industrialization, we're starting to position for some of the
large suppliers for Airbus. But we also, as I've referenced
before, penetrated the propulsion sector in North America and
the in vestment in relationships and capabilities there is really
now starting to scale.
So again, we've been able to double our business in aerospace
off a relatively small base over the last 4 years. We expect that
to continue to grow. This year, aerospace will finish close to
about $40 million, and we expect the momentum that has
informed the rapid growth in that sector to continue.
Moderator: We have our next question coming from the line of Ankur Pant
from IIFL.
Ankur Pant: I have a question for Warren. Warren, I'm just trying to
understand the 10% plus kind of a growth for the next quarter,
trying to break it down across segments because I assume
that this product has grown at such a strong pace this quarter.
It could see a seasonal decline next quarter. And despite that,
we are guiding for 10% plus.
And we are also talking about gradual recovery. So, all of that, I
mean, I'm finding it difficult to wrap my head around it. So just
wanted to understand how are you seeing growth across
different segments for 4Q?

Warren Harris: Yes. And that's a great question. So, thank you for asking that.
We will likely see from a seasonal perspective, a plateauing to
a decline of products -- of product revenue in the fourth

quarter. But given the pause that we saw in education in Q3 and our expectations that -- that will bounce back, our Tech Solutions revenue will grow in the fourth quarter at an aggregate level.
So, we do not see any decline or any tapering of that particular business. As far as the services business is concerned, we have continued to build in Q2 and Q3, our order book. So, we've got the contribution of the deals that we have signed. We've also got the contribution, the full quarter contribution of the ES -Tec acquisition.
And so, we expect more than double -- more than 10% growth next year, and that will roughly be split between the organic growth that we are anticipating and the contribution that ES - Tec will make to our services mix.
Ankur Pant: Okay. Just a clarification there. So, the 10% for FY '27 is including ES -Tec, right?
Warren Harris: Well, the 10% that I referred to is Q4. And so, this is sequential growth. What we are committing to at this stage is double - digit growth for FY '27, but there's still work that we need to do to be able to confirm a business plan that will define

targets
for Q1, Q2, Q3 and Q4.
Ankur Pant: Okay. And again, I'm sorry for again coming back to the 10% sequential growth. Just trying to understand -- so how much was the impact of the cybersecurity incident from JLR this

quarter? And would there be, I mean, push -through of that revenue that is helping growth in the next quarter?
And is there kind of a lumpiness of ramp -up that is helping you next quarter? Because Technology Solutions from what I gathered from your commentary is not something which is going to drive growth in 4Q. It might see some growth. So the auto segment has to do the real heavy lifting.
Warren Harris: Yes. It's a fair question. And so, we don't disclose revenues of individual customers. And so, I'm not going to confirm the specific impact of the cybersecurity hit that JLR took in Q3.
But we saw the revenues that we were not able to build in October come back in November and December. And we expect those revenues to sustain in Q4.
So clearly, there will be a contribution for the catch -up that, that represents. But that is not a major part of the growth that we are anticipating in Q4. It's really being driven by the deal wins that we've secured and the growing momentum that is building within a broad base of customers.
Ankur Pant: Sure. Would it be fair to say that we are still in the early stages of this recovery?
Warren Harris: I think clearly, we're in the early stages of the industry recovery.
But I think one of the things, again, that informs our confidence and our willingness to share the guidance that we have today is the order book. We're very confident in the numbers that we've shared and the expectations that we've got for both top line and margin improvement.

Ankur Pant: And my final question is regarding the FY '27 double digit. Is that organic? Or is that inclusive of ES -Tec?
Warren Harris: That is organic.

Moderator: Your next question comes from the line of Karan Uppal from Phillip Capital India.
Karan Uppal: Just a broad question around the spending areas within the automotive ER&D. So, we are seeing huge write -offs by Ford and General Motors on their EV investments. So overall, how is the outlook on the electrification theme? And if electrification is not a key spending area of OEMs, what are the other key areas where they are spending big? And I'd also love to hear your thoughts on the SDV program?
Warren Harris: Yes. Great question. And I think that the answer to that question is geography specific. We have seen in North America, given the changes in government and by association regulation. We've seen the pendulum swing move from EVs back to internal combustion e ngines. And the investments that are being made by the Big 3 now are largely in conventional powertrain.
And the good news from a Tata Technologies perspective is that we're relatively agnostic in terms of propulsion choices. So, whether a customer is investing in EV, whether they're investing in plug -in hybrids, whether they're investing in ICE, we are in a position to provide support. I think Europe is somewhat mixed.

I think a couple of years ago, Europe was very much all in on EVs. And so specifically, the German OEMs were leading that particular change. I think we've seen some rebalancing of their product plans. But I think they very firmly believe in an all -electri c future, and that's continuing to inform where they're putting their investment dollars.
And I think in China, specifically, I think the horse has bolted. I think that, that market has already pivoted towards EVs, and I think you'll continue to see that momentum grow. I think here in India, EV penetration rates have been encouraged by the investments that -- or the incentives that the government has provided. And I think that, that is likely to continue.
I think the pr

oduct plan of both Tata Motors and Mahindra continues to prioritize the importance of electric vehicles. So, I think that that's the perspective in terms of the propulsion options that have been prioritized in different geographies. But I think one thing that is a constant is the commitment to SDVs regardless of the propulsion system, the investment in the intelligence that will inform the driver and the customer experience in the future. That is something that continues to be a prio rity for every single OEM.
And the growth that we've seen in embedded and in software is a testament to that. And so, we expect that to continue going forward. And that investment is not program specific. And so there is less volatility in terms of that business.
And our confidence in terms of not only growth, but stability in revenue is informed by the fact that our business in that area

is growing, and we're complementing that growth with acquisitions like ES -Tec.
Karan Uppal: Okay. Just the last question on FY '27 double -digit growth outlook. So that's completely organic is what you are saying?

Warren Harris: That is completely organic, yes.
Karan Uppal: Okay. And is there any contribution of ES -Tec will be above that?
Warren Harris: It will.
Moderator: Your next question comes from the line of Pankaj Agrawal, an Investor.
Pankaj Agrawal: My question is with respect to a few of the non -captive contracts such as Volvo or Airbus. Are these contracts for the fixed state of jobs for certain years or there is possibility of revenue ramp -up? And my second question is that do we have more such par tnership in plan for Q4 FY '26 or '27?
Warren Harris: If I understand the question correctly, the relationships with Volvo and Airbus are underpinned by strategic commitments that the customers -- both customers have made to us. Our participation in the EMES3 program in Airbus is a very exclusive endorsement that Airbus have given to 17 engineering services organizations that compete for $1 billion of outsourced spend every year.
We are relatively new to that program, but I think we've demonstrated our capabilities and credentials in the last 3 to 4 years. And because of that and also because of Airbus'

commitment to India, we expect the momentum and the growth rates that we have supported in the recent past to continue. Volvo has gone through a vendor consolidation exercise. They've now endorsed a number of strategic suppliers.
We were very fortunate and very gratified to be part of the strategic supplier list, and we've started to see improvement in growth rates as a result of that in the second half of the last calendar year. One of the things that I've mentioned in the narrative, and I've referenced and touched on in answering some of the questions is the importance now of the relationship we've got with Volkswagen. ES -Tec brings in a very sizable and strategic relationship with VW. VW is the largest ER&D spender in the automo tive sector.
And right now, ES -Tec is very focused on a single domain, which is SDV and embedded electronics. We have the opportunity to take our entire portfolio to Volkswagen. And many of the synergies that we're planning for the acquisition is being driven by the pl ans that we put together to harvest that. So we certainly expect these relationships to be an important part of the growth that we are planning for the company in the future.
Pankaj Agrawal: Okay. May I further ask in that, that by when we can -- or can we really expect, let's say, these kinds of projects to contribute more than 7%, 8% or 10% of entire revenue of Tata Technologies. I'm trying to understand that by what means and technology, we are able to derisk our dependency on Tata Motors and JLR. For example, if you talk anything about the

BMW relationship or any such more r

elationship which is there in plan in, let's say, Q4 or '27?
Warren Harris: Well, the one thing that I'm not in a position to do right now is provide you with any data about customers and our aspiration

or targets for those customers. But what I can say is that the relationships with customers like VW, like Volvo, like Airbus and as you referenced, BMW, those relationships are -- they represent a strategic commitment on both sides.
The relationship with BMW that has supported the investment that both sides have made in the joint venture that we have here in India is a commitment that was made at the top end of that company. And because now of the important connection that we've got a t the top of both organizations and by association, both groups, we are starting to win a number of direct deals.
So, we are expecting to complement the JV business that we do here in India with business in Munich and also business that we win in Munich and in other parts of the BMW Enterprise, North America and China specifically, we're expecting to deliver that not jus t from local teams, but also from teams here in India.
So the reason for citing that is just to give you some sort of complexion as to the strategic nature of these partnerships and the confidence that we have that they will continue to scale.
Moderator: Our next question comes from the line of Manik Taneja from Axis Capital.

Manik Taneja My apologies that I joined the call late. This was a question with regards to your expectations for a very strong performance in Q4. If you could help us understand how much of the strong rebound that you're expecting is driven by anchor customers? How muc h of it may be outside of that? That's question number one.
The second question was for Uttam. While we've done very well to defend our margins in the narrow range, we've seen some deterioration in our debtor days. How much of that essentially could be linked to the situation at Group Company? And how should we be thinking about this evolving over a period of time?
Warren Harris: So, I'll ask Uttam to answer that question, and then I'll -- pick up on the Q4 growth number.
Uttam Gujrati: So, on the debtor days' part, as we mentioned, some of the effects were temporary due to one -off issues which was there with the customers that we had. So, over a period of next 2 quarters, we anticipate that our debtor days would be closer to what we had in the first half of the year. So, it's a matter of a few quarters and most of the things should fall back in place.
Warren Harris: In terms of the mix of improvement that we are expecting in Q4, I'm not in a position to provide any specific information about any one customer. All that I can say is that it is broad - based. We certainly expect the impact that we saw at JLR to come back, and that will certainly contribute towards the growth that we are planning. But the growth is broad -based.

We are not expecting it to be concentrated in any one customer or in any one group.
Moderator: As there are no further questions, I'd now like to hand the conference over to Mr. Vijay Lohia for closing comments.
Vijay Lohia: Thank you all for joining us on today's call. We hope we've

addressed most of your questions. If you have any additional queries, please feel free to get in touch with the IR team, and we'll be glad to assist you. Wishing you all the best, and goodbye here from all of us. Thank you.

Moderator: Thank you, members of the management. On behalf of Tata Technologies, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

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May 8, 2026

Dear Sir / Madam,

Subject: Transcript of the conference call on audited financial results for the fourth quarter and financial year ended March 31, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call on audited financial results for the fourth quarter and financial year ended March 31, 2026, conducted after the meeting of the Board of Directors held on May 4, 2026.

The above information will be made available on the website of the Company: www.tatatechnologies.com .

This is for your information and records.

For Tata Technologies Limited

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Raghav Mulay
Company Secretary and Compliance Officer

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Trading symbol: TATATECH

"Tata Technologies Limited
Q4 FY'26 Earnings Conference Call"
May 04, 2026

MANAGEMENT: MR. WARREN HARRIS – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – TATA TECHNOLOGIES
MS. SUKANYA SADASIVAN – CHIEF TRANSFORMATION OFFICER – TATA TECHNOLOGIES
MR. UTTAM GUJRATI – CHIEF FINANCIAL OFFICER – TATA TECHNOLOGIES
MS. GEENA BINOY – CHIEF HUMAN RESOURCES OFFICER – TATA TECHNOLOGIES
MR. VIJAY LOHIA – HEAD INVESTOR RELATIONS – TATA TECHNOLOGIES

Moderator: Ladies and gentlemen, good day, and welcome to Tata

Technologies 4Q FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation conclud es. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone.
I now hand the conference over to Mr. Vijay Lohia, Head of Investor Relations at Tata Technologies. Thank you, and over to you, sir.

Vijay Lohia: Thank you, Sagar. Hello, everyone, and welcome to Tata Technologies Fourth Quarter of Fiscal Year 2026 Results Call. I'm Vijay Lohia, Head of Investor Relations. Joining me today are Mr. Warren Harris, CEO and Managing Director; Ms. Sukanya Sadasivan, Chi ef Transformation Officer; Mr. Uttam Gujrati, Chief Financial Officer; and Ms. Geena Binoy, Chief Human Resources Officer.
We'll begin today's session with an overview of the company's performance from our leadership team, followed by a Q&A. Any forward -looking statements made during this call should be considered in the context of the risks outlined in the second slide of our Quarterly Fact Sheet available on our website. Our press release and earnings presentations have been submitted to the stock exchanges and are also available on our website. We hope you've had a chance to review them. With that, let me now hand over the call to Warren.
Warren Harris: Good evening, everyone, and thank you for joining us today. Let me begin with the fourth quarter and what it represents for Tata Technologies.
In our previous interaction, we had guided that we expected Q4 to deliver more than 10% sequential revenue growth alongside an operating margin exceeding 16%. I'm pleased to say that we delivered on both of these commitments. Q4 revenues grew by nearly 12% quarter -on-quarter in constant currency, with Services showing a similar step -up and margins improved sequentially - reflecting operating discipline and t

he
early benefits of operating leverage as volume scaled.

This performance marks a clear inflection point for the business after a mixed first half , and importantly, the growth we saw in Q4 was broad -based rather than being driven by a single customer or program.
Automotive showed renewed momentum with non -anchor customers growing meaningfully faster, driven by increased activity across multiple European and global OEMs. Aerospace and Industrial Heavy machinery continued to scale, reinforcing the diversification we have been deliberately building over the last 2 years. Technology Solutions also delivered strong sequential growth as customers moved back from planning into e xecution.
At the same time, we exercised discipline on costs, resulting in margin improvement as we continue to invest in capabilities and capacity. As we've said consistently, we made a deliberate choice earlier in the cycle to protect our delivery engine and invest through the downturn rather than optimize for short -

term margins. As demand normalizes, those decisions are now beginning to translate in to healthier economics.
Beyond the quarterly numbers, I want to step back and talk about what has structurally changed in how customers are engaging with Tata Technologies.
Through much of FY25 and the first half of FY26, geopolitical uncertainty - and in particular the impact of tariffs and related trade actions - led many automotive and Industrial Heavy Machinery OEMs to pause, defer, or re -sequence product plans.

As a result, large system -level awards and Full Vehicle Programs were largely absent from the market during that period.
As that uncertainty began to ease in the second half of FY26, customer decision -making restarted and the shift has been meaningful. Today, we have visibility into multiple Full Vehicle Programs across our pipeline. Two of these were closed during Q3 and Q4, and we expect at least another 2 to close over the next 8 to 12 weeks . These are multi -year, multi -domain programs, typically extending 18 to 36 months with deal values in the tens of millions of dollars. These are not point solutions.
Importantly, we do not view a full vehicle program as a stand -alone revenue stream. We see them as a strategic wedge - an entry point that allows us to embed ourselves deeply into the customer's product life cycle. Once positioned at that level, we can expand systematically across engineering, embedded software, manufacturing, digital continuity, and ongoing transformation services over the life of the product.
What is driving this shift in customer behaviour is the credibility of our value proposition.
OEMs today are looking for partners who can deliver China -like speed and cost efficiency while meeting global quality, governance, and reliability standards. We are increasingly being recognized as one of the few players who can do this at scale. That capability is being enabled by a sustained commitment to process rigor and continuous improvement and by accelerating deployment of AI across our delivery model - including Generative and agentic AI - to improve

productivity, consistency, and predictability across complex programs.
For us, AI is not a concept or an experiment; it is becoming a core execution enabler - helping compress cycle times, improve quality, and run large multi -geography programs with greater confidence.
Taken together - our Q4 execution against guidance, the nature and scale of our full -vehicle programs we are now winning, and the visibility we see in the order book - reinforces our confidence in the outlook for FY27. We continue to expect double -digit organic top -line growth, excluding any inorganic contribution from ES -Tec, and we expect to exit FY27 with an operating margin run rate that exceeds 18%, driven by operating

leverage, portfolio mix improvement, and discip lined execution.

Let me now provide some colour on high -level performance.
In Q4, services revenue grew 12% quarter -on-quarter in constant currency, driving total revenue growth of 12.4% for the quarter.
Growth was broad -based across services , supported by deal ramp -ups, normalization at a few large customer engagements, and improving decision velocity across OEMs, particularly in Automotive, which grew 13.6% over Q3 in U.S. dollar terms, driven by solid performance across both anchor and non -anchor clients.
The Aerospace and Industrial Heavy Machinery verticals recorded 4.6% growth quarter -on-quarter, underpinned by successful execution of key projects across our service lines.

Our Technology Solutions business saw 12% sequential expansion. The Products business saw a decline of 10%, coming off a seasonally strong Q3 and reflecting the normal phasing of customer PLM budgets. The Education business, however, saw a strong finish to this year, delivering sequential growth of 36% on the back of improved demand traction and steady execution across programs.
From a profitability standpoint, our EBITDA margin for the quarter came in at 16%, representing a roughly 200 basis points improvement from Q3.
Let me now briefly touch on deal momentum. Deal activity remained strong during the quarter with the closure of 4 large deals in Q4, followed by 2 milestone wins subsequent to the quarter end in April. These deals include :

• A long-term strategic engagement with a North American commercial vehicle OEM to deliver end -to-end expertise across PLM, testing and quality assurance, MES, and project management;
• A collaboration with a European automotive OEM to design, develop, and integrate advanced comfort electronics features across multiple vehicle programs. The engagement spans Systems Engineering, Software Development, and Integration supporting the OEM in enhancing In -Vehicle User Experience while enabling scalable deployment across current and future platforms.
• We also won a partnership deal with a European automotive OEM to provide supplier quality and

coordination support, with a focus on strengthening supplier governance and quality execution.
• We also won a multi -year engagement with a Tier 1 automotive supplier to superscale, a global engineering centre that we had previously secured. This win positions us as a strategic long -term partner and, more importantly, serves as a strong accelerator fo r the upcoming pipeline.

In addition to the deals secured in Q4, we also secured 2 significant deal wins during April , further strengthening visibility for the year ahead.
The first one involves a large multi -year partnership with a European luxury automotive OEM to own their enterprise

PLM service transformation and operations across all their product domains, which includes engineering, manufacturing, supply chain, purchasing, and IDT.
The second one is a Full-Vehicle Program with a leading Japanese automotive OEM , marking our entry into the Japanese market at a meaningful scale and further strengthening our Asia footprint. This win reinforces our full - vehicle engineering credentials and validates our ability to partner with global OEMs on large, complex programs a cross geographies.
Collectively, these wins enhance geographic and customer diversification, improving revenue visibility, and support a more resilient growth trajectory. We finished FY26 strongly and as we enter FY27, what gives us confidence is that this momentum is already visible across the business.

• We are making tangible progress in diversifying our portfolio beyond our traditional anchor customers.
• We are strengthening our presence in Aerospace, Industrial Heavy Machinery, and newer lines of service .
• We are see

ing the benefits of earlier customer engagement, strong deal shaping, and a more consultative posture in the market.
At the same time, we're continuing our investment in AI, and it's beginning to change how work gets don e - improving speed, quality, and decision -making across the value chain.
Let me provide a little bit more colour on these facets :
Over the past 18 months, we've built a structurally more resilient and diversified business, anchored by a steadily improving mix and the addition of marquee global OEMs such as BMW, Volkswagen, and Airbus . As highlighted during our IPO, Germany was a strategic gap in our portfolio, and we've now firmly addressed this through the BMW joint venture and the ES -Tec acquisition. These initiatives, together with the addition of a large Japanese OEM in our customer mix last month, meaningfully broaden our global footprint, reduce reliance on anchor customers, and position us for more balanced growth over the medium -to-long term.
Our focus on Embedded Software and Services has improved our Portfolio mix, and we are now uniquely positioned to address the Mechanical, Digital, and Embedded requirements of our customers. Revenue from our Embedded Software segment has grown at a solid 60% CAGR in the last 3 years.

Our segment mix has continued to improve with the strengthening presence and strong growth across our Aerospace and IHM verticals. In the last 4 years, our Aerospace revenues have grown 8x and is now at over $40 million in terms of annual run rate. We expect the strong gr owth momentum to continue.
We've established clear focus areas to embed AI across the automotive NPI value -chain, spanning engineering, manufacturing, and supply chain and the aftermarket.
Underpinning these capabilities is our proprietary AI

platform, Chromosome AI, which acts as an orchestration layer across product development processes. By integrating AI seamlessly into each stage of the life cycle, the platform enables workflow automation, fast decision -making, and cross -functional collaboration across programs and geographies. Chromosome AI is designed to deliver tangible outcomes - improving engineering efficiency, reducing costs, and compressing product -development timelines - while providing a scalable foundation for sustained multi -year growth from digital and AI -led engineering services.
In summary, Q4 was not just a strong finish to the year - it represents a turning point. We enter FY27 with stronger momentum, deeper customer engagement, increasing strategic relevance, and a clearer path to the sustainable growth and margin expansion.
With that, let me hand over to Uttam to take you through the financial performance in more detail. Thank you.

Uttam Gujrati: Thank you, Warren. Good day, everyone, and thank you for taking the time to join us. In continuation to the business update shared by Warren, let me share with you the financial performance in the fourth quarter of fiscal '26.
FY26 was a year of transition and deliberate execution for Tata Technologies. Against a backdrop of uneven demand cycles across Automotive and Industrial sectors, we focused less on chasing short -term volatility and more on strengthening the quality, resilience, and sustainability of our revenue engine .
That discipline is clearly visible in how we closed the year.
In Q4, we delivered strong sequential momentum, marking a clear inflection after a softer first half. Services revenue grew 15% Q -o-Q and 11.9% in constant currency to INR 1,220 crores, driving total revenue growth of 15.1% reported and 12.4% in constant currency to INR 1,572 crores for the quarter. Notably, reported revenue growth exceeded the ~10% guidance we had shared last quarter. This performance reflects a full 3 -month contribution from ES -Tec compared with just 1 -month in the prior

quarter. On an or ganic basis, the total revenue from operations grew 8.8% in constant currency.
I am particularly encouraged by the quality of our revenue growth, which was diversified across our services portfolio, spanning both anchor and non -anchor clients as well as automotive and non -automotive segments.
Technology Solutions segment reported revenues of INR 353 crores for the quarter, led by a strong performance in the education business, which grew 40% Q -o-Q. This reflected a

strong close to the year, supported by improving demand momentum and consistent execution across key programs.
Stepping back to the full year, FY26 has been marked by a meaningful shift in the quality and composition of our deal pipeline. We focused on deepening client relationships, evolving our engagement models, and sharpening our positioning in areas where customer spend is structurally migrating, particularly embedded systems, software -defined

vehicles, and digital continuity.
As the year progressed, this repositioning translated into improved deal velocity and broader participation across our customer base, reducing dependence on any single program or account. The wins secured during FY26 reflect a more diversified and resilien t portfolio and position us well as customers transition from planning to execution.
Looking ahead, we remain confident in our outlook and continue to guide for double -digit organic revenue growth in FY27, alongside meaningful bottom -line expansion, supported by an improving margin profile and increasing contributions from the BMW Joint Ve nture.
From a profitability standpoint, our EBITDA stood at INR 252 crores, up 30.7% sequentially. EBITDA margins for the quarter came in at 16%, representing a roughly 200 -basis -point improvement from Q3. As a reminder, we had made a deliberate choice to preserve delivery capacity and continue investing through the cycle rather than optimize for short - term margins. Now, as the demand environment begins to rebound, we are increasingly seeing the benefits of that

decision flow through in the form of operating leverage and margin improvement, and we remain confident in the underlying trajectory for continued margin improvement as volumes scale through FY27.
Our Operating Profit or EBIT increased by 27.8% sequentially, reaching INR 220 crores.
Our joint venture with BMW has continued to grow at a healthy rate, our share of profits from the JV stood at INR 6.6 crores in the quarter, and the net benefit stood at INR 19 crores.
Other Income came in at INR 31 crores versus INR 32 crores in the previous quarter.
As you will recall, we had recorded a one -time exceptional expense of INR 140 crores in the previous quarter related to provisions for employee benefits following changes introduced under India's new Labor Law. Upon further assessment and greater clarity on implementation, we determined that the actual impact would be lower than initially estimated. Accordingly, we reversed provisions amounting to INR 56 crores in Q4, resulting in a one -time exceptional gain for the quarter. Excluding this non -recurring it em, profit before tax grew 21.6% sequentially to INR 272 crore, and net income came in at INR 163 crores.
Our Board has recommended a final dividend of INR 8.35 per share for FY26, representing a payout of 62%. In addition, the Board has proposed a special dividend of INR 3.35 per share, taking the total dividend for the year to INR 11.70 per share, in line with the dividend paid last year. Both the final and special

dividends are subject to shareholder approval at the forthcoming Annual General Meeting.
Our balance sheet reflects strong financial health with a solid cash position, robust liquidity, and a favourable DSO level. At the end of the quarter, the net cash positio

n stood at INR 1,188
crores compared to INR 524 crores at the end of Q3. Our

collection efficiency improved during the quarter with total DSO, both billed and unbilled, coming in at 95 days at the end of March, an improvement from the 111 days that we reported at the end of December. Our billed DSO improved from 69 days to 59 days, whil e the unbilled DSO were at 36 days compared with 43 days.
For the fiscal 2026, the business generated free cash flow of INR 742 crores, representing a healthy EBITDA -to-FCF conversion of 87%.
Let me now share with you some color on the operational metrics.
At the end of the quarter, our total headcount stood at 12,646 associates, representing a net addition of 66 employees sequentially. This reflects our deliberate decision earlier in the cycle to protect and strengthen our delivery engine and continue inves ting through the downturn rather than optimizing for short -term margins. As demand conditions continue to improve, we will remain selective and disciplined in our hiring, focusing on strategic areas aligned with our growth priorities.
Over the past 12 months, voluntary attrition increased marginally to 16.2% compared with 15.8% in the previous

quarter. This remains within a manageable range and reflects normal movement in a gradually improving and competitive talent environment. We continue to remain focused on employee engagement, career progression, and targeted retention initiatives and are confident in our ability to manage attrition effectively as we move into FY27.
We continue to place strong emphasis on building internal talent capabilities to meet the evolving needs of our workforce and create a sustainable pipeline of skilled professionals. During the last fiscal year, our in -house technical learning platform, TechVarsity , reached an important milestone, delivering more than 796 technical modules to over 11,000 unique employees, covering approximately 85% of our workforce.
To accelerate capability building in next -generation skills critical to our growth, we rolled out focused learning programs in areas such as Gen AI, Software -Defined Vehicles and Cybersecurity. I'm pleased to share that more than 50% of our engineering workforce is now AI -ready, positioning us well to drive innovation and deliver greater value as the technology landscape continues to evolve.
In conclusion, as we enter the new fiscal year, we do so with a stronger sense of momentum, underpinned by a solid finish to the year and improving visibility across our pipeline. We are seeing healthier customer engagement and a more constructive demand e nvironment, which gives us greater confidence as we look ahead. Our focus remains firmly on disciplined execution, staying close to our customers, driving

timely decision -making, and consistently converting opportunities into outcomes. At the same time, we remain committed to maintaining strong operational rigor and financial discipline, which we believe will continue to support

sustainable growth and margin expansion over the medium
term.
With that, we can open it up for Q&A.
Moderator: Thank you very much. Our first question comes from the line
of Chandramouli Muthiah from Goldman Sachs. Please go
ahead.
Chandramouli Muthiah: My first question is just around the Q -o-Q revenue
growth. I think last quarter, you had guided for 10% Q -o-Q
revenue growth, understanding was that half of that roughly
might be organic and the other half might be inorganic. I think
you mentioned in the prepared remarks that you've done close
to 8.8% Q -o-Q organic revenue growth.
I just want to understand the breakdown of the upside, how
durable it is? And just related to that, if you could share any
color on the JLR anchor customers and how recovery has been
for you in that account since the cyber issues and any build -
back h

elp th at you've been able to provide in addition to what
you normally do?
Warren Harris: Well, as we commented, the growth was relatively broad -
based. Against the 12%, 8% was organic, about 4% was from
ES-Tec. That was in line with the expectations that we had
when we completed the ES -Tec transaction in November and
certainly was part of the guidance that we provided in January.

Of the 8% organic growth, the improvement was relatively
broad -based across sectors and certainly between our
Anchor and Automotive customers. And we certainly saw JLR
return to the normal run rate that we had before the cyber -
attack. But we've also secure d new deals across both our
Anchor accounts and our automotive non -Tata Group
accounts.
And so, we've seen growth on the run rate that we were
maintaining before the cyber -attack in September and
October. So, to answer the question about sustainability, we
are very confident that what we established in Q4 represents
a platform from which we can go on and deliver the double -
digit organic growth that we previously committed to. And
that, of course, will be compl emented by the contribution that
will come in from ES -Tec.
Chandramouli Muthiah: My second question is just specifically on ES -Tec. So, I
think with European acquisitions, it takes some time to extract
synergies out of these transactions. So, I just want to
understand now that we are -- we've already sort of integrated
the asset, and it's been 6 to 7 months since we started the
whole process.
Just want to understand from what you've seen so far in the
company, where you see both revenue and cost synergies?
And what sort of timeframe you would expect to start
potentially extracting some of those synergies for the
combined business?
Warren Harris: The post -merger integration plans with ES -Tec are very much
on track. Both Uttam and I were in Wolfsburg a couple of weeks

ago to assess not only the cross -sell opportunity that we're
looking to drive at VW, but also to assess the synergies that

we've got within the Tata Technologies customer base.
I'm delighted to say that the business plan that they've committed to is very much being supported by our teams and their teams. And business has already been won, and we are looking to kind of build upon that.
So, as of right now, despite the announcements that are coming from some of the European OEMs, which could, in other circumstances, have somewhat of a headwind effect.
We're seeing the business plan being delivered in a way that's consistent with the plan that underpinned the acquisition in November. So, we're very much on track.
As far as the synergies are concerned, again, we're looking at that in 2 ways, our ability to be able to cross -sell into VW specifically and our ability to be able to extend our portfolio of services into our existing customer base. And we have demonstrate d tangible progress and have got proof points against both of those topics.
Chandramouli Muthiah: And just my last question is just related to one of the points you just made. So, over the past 4 to 5 months, we've seen fairly large EV project -specific write -downs at Stellantis, at Ford, at GM and in some ways even at Renault. But you did mention that you continue to deliver on some of your plans.
You are seeing an inflection in th e business.
And I think over the past 18 months, we've come to appreciate that there are other projects beyond top -tier EV spending that drove a lot of the industry's up cycle a few years back. So, if

you could just share some color on what the sort of powertrains you're seeing on some of these full vehicle wins?
And what are some of the other allied non -EV aspects of some of the automotive business that's giving you confidence on this being a turning p oint into FY27?
Warren Harris: Our view in terms of the

write -offs is that I don't think we
should be too distracted by the cleaning up of balance -sheets that are going on in Europe and in North America. I think the more telling trend is the fact that most of the non -Chinese OEMs, duri ng the period of uncertainty and during the period when many of those organizations were grappling with the impact of tariffs, new products were not getting invested in.
And I think we've seen that kind of latent demand to invest in new products build. And over the second half of last fiscal year, we're seeing some of those decisions being discharged. Now the portfolio of propulsion systems is much more balanced today than it was, say, 2 years ago when everybody was all in on EVs.
But the good news for Tata Technologies is that our customers are investing, and we're relatively agnostic in terms of propulsion system. So, whether it's a traditional ICE vehicle, whether it's a plug -in hybrid, whether it's a range -extender, or whether it's a full battery electric vehicle, we're engaging with our customers in all of those areas. And again, the good news is that the customers are making decisions.
And I'll reinforce the importance of the full vehicle program that we've won with the Japanese OEM. Now the Japanese OEMs - they have very, very high standards and their

expectations for all partners are very, very high. So, the fact
that we've been entrusted to where to take on the
responsibility for a full vehicle program that includes a top hat
and adjustments that we need to make to an existing platform,
I think is proof positive that our value proposition is resonating
across the market.
And I think this is one of the reasons that we have been so
bullish, not just about the last 6 months, but about the
prospects that this represents for the coming fiscal year. We
believe because of our value proposition, we have a seat at the
table with ou r customers. We're influencing decision -making,
and we're intersecting with decisions before that cascade
down to the extended supply chain.
Moderator: Thank you. Our next question comes from the line of Bhavik
Mehta from JPMorgan. Please go ahead.
Bhavik Mehta: So, my first question is around -- just curious to know how the
client conversations have evolved over the past couple of
months since the Middle East crisis. There have been concerns
around supply disruption for the Auto OEMs, right? So how are
clients thinking in this environment? Are they still willing to
continue with the R&D spend? Or is there some pause they are
thinking about given the current situation?
Warren Harris: Yes, that's a great question. I think one of the things that is not
being talked about as far as the Middle East is concerned is
the likely impact that what's going on there is going to have on
commodity supply chains and particularly the supply of
aluminium and plastics.

And I think that is likely to impact pricing for our customers,
and it's likely to impact supply and their ability to be able to
build. And so, I fully expect discretionary spend amongst our
customers to tighten if the Middle East crisis continues to
extend. Now having said that, I don't expect that to impact
capex or indeed the commitments that are being made to new
products.
As I said before, most of our customers, whilst they've been
grappling with the impact of tariffs, have been pausing and
delaying decision -making and, in some cases, programs. That
demand and need to invest in what will define their
competitive position i n the future is really defining the type of
conversations that we're having with our customers.
And again, we've modelled the impact of the Middle East. We
think we factored it into our guidance, and we're fully confident
that the indirect impact of what's going on there will not
undermine or, in any way, challenge the double -digit
expectation

s that we have for this year.
Bhavik Mehta: Okay, got it. And second question is on the BMW JV. If I look at
the share of profit from that JV was increasing every quarter.
But this time, we have seen a blip, it's come down from INR7
crores to INR6.5 crores. So any particular reason for that? And
how should we think about it going forward?
Uttam Gujrati: Yes, sure. So, our growth in the BMW JV continues to expand,
as we have said. This was more of a 1 quarter phenomenon,
whereas in quarter 4, there was certain true -up of the whole
year expenses. So, it's an anomaly. I would not guide to any
degrowth that we see in the margins or the share of profit from

there. So, we continue to be bullish about the way our contributions with BMW JV would grow.

Warren Harris: And just to reinforce that, the headcount and the revenue from the JV continues to point in a very positive direction as far as growth is concerned. So, to Uttam's point, we fully expect after the 1 quarter impact of the true -up, we expect to get back to the run -rate that we were previously at before that.

Bhavik Mehta: Okay. And just lastly on the margins, can you explain the bridge to go from 16% EBITDA currently to 18% over the next 4 quarters? Obviously, operating leverage will be one of the big levers. But outside of that, in terms of SG&A or in terms of gross margi ns, anything you would expect?

Uttam Gujrati: So, Warren, let me take that up. Largely, the operating -margin improvement in the year will be driven first by the robust growth that we expect in our Services business. As already outlined, we retained some of the capacity, and we have been investing in grow ing the talent, which will support towards the new business that we anticipate to win and close in this year. So therefore, volumes are something that we will continue to drive. Over and above that, our standard levers around offshore, the mix improvement, the pyramid will continue to support the efficiency that volumes will bring to us. So clearly, while the rout ine operating levers are in place, but volume growth together with them will help us drive coming back to an exit of 18% by the time we end the year.

Warren Harris: I think the other thing that I would reinforce is the growing impact of AI. We are deploying AI across all of our delivery LOBs and across the enabling functions and have fairly

aggressive targets in terms of the unit -cost of delivery in each of those areas. And as part of our margin walk over the next 12 months, that's very much factored in.

Moderator: Thank you. Our next question comes from Karan Uppal from Phillip Capital India. Please go ahead.

Karan Uppal: Congrats on a good set of numbers. Warren, first question is for you. You mentioned about four multi -year deals which you have won and two are also in the pipeline. So, is there any geographic trend to it? Is it that North American OEMs are spending more than European OEMs? You also mentioned about Japanese OEMs management.

So, any particular trend to highlight in North America versus EU OEMs, how they are thinking about that trend? And second question is in terms of European OEMs, offshoring was a major part of their spend, which was benefiting most of the Indian ER&D vendors. So, is that trend accelerating now? Yes, that's the second question.

Warren Harris: Okay. In terms of the large deals that I celebrated, I think the good news for us is that, again, it's broad -based. And that is not just sectorial , that is not just from a client perspective, it's also from a geography perspective. One of the PLM deals was in the United States, the other was in Europe. We've celebrated the Full -Vehicle deal in Japan, and we are developing traction across, I think, a lmost every country that we have a presence at the moment.

One of the things that we shared with our Board today

was the

improvement that we're almost seeing in every geography. And so, for us, that's very encouraging, and it's something that we expect to continue. We've factored that into our budget for this year. And certainly, the forecast that we have for the first half of the year is very much consistent with that.

As far as European OEMs are concerned, and I'll specifically point to Germany, I think one of the things that we are seeing as somewhat of a macro -trend is that the German OEMs have traditionally surrounded themselves with local engineering and IT-service providers and have been somewhat reticent to embrace the contribution from organizations like ourselves that have a significant presence here in India. And we're certainly seeing that change.

I think the announcement that we made 18 months ago with BMW is very much a signal to everybody else. And so, we are in advanced discussions with a number of OEMs and also Tier 1s in the German -market about helping them diversify and balance their topology of delivery to include a significant presence here in India.

So that macro -trend is something that is tangible and something that we are building a response to. And I think, again, given the proof points that we've got in and around engagements like the BMW Joint Venture, we have a very strong story to tell as far a s that is concerned.

Karan Uppal: Okay. Another question was on the Aero business. You mentioned that Aero business is now at $40 million annualized run-rate. Could you also mention about the segments which we are contributing to this? And what's the outlook for FY27? And a related questi on is that would Airbus have a lion's share in this $40 million run -rate? Or is it broad -based?

Warren Harris: I think if we look at where it's coming from, Airbus is certainly a flagship account for us as far as the Aerospace business is concerned. But we're also working with the propulsion and engine manufacturers in North America, and we have a strong and growi ng relationship here in India with Air India as it builds its MRO footprint out in Bangalore and as it looks to increase the number of aircraft that it's got that is flightworthy.

And so, the Aerospace business is certainly being propelled by our involvement in the EMES3 program at Airbus. But we've leveraged that endorsement and the tailwinds from the influence that the Group is now starting to drive into Aerospace to grow our business in a relatively balanced way. There are pockets of opportunity that we expect to further pursue in the ne xt couple of years.

But I'm very, very pleased with the consistent growth and the improvement in capability that we've been driving for the last 4 years. And in the same way that I'm bullish about the entire organization. I'm super excited about what we're doing in Aerospace.

Karan Uppal: Okay. Just the last question on the guidance of double -digit growth -- organic growth for next year. So, is it going to be double digits across both non -Anchor as well as Anchor clients within Automotive?

Warren Harris: Yes, it is growth that we expect to drive both inside of the Group and outside of the Group. I think one of the things that I think we shared with you about 12 months ago was the work that we've done to really reinforce the commitment that we're

making to our strategic customers. And our top 20 customers now make up almost 88% of our business.
And what we're seeing through the investments that we've made and with the type of business that we are securing is real influence at the C -suite level. And that manifests itself in terms of some of the large outsourcing projects that we've referred to, pa rticularly full vehicle. But because of the nature of decision -making around those things, it affords us influence across the entire requirement of the manufacturing cu

stomers
that we are working with.
And so, our confidence in double -digit growth is really informed by the knowledge of things like cycle plans, the knowledge of priorities, and the influence that we are extending in terms of the decision -making that's going on within those accounts.
Moderator: Thank you. The next question comes from the line of Puneet Lineswala from Winvestments. Please go ahead.
Puneet Lineswala: Yes. Hi, Warren. it's Puneet here. First of all, great numbers, good hats off to all the team. And my question is that in the past 1 - 1.5 years, there's been a lot of turbulence in the journey, like with the trade deal, with the war situation with the supply - chain issues globally, like there are a lot of global factors that have been affecting.
But moving ahead, how much time do you see that like we could navigate through all this in a very smooth way and move ahead to a clear growth without any turbulence ahead? Or like do you find a little more time required? Or is it like things are pretty muc h gone and done?

Warren Harris: It's a great question, Puneet. And I was in Beijing at the Auto Show 10 days ago. And the innovation and the speed at which the Chinese OEMs are operating is remarkable. And I think that is driving a lot of competitive concerns in Europe and in North Amer ica. And so clearly, we will all need to be sensitive and cognizant to the geopolitical situation and the impact that has on various economies and consumer demand.
But I'll remind everybody that our business is a business that invests today for the competitive position that will define the organizations that we work with in 3 and 4 years' time. And I think the fact that our customers have not been investing in the r ecent past because of what's gone on, particularly with tariffs, I think there's a catch -up that the Europeans and the North American OEMs are going to have to undertake.
And I think that is informing the type of discussions that we are having. So, we will be very mindful of what is going on in different parts of the world. We'll certainly be sensitive to any regulation change. But our view, and I think increasingly, this is the view of our customers, is that they have to invest in order to be able to resist the competition that is absolutely going to come from the Chinese.
And so, we are involved in the Chinese market. We have an understanding of what's going on there. We're working with Chinese companies. We think we're ideally positioned to be

able to support our customers in Europe and in North America
and in Japan to resist the competition that clearly will come
from Japanese OEMs and their associated supply chains.

Puneet Lineswala: Thank you. Thank you for replying to that in such a good
detail. And it gives more clarity on the path ahead. And I think
I'm done. That was my last question. Thank you.
Moderator: Thank you. The next question comes from the line of Sameer
Pardikar from Elara Capital. Please go ahead.
Sameer Pardikar: Congrats for a good set of numbers. Can you tell us about the
ES-Tec contribution for FY26 in terms of dollar?
Warren Harris: You want to take that?
Uttam Gujrati: So, ES -Tec contribution in quarter 4 has been about $9 million.
And in previous month, it was 1/3. So roughly $11 million to $12
million has been the contribution from ES -Tec.
Sameer Pardikar: And when you are referring to the target for FY27 as a double -
digit, are you referring to dollar revenue or a constant currency
or INR? Which way we have to look at it?
Warren Harris: Constant currency.
Moderator: Thank you. The next question comes from the line of Satish
from FMA Services. Please go ahead.
Satish: First of all, congratulations on a strong setup number. My
question is, are there any plans by the Board to start new
business verticals in the high sector growth against h

ybrid
sector?
Warren Harris: Yes. This is a topic that we revisit in all of our strategy
discussions. And the consistent response that we've had to
the challenges that we presented to ourselves is that there's
more than enough headroom in Automotive, Industrial Heavy
Machinery, and A erospace for us to satisfy our growth
aspirations.

And so, in the short -term, we are going to stay very focused,
laser -sharp in terms of our focus upon those industry verticals.
Somewhat counterintuitively, the more focus that we can be,
the more relevant that we can be to our customers, the faster
we think that we can grow and achieve the type of influence
over the market that we have the ambition to achieve. And for
us right now, we're not looking to diversify into other industry
verticals.
Satish: Okay. And my second question, historically, there was a vision
to reach $1 billion revenue during the Ramadorai period. What
is the realistic timeline now to achieve $1 billion in revenue?
Warren Harris: Our North Star from a revenue perspective has been $1 billion,
and it continues to be that. I think we are looking to get back
to double -digit revenue growth this year. If we can do that and
we can sustain that next year, we can complement that with 1
or 2 inorganic transactions. I think within the next 2 to 3 years,
we have the opportunity to get to where we need to get to.
And so that's the North Star for us, and that's what we're
looking to achieve.
Satish: Okay. And can we expect the sustainability of this
performance moving into the financial year '27, this growth?
Uttam Gujrati: I think that is what Warren outlined. We are looking at a double -
digit constant -currency growth as we move into the next

financial year.
Moderator: Thank you. The next question comes from the line of Ankur Pant from IIFL. Please go ahead.
Ankur Pant: Congrats on a good set of numbers. I have just one question. In terms of the double -digit growth that you're targeting,

organic growth that you're targeting next year, how do you see it timing through the year in terms of the cadence that we expect? Would it be more of a 2H phenomena that you would see a pickup in growth? Or how would -- how are you looking at the entire ye ar?
Warren Harris: I think we're looking at consistency across the quarters. But I will say that we have had a very strong signings period. We expect, as I signalled before, to close more deals in the next 4 to 6 weeks. And so, I think it's likely that the second half of the year will grow faster than the first half of the year. But we expect consistency across all 4 quarters. And so, the confidence that we have is very much based on that.
Ankur Pant: And just one follow -up on that. What kind of demand environment are you baking in for that growth? Are you also expecting some improvement or recovery in the demand environment? Or a status quo in terms of that?
Warren Harris: Now the guidance that we've provided is very much driven by the order book that we have and the probability -adjusted pipeline that includes deals that we are very much in the process of trying to close. So, it's not factoring in any improvement to the demand environment that will be required to deliver against those numbers.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Vijay Lohia: Thank you, everyone, for joining us on today's call. We hope we've addressed most of your questions. If you have any additional questions, please feel free to reach out to the

Investor Relations team, and we'll be happy to assist you.
Wishing all of you all the best, and goodbye here from all of us.
Thank you.
Moderator: Thank you. On behalf of Tata Technologies Limited, that concludes this confere

nce. Thank you, everyone, for joining us,
and you may now disconnect your lines.

Call: Jul 2026

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July 21 , 2026

Dear Sir / Madam,

Subject : Transcript of the earnings conference call on financial results for the quarter ended June 30, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call on financial results for the quarter ended June 30, 2026 , conducted after the meeting of the Board of Directors held on July 17 , 2026 .
The above information will be made available on the website of the Company : www.tatatechnologies.com .

This is for your information and records.
For Tata Technologies Limited

____
Raghav Mulay
Company Secretary and Compliance Officer

Encl: A s above BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400001, India
Scrip Code: 544028 National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
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Trading symbol: TATATECH

“Tata Technologies Limited
Q1 FY'27 Earnings Conference Call”
July 17, 2026

MANAGEMENT: MR. WARREN HARRIS – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – TATA TECHNOLOGIES
MS. SUKANYA SADASIVAN – CHIEF TRANSFORMATION OFFICER – TATA TECHNOLOGIES
MR. UTTAM GUJRATI – CHIEF FINANCIAL OFFICER – TATA TECHNOLOGIES
MR. PRATEEK RAMPURIA – MANAGER – INVE STOR RELATIONS – TATA TECHNOLOGIES

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Technologies 1Q FY27 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during

the conference call, please signal an operator by pressing star
then zero on your touchtone phone.
I now hand the conference over to Mr. Prateek Rampuria,
Manager, Investor Relations at Tata Technologies. Thank you,
and over to you, sir.
Prateek Rampuria: Hello, everyone, and a warm welcome to Tata Technologies Q1
FY27 Earnings Conference Call. I'm Prateek Rampuria, Manager,
Investor Relations at Tata Technologies. Joining us today from

the management team are Mr. Warren Harris, Chief Executive
Officer and Managing Director; Ms. Sukanya Sadasivan, Chief
Transformation Officer; and Mr. Uttam Gujrati, Chief Financial
Officer.
We will begin today's call with opening remarks from the
management team, covering the company's performance for
the quarter and key business highlights followed by a Q&A
session. Before we proceed, I would like to remind everyone
that certain statements m ade during today's call may be
forward -looking in nature.
These statements should be viewed in conjunction with the
risks and uncertainties outlined in Slide 2 of our quarterly fact
sheet, which is available on our website. Our press release,
financial results and investor presentation have been
submitted to the stock exchanges and are also available on the
Investor Relations section of our website,
www.tatatechnologies.com. We trust you've had an
opportunity to review them.
With that, I now invite Warren to share his opening remarks.
Over to you, Warren.
Warren Harris: Thank you. Good evening, everyone, and thank you for joining
us today.
As we begin FY27, I want to be very clear about the way we see
the year ahead. FY26 was a year of transition and investment
for Tata Technologies. FY27 is poised to be a breakout year.
That confidence is not ba

sed on aspiration alone. It is based
on the quality of the demand we are seeing, the strength of our
order book, the momentum in large -deal conversion, the

visibility we now have across our pipeline, and the operating
discipline we are bringing to margin expansion and
productivity improvement.
The first quarter reinforces that view.
For Q1 FY27, total revenue was $175.4 million , representing
growth of 4.3% quarter -on-quarter and 25.2% year -on-year
in constant currency . Services revenue was $136.6 million , up
4.3% quarter -on-quarter and 24.4% year -on-year in
constant currency , while Technology Solutions revenue was
$38.8 million , growing 4.2% quarter -on-quarter and 27.9%
year -on-year in constant currency. Services remains the
core engine of our business, representing approximately 78%
of total revenue.
Our operating EBITDA was approximately $28 million,
translating into an EBITDA margin of 16.1%, an increase of 10
basis points sequentially. Margin performance during the
quarter reflected a combination of business mix and the

deliberate upfront investment s required to support the ramp - up of several large strategic wins.
The external environment remains dynamic. Customers continue to be selective in how they allocate engineering budgets, particularly across the global automotive value chain. But that selectivity is increasingly working in our favour . Customers are prioritizing programs that accelerate product launches, improve efficiency, reduce cost, strengthen software capability and support the transition to intelligent, connected software -defined products. That is precisely where Tata

Technologies has been investing and where our capabilities are becoming more relevant.
Over the last 2 years, we have deliberately built a more resilient, diversified and future -ready Tata Technologies. We have strengthened our customer portfolio, expanded our global footprint, deepened our capabilities in high -growth technology areas and p ositioned the company closer to where long-term engineering and manufacturing transformation spend is moving.
The quality of that growth is equally important.
Automotive remains our largest vertical, but the business is becoming healthier and more diversified. Automotive non - anchor revenue reached $43.9 million , growing 6.7% quarter - on-quarter and 56.3% year -on-year , reflecting continued progress in reducing customer concentration and expanding our presence across global OEM.
Beyond automotive, we continue to see encouraging momentum in our diversification strategy. Aerospace revenue grew to approximately $10.2 million, up 6.4% quarter -on-quarter and 38.1% year -on-year, while IHM revenue reached approximately $15 million . Together, Aerospace and IHM are becoming increasingly meaningful contributors to growth and provide additional evidence that our diversification strategy is delivering results.
We're also seeing encouraging geographic momentum. Europe has become an increasingly important growth engine for the business, supported by the successful integration of Es -Tec and our growing presence across the region. Q1 revenue from

Europe reached approximately $67.9 million , representing growth of 10.1% quarter -on-quarter and reinforcing our belief that the region will remain a significant contributor to future expansion.
Germany continues to strengthen from a strategic white space to one of our most important growth markets.
Specifically, BMW TechWorks continues to scale successfully and has now crossed the milestone of 2,000 engineers. While BMW TechWorks is not consolidated into Tata Technologies revenue, it remains an important strategic relationship that strengthens our software -led engineering credentials, enhances our access to next -generation mobility programs and reinforces our position as a tru

sted partner to one of the world's leading automotive manufacturers.
Let me now turn to deal momentum.

During the quarter, we continued to see strong traction in large strategic deal pursuits, reflecting customers' increasing willingness to entrust Tata Technologies with business -critical transformation initiatives. The most significant win was our $100 million strategic engagement with Tenneco , which expands our relationship beyond traditional engineering services into a multiyear transformation program spanning engineering, digital technologies, AI -enabled processes and operational modernization.

We also secured a strategic engagement with a leading North American industrial equipment manufacturer, expanding our role across systems engineering, software engineering and embedded software development. The program will leverage

AI-enabled engineering methodologies to improve development productivity, accelerate product realization and reduce time to market.

In automotive, we deepened our relationship with a leading global OEM through a Range Extender Vehicle program that draws upon our capabilities across vehicle engineering, powertrain integration, validation and systems development.

In addition, we were sel ected as a preferred engineering partner by a leading off -highway manufacturer to support both their new product development and total cost of ownership optimization initiatives.

In addition to these new wins, we continue to make strong progress on the strategically significant full vehicle development program with a leading Japanese automotive OEM that we discussed during our previous earnings call. What makes this engagement part icularly noteworthy is not simply its scale, but what it represents. As many of you will appreciate, Japanese OEMs have historically been highly selective in their choice of engineering partners, particularly for programs of this strategic importance to be entrusted with the complete development of a vehicle program by a customer with whom we had no prior relationship in this space is a remarkable achievement and, in our view, a powerful validation of the capabilities, credibility and value proposition that Tata Technologies has built over many years.

This engagement reflects the growing confidence customers place in our ability to deliver end -to-end product engineering solutions across the entire vehicle lifecycle. It also

demonstrates that our investments in vehicle engineering, software -defined vehicles, systems engineering, validation, manufacturing engineering and global delivery capability are enabling us to compete for and win some of the most strategic programs in the industry.

Collectively, these wins reinforce a clear trend. Customers are increasingly engaged in Tata Technologies on larger multiyear programs that combine engineering, software, AI and digital transformation capabilities to accelerate innovation while improving e fficiency and competitiveness.

This is why our guidance for FY27 should be viewed with confidence. Based on our current visibility, we continue to expect strong double -digit organic revenue growth for FY27

with services as the primary growth engine and margin
expansion supported by scale, utilization, delivery
productivity, AI -led efficiency and discipl ined cost
management.
AI remains a central pillar of this confidence.
Our AI strategy is built around 4 priorities: transforming service
delivery, building differentiated offerings, strengthening AI
partnerships and delivering AI -ready talent. We are anchoring
this strategy on enterprise -wide adoption with trust and
responsi ble AI built in from the start.
Through chromosome.ai, we are codifying decades of
engineering knowledge into repeatable frameworks,
accelerators and solutions that improve productivity, quality,
scalability and delivery speed. We se

e AI as both a margin lever

and as a strategic differentiator, helping our clients engineer
better products faster and more efficiently.
Talent is the other half of this equation. Through TechVarsity,
our internal university, we have delivered over 9,000 learning
hours across GenAI, software -defined vehicles and
cybersecurity this quarter, strengthening capabilities of over
2,000 employees.
Customer recognition during the quarter has also reinforced
the progress we are making. Tata Technologies was honored
with JLR's Visionary Supplier Award in June 2026, recognizing
our role in supporting JLR's enterprise and manufacturing
transformation journey across multiple initiatives and
programs.
In summary, Q1 FY27 confirms that Tata Technologies is
entering the year with real momentum.
We have stronger visibility on growth. We've delivered 25.2%
year -on-year revenue growth in Q1, while continuing to
improve the quality of our portfolio through diversification,
large deal conversion, strategic customer wins and expanded
software and AI -led capabilities.
We are scaling in priority areas through initiatives such as Es -
Tec. We are improving diversification through continued
growth in automotive non -anchor accounts, Aerospace and
IHM while reducing our dependence on any single customer,
geography or end marke t. We are investing in AI as both the
delivery productivity lever and a differentiated customer
proposition, and we are translating this growth into margin

expansion through productivity, utilization, operating
discipline and scale.
With that, let me hand it over to Uttam to take you through the
financial performance in more detail. Thank you.
Uttam Gujrati: Thank you, Warren, and good day. Thank you for joining us all.
Building on the business update shared by Warren, I will now
walk you through our financial performance for the first quarter
of FY27 and discuss the key drivers underpinning our results.
I am pleased to note that the growth momentum we had
established in the second half of FY26 has continued in Q1 with
Services segment growing 6.3% Q -o-Q in INRand 4.3% in
constant currency to INR 1,297 crores.

The Technology Solutions segment saw sequential revenue growth of 4.3%, led by our education business, which saw 9. 1% growth, while the product business saw a degrowth of 2.6%, primarily due to seasonality as it typically experiences strong demand in the final quarter of the calendar year.
As a result, aggregate revenues increased 5.9% Q -o-Q in INR and 4.3% in constant currency to INR 1,665 crores.
I'm particularly pleased with the quality of our revenue growth this quarter, which once again underscores the diversified and resilient nature of our business mix. While Warren touched upon some of these trends, let me add a few data points that further h ighlight the strength and balance of our portfolio.
Within automotive, our non -anchor business continued to grow at a healthy pace, reflecting our success in broadening customer relationships and diversifying revenue streams.

Resultantly, the contribution from anchor accounts to our services revenue reduced to 48.9% in Q1, an improvement of 150 basis points sequentially. This continued diversification enhances the resilience of our revenue profile, while creating a broader base for future growth.
We also saw encouraging momentum in our embedded and software business, which grew 8.5% Q -o-Q in dollar terms. The strong growth in embedded and software not only reflects the increasing software content in vehicles, but also positions us well to capitalize on the long -term industry shift towards connected, autonomous and software -defined mobility solutions.
We maintained strong operating discipline during the quarter with operating expenses increasing 5.8%, slightly below revenue growth of 5.

9%. Resultantly, EBITDA grew 6.1%
sequentially to INR267 crores, while EBITDA margin improved 10 basis points Q -o-Q to 16.1%.
Margin performance during the quarter reflected a combination of business mix and strategic investments to support future growth. Our services business delivered a healthy 120 basis points improvement in gross margins, which was partly offset by 250 basis points decline in Technology Solutions margins, resulting in an unfavourable mix impact.
In addition, several large strategic engagements and full vehicle programs entered the mobilization phase during Q1, requiring upfront investments in talent, ramp -up, capability development, transition activities and delivery readiness ahead of revenues re aching steady state levels. While these

investments created some near -term margin dilution, they are critical to successfully scaling these multiyear programs and capturing the growth opportunity ahead.
We are also navigating some temporary headwinds within parts of our Germany business as certain customers work through restructuring and cost optimization initiatives. As we implement annual wage increase in Q2, we expect to absorb the associated cost impa ct, while still delivering sequential margin improvement through operational discipline and execution. While these factors may moderate the pace of

margin expansion in near term, they do not alter our confidence in long -term opportunity.
Overall, our confidence in the growth outlook has strengthened materially. As we move to FY27, we will continue to balance investments required to capture this opportunity with our commitment to margin improvement. We remain confident that prioritizing hig h-value turnkey and end -to-end engineering engagements today will create greater long -term value, while supporting our medium -term margin ambitions.
Our operating profit or EBIT increased by 8.3% sequentially, reaching to INR 239 crores.
Our partnership with BMW continues to scale well. BMW TechWorks has now crossed a key milestone of 2,000 engineers and continues to strengthen our credentials in software -led automotive engineering, while expanding our participation in next -generation mobi lity programs.

In Q1, our share of profit from the joint venture increased 43.5% Q-o-Q to INR 9.5 crores, and the total contribution stood at INR 17.8 crores, including the deferred income of INR8.3 crores.
Other income increased 19.3% Q -o-Q to INR 36.9 crores, driven largely by a profit on sale of investments.
Profit before tax for the quarter was INR 252 crores compared to INR 283 crores in the previous quarter. It is important to note that Q4 included a onetime reversal of the provision related to the new Labour Code. Excluding this nonrecurring benefit, our underlying profitability improved meaningfully with PBT increasing 10. 8% Q -o-Q and PAT growing 11.3% sequentially to INR 181 crores.
Maintaining a strong balance sheet with robust liquidity is a key focus for us. At the end of Q1, the net cash position stood at INR 880 crores, while the DSO remained stable at 97 days, reflecting healthy collection efficiency. Our billed DSO came in at 65 days compared with 59 days in Q4, while the unbilled DSO were at 32 days compared with 36 days in Q4.
Moving on to the operational metrics, the highlights are as follows:
Our total headcount stood at 12,579 associates at the end of Q1, representing a net reduction of 67 employees or 0.5% sequentially . This primarily reflects a continued optimization of our delivery capacity with a balanced approach towards managing the mix between full -time employees and outsourced resources. As demand conditions continue to improve and deal momentum strengthens, we r emain disciplined and selective in our hiring, focusing investments on

strategic skill areas and growth p

riorities. This approach
enables us to align talent deployment with client demand while maintaining operational efficiency and supporting future growth.
Our talent metrics continue to remain healthy with trailing 12 months voluntary attrition declining to 16%, an improvement of 20 basis points year -over -year. This reflects the strength of our employee value proposition, investments in learning, career development and our efforts to provide employees

with opportunities to work on leading -edge engineering and digital transformation programs. We remain focused on attracting, developing and retaining high -quality talent as we prepare for our next phase of growth.
Building a future -ready workforce remains central to our strategy as we scale in high -growth areas such as embedded software, software -defined vehicles, cybersecurity, digital engineering and AI -led engineering services. Our learning ecosystem continued to gain traction with over 20,000 training hours delivered to 3,000 -plus employees this quarter. TechVarsity continues to be an important enabler of this capacity building journey, having conducted 90 -plus programs, including focused technical learning across 40 -plus niche skills areas.
In summary, as we look ahead, we remain encouraged by the healthier customer engagement levels we are seeing across our key markets and by a constructive demand environment that continues to support strategic investments in engineering, digital transformat ion and next -generation

mobility. While we remain mindful of the evolving macroeconomic backdrop, our focus remains firmly on disciplined execution, operational excellence and prudent capital allocation. These priorities, together with our diversified business mix and resilient margins, position us well to capture emerging opportunities and continuing to invest in capabilities that strengthen our long -term competitiveness. Above all, our commitment remains unchanged to create a sustainable value for all our stakeholders, including customers, employees, shareholders and partners through consistent execution and profitable growth.
Thank you, and we can now open the floor for questions.
Moderator Our first question comes from the line of Jyoti Singh with Haitong. Please go ahead.
Jyoti Singh: Thank you for the opportunity and congratulations on the good execution and also on the Tenneco deal. So, sir, largely, I wanted to understand that you reiterated double -digit organic growth for '27 after delivering a very strong number in Q1. So, does this imply some moderation in H2 or has the visibility actually improved further since the beginning of the quarter?
Warren Harris: Thanks for that question, Jyoti. I think , when we began the fiscal year, we referenced double digits, our expectations for double -digit growth. I think in the narrative that we've surrounded the Q1 results, we've referred to strong confidence in double -digit growth.
So, I think that as we've gone through the quarter, given deal signings, given momentum, given the engagement that we've got with customers, our confidence has only grown. So, we do

not see a tapering of growth in the second half of the year. We actually see growth accelerating as we move through the quarters of this fiscal.
Jyoti Singh: Understood. And second question, are you seeing any OEMs shifting engineering budgets away from EV platform toward hybrid or ICE refresh program over the last 3 months? And how is the demand we are getting from Europe and U.S.

Warren Harris: Yes. I think a great question. And certainly, we have, over the last couple of years, start to see the investments in EVs tapering and a much more balanced proposition as far as propulsion options that our customers are building and investing in. And that' s great news for Tata Technologies because as far as propulsion is concern

ed, we're agnostic. We are, at the moment, delivering work packages and full vehicles in the ICE, in the hybrid, plugged hybrid and full BEV arenas. And again, the key driver to the improvement that we've seen is that over the last kind of 18 months, demand has been somewhat compromised by the tariff announcements and again, that tapering of EV demand in geographies like the United States. We're seeing those periods now start to come to an end, clarity being provided for the customers that we're working with. And based upon that clarity, investments are being made, and we are very pleased that we've been on the right side of that.

Jyoti Singh: Thank you, sir.

Moderator: Thank you. Your next question comes from the line of Ravi Menon with Axis Capital.

Ravi Menon: Hi, thank you for the opportunity. Congrats on a really good quarter. One of you can as a kind of optimism of infectious. I just wanted to understand, I mean, what's really underpinning this because most of your peers who are the specialists seem to be singing quite a different tune. So, is this about your client portfolio being different, the service portfolio being different or are you being a lot more diversified with clients or is this about involvement in new hybrid platforms? What's actually the reason why your outlook seems very di fferent compared to the peers?

Warren Harris: Yes. Great question, Ravi. And I think what's really playing out is essentially the thesis around which we are investing and growing the company. For some time, we have believed that as the clock speed of technology change accelerates, we think that our cu stomers and the market will increasingly shrink their focus on to the things that are core to the DNA of their brand, and they will increasingly look to outsource.

And I think the propensity to outsource will be positioned predominantly for those organizations like ourselves that have demonstrated over many, many years, our ability to be able to take on turnkey responsibility for complete work packages and complete p roducts. And that's really where we are seeing the tailwinds that we are currently intersecting with.

And I think one of the associated points that I'd make is that when a customer of ours makes a decision to outsource a complete product, that decision is typically made at the top end of that customer hierarchy. So it's typically made within

the C -suite. So, it's the Chief Exec, it's the Head of Engineering or it's the CTO.

Those relationships that we've cultivated over many, many years give us the opportunity to not only influence product engineering decisions, but also all outsourcing decisions. And so we are seeing a broad -based improvement in demand. It's

certainly very much predicated upon the outsourcing of full vehicles.
But the halo effect of that and the influence that, that affords us has given us the opportunity to grow in a relatively broad - based way. As Uttam pointed out, we've seen growth not just in terms of engineering, but also in embedded software and also in d igital. And again, I think those represent proof points of the principles that I've just shared.
Ravi Menon: Great. Thanks so much for a detailed answer. You spoke about how it's turnkey engagements. So, can I think about the AI impact as not being really deflationary for you? Is that something that you're seeing? Because what kind of impact that you're seeing at all on pricing?
Warren Harris: Yes. Great question, Ravi. I think one of the things that is underpinning our value proposition on the full product space is our ability to be able to deliver China speed and China cost at the quality standards that the global automotive market expects. No w we're doing that because we've had a footprint in China for more than a decade now.
And so, we understand the players. We understand how they do things. B

ut we've been able to capitalize that experience through the investments that we're making in AI. And so, the

contribution that AI is making to us is really a force multiplier in terms of productivity and a force multiplier in terms of being able to do things that are increasingly difficult, not just for the competition, but also in part for the industry at large.
If you look at many of the Western OEMs, they're still developing vehicles at between 36 and 48 months. We are routinely and have demonstrated this consistently able to develop full vehicles and top hats anywhere between 18 months and 24 months. And again, we've demonstrated that, and we've got vehicles on the road today that are, again, proof points against those claims.
Ravi Menon: Great, thanks. So, then we can just say that we shouldn't think of the volume of work is constant. Can we just think of that as the product cycles are accelerating, but that's the real net impact of AI and that we shouldn't just think of that as shrinking the pie, right?
Warren Harris: I think that's a great way to summarize it.
Ravi Menon: Thanks so much, Warren . And Uttam, one clarification on the technology product side, the margins are lower. What's the reason for that this quarter?
Uttam Gujrati: So basically, that's a mix impact that we are seeing in the Technology Solutions business. The education business grew faster than the product piece in it. And this disproportionate growth mix change within the two led to the declines in the margins.
Ravi Menon: Thanks so much. Best of luck.

Moderator : Thank you. The next question comes from the line of Mayank Babla with Carnelian AMC. Please go ahead.
Mayank Babla: Hi, thank you for taking my question. Am I audible?
Moderator; Yes sir, you’re audible. Please proceed.
Mayank Babla: So first of all, congratulations to Warren, Uttam and Vijay for a

great set of numbers and great execution. You have outdone yourself. So, congratulations at first. My question first to Warren is you announced the Tenneco deal and one full vehicle program in Q1. Now last quarter, you had mentioned that you were positive on closing 2 full vehicle programs in the next 8 to 12 weeks, out of whi ch 1 you have already closed.
And I'm sure given the confident tone that you're speaking with, you will be closing the second one soon. But could you give us a sense of how many such full vehicle programs do you have in pipeline now at this point in time that you are confident of closi ng in?
Warren Harris: Well, thank you for the generous comments, first and foremost.
I think as you picked up, our confident tone is really informed by the momentum that we continue to build in and around deal signings -- large deal signings and specifically full vehicles.
We'v e pointed in the narrative and the press release that we've accompanied the Q1 numbers or at least the deck that we published.
We've pointed to a number of large deals. But that's not an exclusive list. And so, we have closed additional business, and we've taken that momentum into the second quarter. So, I'm not at liberty to give you too many details in terms of customer names or the size of these deals. And hopefully, we'll be able to

share more at the end of Q2. But rest assured, the deal momentum continues to build. And it's that, that really gives us renewed confidence in the guidance that we've previously shared.
Mayank Babla: Sure, sure. My second question is in 2 parts. The first part to Uttam, if you could give us the Aerospace revenue and the Q -o-Q and Y -o-Y performance in this quarter. And then the second part, I'll address to Warren, is that if you could give us some outlo ok? I know you don't give guidance, but qualitatively, if you could give us a direction of how big this vertical can be so that we can get a grip on the size

and scale
of opportunity, especially given that Airbus has announced a new clean -sheet program last year. So yes, these were the 2 -part questions.
Uttam Gujrati: So, let me go with the Aerospace piece first. Our Aerospace revenues grew to approximately $10.2 million. This was up 6.4% Q-o-Q and 38.1% Y -o-Y. And the second question, what you had was...
Warren Harris: It relates to what the potential can be for the Aerospace vertical. I think we have consistently messaged in the last couple of years our confidence in scaling this vertical at a faster rate than the automotive sector. And that's driven by a number of diff erent things. It's been driven by the fact that we've been able to secure an involvement in Airbus' strategic supplier outsourcing list. It's been informed by the investments that the Tata Group is making in Aerospace.
It's informed by the fact that the demand for air travel is increasingly being centered upon Southeast Asia and

specifically here in India, and by association, the fact that there is going to be a significant amount of infrastructure investment

in things like MRO capabilities and assembly and build
capabilities here.
So, the growth that we've seen in the last 4, 5 years, which I think has represented a CAGR of about 40%. I think that is a CAGR that we can continue. And I certainly think in the next couple of 3 years, I think that we can trend very successfully towards the $100 million target for Aerospace. Now how quickly we get there will depend upon a number of factors. But I think that we've cemented not only the relationship with Airbus, but with key components of Airbus's supply chain. And we've also been able to build very strong relationship with some of the propulsion players in North America. So, the growth now is not just predicated upon a single customer. It's much more broad -based and by association, it's much healthier.
Moderator: Thank you. Your next question comes from the line of Ankur Pant with IIFL. Please go ahead.
Ankur Pant: Hi, Warren. Hi, Uttam. Congratulations on a good set of results. So, my first question is picking on Warren statement that you expect growth to accelerate towards the second half of the year. So, when you say accelerate, does it mean that from the...
Moderator: Really sorry to interrupt. Ankur sir, your voice is slightly muffled.
Ankur Pant: Is it better now?
Moderator: This is much better. Yes, sir.

Ankur Pant: Yes. So, I'll repeat my question. My question is that Warren highlighted that he expects an acceleration in growth towards the second half of the year. So just wanted to understand that we've achieved 4.3% growth this quarter. Is that the benchmark that we are using to say that the growth would be accelerated in 2H? That is my first question.
Warren Harris: I think we will maintain guidance in terms of double -digit growth. And I think in terms of the quantum of growth that we will drive in Q2, Q3 and Q4, in part will be driven by the ramp - up of the deals that we have closed. And our ability to ramp up is depe ndent not just upon the teams that we can mobilize, but also the readiness of our customers and the investments that need to be made in infrastructure. I expect growth to be much greater in the second half of the year than in the first half of the year. Bu t how that spreads across the quarters will be predicated upon the factors that I just referred.
Ankur Pant: And the other question is, given the investments that we are making on the wage hikes that are coming up in 2Q, do we see the same, are we sticking to the same guidance that we said in the past of 18% EBITDA margins by 4Q of the year? Or does that also ch ange given in the light of the investment?
Uttam Gujrati: So, as I said, rather than focusing on any specific margin milestone, we would emphasize that we are materially more con

fident on our growth trajectory that we are seeing. Given the strong demand and the healthy deal momentum, we would seek this opportunit y to accelerate growth without compromising on our ambition of quarter -over -quarter margin expansion.

As also mentioned in my initial remarks, the quarter 2

profitability outlook will continue to see quarter -over -quarter
growth, which should take care of our -- the point that you just
outlined about the salary increases. So, our quarter -over -
quarter expans ion would continue.
Ankur Pant: Thank you. All the best.
Moderator: Thank you. Your next question comes from Dev Gulwani with
Care PMS. Please go ahead.
Dev Gulwani: Now that the Es -Tec acquisition in BMW JV has been more
than a few quarters, has company started cross -selling
additional services to customers like Volkswagen and BMW?
And how do you expect this to contribute to revenue going
forward?
Warren Harris: The short answer is yes. And we've been very pleased with the
momentum, both at BMW and at VW. Obviously, the Es -Tec
acquisition was only completed in November of last year. And
so, the cross -selling is at a less mature stage than we're seeing
at BMW. But one of the things that we've been really pleased
about is that as part of the building of the partnership with
BMW and as part of the due diligence we did at Es -Tec, we
took the opportunity to sanity check our strategy with the
leadership teams of both of those companies. And so again,
that's provided us with access. It's provided us with influence.
And because of the increasingly good standing of BMW
TechWorks, our JV with BMW, that's affording us doors to be
opened and influence to be had directly, which we are fully
harvesting. And notwithstanding the challenges and the
restructuring that VW is go ing through, we always believed

that the platform that we've established with Es -Tec will
support not just direct business through Es -Tec, but
increasingly the strategy of VW to balance their R&D
concentration across different geographies. And again, part of
the pipeline that we are buil ding is very much consistent with
that.
Dev Gulwani: Okay. And this is for Mr. Uttam, can you provide the revenue
contribution of Es -Tec in Q1 FY27? I think I missed this.
Uttam Gujrati: We do not provide specific details around the acquisitions.
The larger business compositions and details have already
been shared. So, we would want to stick to that.
Dev Gulwani: Okay. And you mentioned that software -enabled solutions
grew by 8.5% Q -o-Q. Can you provide the absolute numbers
for this quarter for the software solutions?
Uttam Gujrati: While I would do the same thing as you would do, we can
calculate it. We have the total numbers with us.
Dev Gulwani: Okay. Thank you.
Moderator Your next question comes from Vaibhav Chechani with TCG
AMC. Please go ahead.
Vaibhav Chechani: Yes. Congratulations on a great set of numbers. So, my
question is around Tenneco deal win. So, this is a big deal win
market deal win for us. So, is it like a new deal win with the
existing clients that we have done? And what sort of work we
would be doin g here because it contains business process
transformation. So, would that be right to assume that more
sort of offshore nature deals it would be? And the ramp -up, so

when will the ramp up? And will that be needing any more

subcontracting in this? And then the selection criteria?
Warren Harris: Thanks, Vaibhav, and a great question. And I was hoping that somebody would ask about Tenneco because it's something I wanted to really celebrate. It is a milestone transaction for us. We've been working with Tenneco in the engineering space for the best p art of 6 years. We established a relationship with them during the pandemic. And we have really cemented a very strong and strategic relations

hip with the senior leadership team at Tenneco.
Tenneco, as you probably might know, was a listed company in the United States , and then Apollo bought them out a couple of, I think, almost 3 years ago now and are accelerating a significant restructuring and transformation that has already delivered significant improvements in the financial results of that company.
We are engaging with them, not just in engineering, but in areas such as program management and supply chain development, process optimization and the work that they're doing in and around their digital transformation. The deal was celebrated and won last quarter. We are beginning execution in the second quarter, and we will ramp through this fiscal year.
I think that it's an important deal for us, not just because of the revenue that it represents, but because I think it represents a blueprint of what is likely to go on within the manufacturing space going forward. I think the joint venture with BMW is a best practice demonstration of how to stand up a GCC. And I think that will influence other OEMs. And I think what we've

done with Tenneco will really position a great example and a blueprint for what will happen within the extended supply chain.
And so, for us, these deals are not just, again, important in terms of the contribution that they represent to growth, they're incredibly important in terms of the demonstration of the strategic nature of the relationships that we are building and also the direct ion that we believe that deals like this will provide as a signal to the rest of the industry.
Vaibhav Chechani: Okay. And when can we expect when the deal will be ramping up? And are we expecting any increased cost for the deal ramp -up?
Warren Harris: We will start ramping up in the second quarter, and we will look to scale towards the end of the calendar year and as we finish this fiscal year and move into the next. It's a 5 -year deal, and there is a certain small element of renewal in terms of existin g business because we're wrapping that into the deal, but the majority of this deal is new business.
And so certainly, there is capacity that we will be discharging from within the company. But as we go through the ramp -up, we will certainly be bringing in additional headcount, which by association will represent additional cost.
Vaibhav Chechani: Okay. And the last part to it is, what is the count of people we are having with BMW? And are we sharing any profit from the JVs in this quarter? Thank you.
Uttam Gujrati: Yes. As we mentioned, the headcount in our BMW TechWorks has crossed the key milestone of 2,000 engineers. So that will continue as the entity grows. In terms of our share of profit, as

I already outlined, it stands at INR 9.5 crores for Q1. And if I include the deferred income piece of INR 8.3 crores, the total contribution from the JV for quarter one stands at INR17.8 crores.
Vaibhav Chechani: Thank you. Sorry, I miss that part. Yeah, thank you.
Moderator: Your next question comes from the line of Puneet Lineswala with Winvestments.
Puneet Lineswala: Hi, Warren. Hi to the entire team. And once again, congratulations for the great numbers and delivered as committed. I had a question regarding to the non -Tata Motors segment of business, which we have like in the Tata Group itself, but excluding Tata Moto rs. So, if you could throw some light on the business from Tata Advanced Systems, that would be great?
Warren Harris: We're not going to talk about any specific customers. But what I will say is that the growth outside of our anchor accounts is scaling and expanding faster than the growth with our anchor customers. So that is very much a part of our diversification strategy, and we expect that to continue certainly medium to long-term. There may be so me spikes during different quarters as we secur

e different program opportunities on both sides of that particular challenge.
I mentioned in my opening comments, the pride that I have in what we're seeing in automotive outside of the group. We grew that 6.7% quarter -on-quarter and 56% year -on-year, which I think, again, is a great testament to our teams, to the relationships that we've got, and the fact that we stuck with it during a pause in investments, that some of our customers

were making as they were grappling to come to terms with tariffs and the slowing of the EV transition. So, we're very, very pleased with the bounce back that we've seen there and the growing momentum that we're building.
Puneet Lineswala: My next question was to get an understanding about the trajectory ahead and the overall business. I just wanted to understand what are your learnings from the previous couple of years, that you would like to optimize moving ahead?
Warren Harris: That's a great question, and it's part of what we're grappling with. I think, if I look at learnings for the past, particularly in terms of full vehicles, we did a lot of business with new energy vehicle companies like VinFast and NIO when it was first launched in China. And the great news for us in terms of the experience that we had with those companies is that it exposed us to a great deal of innovation, product innovation, process innovation and speed to market innovation.
But I think one of the challenges that it represented for us is that, that space is relatively volatile in terms of demand. They typically invest in product. They then look to test the market. And dependent upon the success of the product in the market, th ey then invest in follow -on products. And whilst, again, those relationships have been important to us and have taught us a great deal. They've been challenging in terms of the consistency and the predictability of revenue.
So, one of the things that we've really focused upon in the last 2 years is delivering that same value proposition to the traditional OEMs. And there, we see demand being much more consistent, much more stable, and we see our ability to move

from one program to another with the same and increased headcount in a way that's always very difficult to do in the new energy vehicle space.

So, I think the quality of revenue is something that we've worked very, very hard to improve. And much of the work that we've done has been informed by the experience that we've had in those different areas. I trust that answers the question.

Puneet Lineswala: Thank you so much. I'm really happy you answered those questions really well, and you have my confidence as an investor moving forward.

Warren Harris: Thank you, sir.

Moderator: The next question comes from the line of Karan Uppal from Phillip Capital (India). Please go ahead.

Karan Uppal: Yes. Thanks for the opportunity. Just wanted to check within automotive, how much is the contribution of anchor and non -anchor at this point of time? I'm not sure if you have shared this number in the call as well?

Uttam Gujrati: So, of our overall non -anchor from our Services business stands at about roughly 49%. And if I look at the distribution of my non -anchor business within the total automotive, it is about 36%.

Karan Uppal: Okay. So, one in terms of the outlook for this year, double -digit growth, how are you factoring in the growth within anchor and non-anchor? How is the growth outlook within these two sub -segments? That is one. And second is in terms of the non -anchor how much is the con tribution between US and Europe OEMs?

Warren Harris: I think the good news for us is that the growth is relatively broad -based, from both in terms of anchor and non -anchor and also geography. The Tenneco deal, for instance, is a US deal. And so that will certainly make a major con

tribution to our growth in that geography.

So, I think the growth is relatively consistent. We are seeing an uptick despite some of the headwinds associated with the performance challenges that some of the German OEMs have got. We've seen an uptick in Germany. We expect that to continue. We are very m uch -- we're very pleased with the momentum in Scandinavia. I think we've shared with investors in the past the fact that we were successful in securing a position within the consolidated strategic supply chain of Volvo, and that is seeing our revenues wit h that customer scale.

The Japanese OEM win that we celebrated last quarter, and we're now scaling up is starting to provide opportunity for us to address that white space geography for Tata Technologies. We've not done a great deal in Japan in the past. So not only is that win a sizable win, it's also a very strategically important win for us. So, a relatively long -winded answer to the question, but I think net -net, it's broad -based and relatively consistent across the different ways in which we measure our revenues.

Karan Uppal: Got it. Got it. And the second part of the question. The non -anchor part of it, what is the contribution of US versus European?

Warren Harris: We don't break it out at a sector level. But the revenue mix of our company today is relatively, again, balanced between the three major regions: Asia, Europe and North America.
Karan Uppal: Got it. Thanks a lot. And all the best.
Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I now hand the conference over to Mr. Prateek Rampuria for closing comments.
Prateek Rampuria: Thank you, everyone, for joining Tata Technologies Q1 FY27 earnings conference call. We appreciate your continued interest and engagement. We hope the management discussion and Q&A have addressed your key queries. If you have any further questions, please feel free to reach out to the Investor Relations team, and we will be happy to assist. Thank you once again for your participation. Operator, you may now close.
Moderator: Thank you. Ladies and gentlemen, on behalf of Tata Technologies Limited, that concludes this conference. Thank you, everyone, for joining us, and you may now disconnect your lines. Thank you.